

**HOW TO BUILD THE BUSINESS
YOU'LL BUILD GAMES WITH!**

THE GAMEDEV BUSINESS HANDBOOK

**MICHAEL
FUTTER**



bithell

Written by Michael Futter

Publishers Mike Bithell and Alexander Sliwinski

Editors Susan Arendt and JC Fletcher

Art Gareth Davies

Art Assets Synty Studios

Layout Mike Bithell

Digital Marketing Amanda Farough

Printing Shari Spiro, Ad Magic

CONTENTS

Foreword	8
Introduction	12
1 Personal Finance	15
2 Budgeting	31
3 Leveling Up Your Studio	53
4 Managing Your Growing Studio	77
5 Production Pipeline	95
6 Building Partnerships	111
7 Negotiation	137
8 Intellectual Property	147
9 Crowdfunding	171
10 Early Access	189
11 Licensing	205
12 Public Relations	213
13 Crunch Isn't Romantic	231
Advice From the Industry	243
Index	262

FOREWORD

Oh, hello person reading this in a shop. Do people still read books in shops? I do, but I mean more generally; do normal people do that? Or did you buy this book sight unseen online? If so, thanks, you're a trusting person.

About six or seven years ago I decided I wanted to be a writer, and started looking for books on the subject. Books with titles like *Write a Hollywood screenplay in 20 seconds* or *Become Aaron Sorkin by Tuesday*. They all promised untold riches if you could just give the author 30 dollars. While most of those books sucked, some had just enough advice to get me running, and nearly a decade later I'm starting to believe I'm maybe OK at writing. This foreword is a poor example. I can do better.

It's important to me that you read this book without assuming we're promising instant transformation into The Next Great Indie Superstar by page 248. Beware anyone offering advice without the humility to present it with caveats and overly goalpost setting forewords. This book is a bunch of advice and opinions from us, and many of our peers in the industry. We're qualified and experienced, but do not mistake that for superhero certainty. We should probably sell this book with a complimentary pinch of salt. I suspect that's too logistically complex for a half baked metaphor joke.

"So, does that mean I'm reading the foreword of a useless thing!?" I imagine you yelling as you throw this book, or electronic reading device, across the room.

No. No, I think this book might be the most useful thing I've ever been involved with. This book is the book I wish I'd had on my shelf when I started my first job in games 10 years ago, that I'd pulled down from the shelf when I decided to jump on this weird 'indie' thing that other people were trying in 2010. This book cleanly lays out the basics of how our industry works, and how you can actually get a game released.

It's also a book that assumes you're making a good game. Seriously, there are so many books out there which will help you make your games better. My best advice on that topic is to watch someone actually play what you're making. Their face will tell you more about the art and science of game design than I could possibly type here.

No, this book is about execution. It's about making sure your game comes out. It's about the profoundly unsexy world of accounting*, of budgeting, of making sure you planned for localisation in your release schedule. It's the stuff which I was terrible at when I started (and still am), and that I suspect you maybe suck at too.

And I think we've achieved that. I genuinely think we've made a book that will help you make games, by preparing you for the business challenges you're going to run into. I think, by taking the insights from the book that apply to you and what you're doing, you might stand a slightly better chance in this ridiculous hit-based industry.

"So, OK," I imagine you continuing, as you pick up this book (or electronic reading device) from the other side of the room, "why are you sharing this information? Why empower your competitors?"

And this is where I get a bit saccharin, which is the greatest sin a British person can commit. I'm not an American, so this sort of thing comes hard to me. We funded this book because we wanted to put something back into the industry that empowered us.

There's a note from Rami Ismail in the epilogue, and it makes me smile because it's a speech I've heard Rami give in person so many times at this point. He's a repetitive guy:

"Lean on your peers. Give back when you can."

I did that first part as I came up. I consumed information. I took so much from the indie devs around me, I benefitted so much from help and advice I received either directly or via blog posts. Blog posts are like books but slightly more current. Only slightly. I got so much from the indie scene, and my own personal success is built on the shoulders of so many of my peers.

*I'm sorry, I have no idea how sexy the world of accounting is. Part of me wonders if it is in fact the sexiest of worlds. A secret society, painstakingly maintaining the outward appearance of extreme dullness, all to maintain the sacrosanct privacy of their private dalliance. I'm speaking from a position of ignorance, and I hope Futter holds himself to a higher authorial standard.

And this book is me paying it back. Yes. Me. Personally. I'm going to spend some of the life changing cash this industry gave me on a badass book by a brilliant writer with the contributions of industry legends. You can't stop me. If anything, by reading this far, you've positively encouraged me. Paying for and distributing a training book might not be as glamorous as a nice car, but it feels far more smugly satisfying. Plus, people will be able to enjoy criticising our advice on the internet! Everyone can enjoy the fun.

And I can't drive.

So thank you for picking this book up. If you decide to head over to the counter and buy it, know that the money you pay will go to the author and team behind it, as well as funding future educational projects from us. We're not foolish enough to launch a book in 2017 expecting a massive profit, but it would be cool to keep plowing resources into educational stuff like this.

Congratulations to Michael Futter for writing this book, Alexander Sliwinski for solving Bithell Games' business woes, demonstrating the broader need for a book like this, and making it happen, and Synty Studios for selling us an awesome range of 3D models with which the mega talented Gareth Davies made the illustrations that bring it all to life.

Games are made by people, I hope this book helps you and the people you make games with.

- Mike Bithell, 2017



INTRODUCTION

We wrote this book because there isn't anything quite like it. There are great books on design and production. We found fascinating deep dives into video game legal concerns. And there are some (much) older works that touch on some of the concepts we cover, but were written before Steam, mobile, and connected consoles were the norm.



The places where development intersects with business are about as brightly lit as the darkness of space between stars, so we set out to create the ultra-powerful telescope that will help illuminate the hidden.

In order to create something that is representative of where the industry has been and how it exists at this moment, we interviewed dozens of developers making games right now. In our conversations, one sentiment was echoed: a business handbook would have been pretty great to have when they were starting out.

Following his move out of journalism to team up with Mike Bithell, Alexander Sliwinski was surprised to find a lack of standardization in management practices. He and I come from similar writing backgrounds, tackling complex subjects and making them digestible. The idea of creating something that could serve as a framework for other up and coming developers was a common refrain as we discussed my next “next.”

Alexander and I had been talking for years about the project that would eventually see us working side-by-side as more than opposite numbers at different media outlets. When Joystiq closed, his path took him to grow Mike Bithell's studio and allow Mike to focus on what he does best: making games. Together, Mike and Alexander decided that Bithell Games would give back to the community.

So that's what we decided to do here with the explainer concept... just bigger. What you hold in your hands (either in physical form or on

your digital device of choice) is a book-length explainer about how to establish your video game studio, manage your business, and set yourself up for long-term success.

We start at the beginning, with fundamental concepts. You need to learn how to walk before you can run. You need to learn the principles of logic, loops, and variables before you can code your first game. And you need to understand budgeting and business structure before you can build a thriving studio.

We wanted to publish something that you will want to keep on your desk or your bookshelf for years to come. And we knew that in order for it to be truly valuable, it needed perspectives from people who have been there. So we talked to real developers and publishers who are making games and have been where you are. They have each found one of the many paths to success and made mistakes that we can hopefully guide you away from repeating.

We believe that this book is needed and that the voices of dozens of developers who graciously participated will be touchstones as you reach those challenging inflection points. On our path to release, we listened and reshaped based on feedback. We heard calls for specific content, incorporating more topics and deeper understandings.

In short, we wrote this book for you.

- Michael Futter, 2017





IN THIS CHAPTER

- 1 Separating personal finance from your business funds.
- 2 Opening your first bank account.
- 3 The importance of having an accountant.

CHAPTER 1

PERSONAL FINANCE

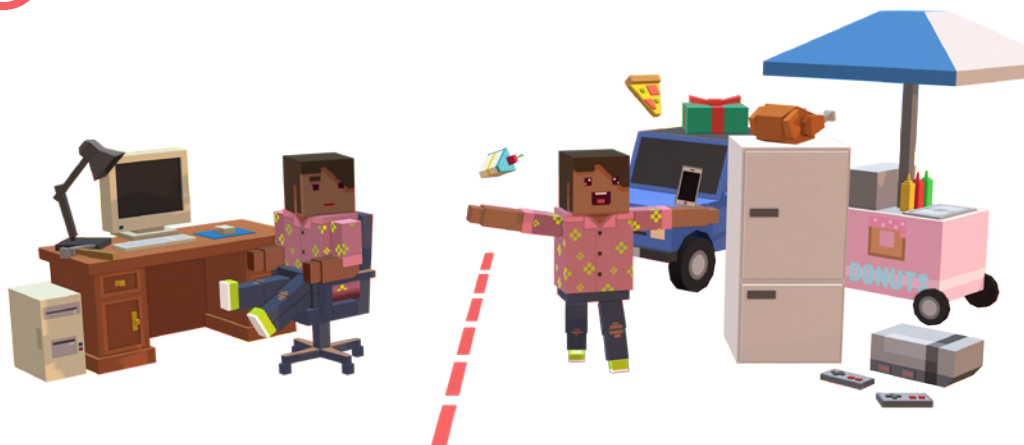
SEPARATING BUSINESS FROM PLEASURE (AND THOSE PESKY PERSONAL RESPONSIBILITIES)

Passion and planning. Game developers tend to be fantastic at the former, but find the latter less intuitive. Whether you've been told to read this book while learning game design or you're hoping to quit the day job and do this "for real," you can start laying the groundwork now for getting your game out. Your game ideas come from a place of passion, but your game business will survive (and hopefully thrive) through planning.

Creatively, you probably live and breathe your game. But in terms of business, you'll need to keep your project at arm's length—just for a little while, we promise. The first step is to draw a line between You, Game Developer Extraordinaire, and You, Person Who Has Other Things Going On That Sort Of Matter Too.

Real talk: you need to get your personal finances in order. If you're going to run a business on which you (and your employees) rely for a steady paycheck and little things like food and rent, you had better first make sure you have your own finances in check. Through the first part of this book, we're giving you the tools needed to get a handle on your bank account, separate your personal bills from your game development expenses, and know just how much you can spend without overdrafting your bank account.

If you've never created a budget for yourself, don't worry. We're going to walk you through everything you need to learn in the next chapter. If you already look at your bank account online to track how much money you've got, you're headed in the right direction. There are some tools you can use that give a deeper level of information, though. Knowing how much money you have at any moment is important. Knowing how much you'll have next week or next month is crucial to keeping the lights on.



A LINE IN THE SAND

To start separating your personal life from your professional expenses, you'll want to start keeping track of household income and cash flow. You can do this on the cheap using a spreadsheet—such as the free Google Sheets—however as you get more comfortable, we strongly encourage you to invest the time (and possibly money) in consumer-friendly finance software. You'll plug in your expected pay and other revenue, your recurring expenses, and anticipated major expenses.

The first step is understanding how money moves in and out of your account. If you're a particularly studious budget nerd you might already use a solution like Mint or Quicken, You Need a Budget, or other software. Note that some solutions are free, but may not give you a vital piece of information: cash flow. This is defined as the total amount of money coming in (revenue, also known as turnover) and going out (expense) of a business during a given period. For this, you'll want something that takes into account expected income and fixed expenses like rent, utilities, and major purchases.

You can monitor everything on a standalone spreadsheet, or you can use a free solution to manage multiple accounts in concert with a separate document formatted for cash flow tracking. This saves you some money on software, won't take much time, and takes advantage of software budgeting tools with custom cash flow output. What you get in return is a day-to-day tracking of how much money you should have available in each of your accounts. Which is nice.

Once you understand your total cash flow, you can start to parse out expenses tied specifically to your game. While holding another job and

working on your project in your spare time, you'll want to start with two simple steps:

Label everything tied to a project as 'part of project x' in your accounting software.

TRACK YOUR TIME.

These expenses will serve as foundational information when you begin your first project as a full-time, self-employed developer. Tracking time will help you understand the dev-hours (see below) it takes to bring your big idea to life. Later, that will be converted into a direct, cash expense of your business. We're all terrible at guessing how much something will cost to make. Going through the process is an instructive experience, and estimating costs gets easier the more you do it.

When you're ready to start developing full-time on your own, you'll want to take additional steps to separate your business operations from your personal obligations. There's also tax benefits to consider (and we'll get to that later, because tax chat is fun and definitely the most exciting way to start a book).

JUST WHAT ARE "DEV-HOURS" AND "DEV-MONTHS"?

One of the most common terms you'll hear in business is "man-hours," which will be referred to in this book as dev-hours (shorthand for development hours). "Man-hours" is an accounting term that refers to the total number of hours of work done by everyone on a project. We begin with a calculation of hours worked per month for a full-time employee.

$$40 \text{ hours per week} \times 52 \text{ weeks} = 2080 \text{ dev-hours per year}$$

$$2080 \text{ dev-hours per year} / 12 \text{ months} = 174 \text{ dev-hours per month (rounded up)}$$

While no employee works the full 52 weeks, you do need to pay them for the entire year. For instance, if your art team of two people each works for two years, the total number of art team dev-hours is eight-thousand three hundred fifty-two.

$$\text{Art staff} \times \text{Dev-hours per month} \times \text{Months in two years}$$

-or-

$$2 \times 174 \times 24 = 8,352$$

We use a 40 hour per week calculation for standardization purposes, even though we are aware many developers work more than that. Dev-hours are a valuable basis for comparing scale, scope, and cost of different projects.

Once you have a sense of what your average staffing cost is per project, you'll be able to communicate required time, staffing needs, and monthly fixed expenditures. Knowing these few simple numbers will put you way ahead of other developers in understanding your business, and will help massively in the future when you get talking to publishers, investors, and your own team.

Later, when you have a larger staff, you'll want to go a step further. Dev-months are an important metric for measuring your project's viability. In order to calculate it, you'll need the total project budget and the total number of dev-hours. Divide the total dev-hours by 174 for the total number of dev-months. Then, divide the total budget by the number of dev-months to determine your average cost per month.

For instance, assume your total dev-hour count is 23,500 across all departments. We divide that by 174 to determine that we require 135.05 dev-months. We then divide our project cost (hypothetically, \$700,000) by the number of dev-months, giving us a monthly average project cost of \$5,183.

The number of dev-months also serves as a barometer for efficiency and feasibility. Publishers have a good sense for how dev-month intensive different genres are. If your project budget includes too few dev-months, the development timeline might be unrealistic. If it includes too many, your budget might be suspiciously bloated.

The average monthly burn (cost per dev-month) also serves as a crucial metric when pitching developers. This number is fundamental for understanding the impact of every additional month of development time. Publishers especially use this calculation to determine how lean your project is and how risky it could be if the timeline needs to be extended.

If you're pitching a publisher, it would be worth asking if they have a target cost per dev-month for projects. Having this information in advance will keep you from showing up with a budget that's completely off base from what they're expecting.

Publishers have a strong sense of how much your monthly average costs should be based on your studio size, game scope, and geographic location. Most publishers anticipate that you've already buffered your expense estimations by up to 20 percent to account for overrun due to failed certification, contractual issues causing payment delay, or clerical errors that lead to late disbursements.

If you want to see these concepts applied in a budget, skip ahead to the digital budget samples and templates available at gamedevbizbook.com. Don't worry if you don't understand all the concepts quite yet. We'll be talking more about the process of budgeting in Chapter 2.



KEEP YOUR RECEIPTS

As I look around writing this, I see receipts on my desk, some on the lowermost step of the staircase to my left, and, yes, a few in my right pocket, too.

It's time to break the bad habits. In order to account for all of your business expenses and properly classify them, you need to hang on to every receipt (both the itemized version and the slip you sign). This is important documentation you'll need to enter into accounting software and bring to your accountant. We'll get to those things in a bit.

You're going to lose receipts. Definitely consider a mobile application for expense tracking that allows you to snap pictures of your receipts. There's no shame in pulling your phone out after you pay for a business dinner to quickly capture a receipt.

Check the digital supplements on gamedevbizbook.com for some suggestions about useful mobile expense apps. If you'd prefer, you can just use your phone's camera, but you'll be missing out on some useful features.

IT'S OKAY TO HAVE A CREDIT CARD

Personal debt is an enormous problem in the United States. A 2015 **study on American consumers**¹ revealed that on average, U.S. households carry more than \$15,000 of credit card debt, more than \$27,000 in auto loans, nearly \$50,000 in student loans, and more than \$100,000 of other debt (not including a mortgage). It's pretty likely that someone has warned you about the dangers of having a credit card.

And they are right. To an extent. Credit cards are best used in moderation, and you should work to pay off your balance every month. In the case of your burgeoning game development empire, credit cards may well serve an important role. You should not be paying cash for your business expenses. Cash is hard to track and if you lose a receipt, you won't have the benefit of a credit card statement backup.

Credit cards also provide an accessible way to manage cash flow. Chances are you're going to run short as you create your first game unless you have another revenue stream unrelated to the project. Provided you are careful to not overindulge and pay off as much as you reasonably can to avoid significant interest building up, credit cards can help when your computer's power supply starts billowing smoke or you absolutely must be on a plane to to an event.

It's important that you choose a single, specific card to use for your business activities. You'll be able to more accurately track your total balance, you won't have to remember which card you used, and most crucially, you won't mix up your personal expenses with those related to your game development.

Using credit cards wisely also helps build your credit rating. At some point, you may be ready to grow into an office space or need to secure a business loan. Having a strong credit profile will make that easier as property managers typically run credit checks before offering leases. In the case of loans, better credit will often help you secure a more favorable interest rate.

You should be picky about the credit cards you use. Find a lender that is offering a favorable annual rate, but absolutely take advantage of loyalty programs. Whether you're a frequent traveler and want to bank

¹Erin El Issa. "2016 American Household Credit Card Debt Study," *NerdWallet*. <https://www.nerdwallet.com/blog/average-credit-card-debt-household/>. (accessed June 5, 2017).

miles, shop at large online retailers regularly, or simply want cash back for making purchases, don't leave money sitting on the table. The best part is that there is no reason not to use those rewards for personal expenditures.

While credit is an accepted part of personal life and business operations in the United States, the same can't be said for other countries. On average, **Americans charge more than \$4,600²** and save approximately four percent of earnings each year. Those living in France charge less than \$300 per year and put about 10 percent of earnings into the bank.

In Canada, credit card use isn't uncommon. However, even with an average credit card purchase rate of \$7,400, **58 percent of Canadian credit card holders³** pay the entire balance each month. That's compared to only **35 percent in the United States⁴**. Paying off your balance each month eliminates interest payments and allows credit cards to serve as rapid repayment loans.

While credit card usage is growing around the world, there is still a cultural stigma attached to debt in Europe and other territories. Instead, if you live outside the United States, you likely have, and will want to use, a debit card. This is perfectly reasonable, though the differences between credit and debit cards are significant.

²Lindsay Konsko. "Do People In Other Countries Use Credit Cards As Much As Americans?" NerdWallet. <https://www.nerdwallet.com/blog/credit-cards/people-countries-credit-cards-americans/>. (accessed September 2, 2017).

³"Issue Brief: Credit Cards: Statistics and Facts," Canadian Bankers Association. May 16, 2016. <http://www.cba.ca/credit-cards>. (accessed June 5, 2017).

⁴Ethan Wolff-Mann. "The Average American Is in Credit Card Debt, No Matter the Economy," Time. February 9, 2016. <http://time.com/money/4213757/average-american-credit-card-debt/>. (accessed June 5, 2017).

Table 1.1 - Credit and Debit compared

Credit Cards	Debit Cards
▪ Purchase now, pay later. ▪ Your lender sends a monthly statement. ▪ A minimum payment is required. ▪ If you don't pay the full balance, you will owe interest on top of the cost of what you purchased with the card.	▪ Issued by the bank at which you have a checking account. ▪ Purchases are deducted immediately from your account. ▪ There are no interest fees, because cost of items purchased is paid off immediately.



YOUR STUDIO'S FIRST BANK ACCOUNT

As your business grows, it's only a matter of time before it makes sense to completely separate your personal finances from those of your studio. If you're comfortable with using a credit card, this step will likely come a bit later since you can use one to separate business and personal finances. If you plan on running your company using a debit card for purchases, this should be a priority. Here are some things to consider:

Open your new account where you have the best chance of building relationships. While you might be tempted to do business with the bank

that handles your personal accounts, you should absolutely take the time to see what options are available at different banks.

You want to have a local branch that you can walk into if you have a problem—like a deposit or wire transfer that doesn't make it to your account— and getting to know the staff there is important. You might need a business loan at some point, and if you already built up a relationship, it can help ease the process.

Many banks will hold deposits for new accounts for a number of days. If you already bank at that location, try to convince them to reduce or eliminate the hold.

In order to open a business account, you're going to need to comply with regional laws dealing with business registration. Getting recognized as a business is often a straightforward process, but it's a step you might not wish to take just yet.

For now, consider opening a second free personal account. You will likely be able to find favorable terms and start building a relationship with a lender. Just make sure you consider what business account terms your chosen bank offers. It's much easier to transition to a business account at the same bank than it is to switch when you are ready for an actual business account.

When you're ready, many banks offer free business accounts. These often include a debit card, a fixed but generous number of transactions, online banking and bill pay, mobile check deposits, and other services. In order to open one of these, you'll need a small initial deposit (plan for \$100). Read the fine print and know what your "free" bank account really gets you and where the institution sneaks in fees.

While opening the account won't cost you much, maintaining it at the advertised "free" pricing is a bit trickier. Typically you'll need to have average daily balance of at least \$1,000. If you don't meet that threshold, you'll be charged a penalty fee of about \$10. While that might not seem like much, like overdraft fees, it's a irritating way to lose money. Those charges add up quickly.

The best way to protect yourself from dipping low and incurring penalties is to open your account with the minimum and consider that your \$0 point for balancing purposes. If you don't touch the funds that are required to maintain the "free" part of your free account, you'll have nothing to worry about.

ACCOUNTING SOFTWARE IS YOUR NERDY FRIEND

It might be a bit old school to suggest you make a habit of balancing your checkbook, but it makes sense. It's important to know what money is available to you at any given moment.

There are a number of good solutions for small business owners (check the digital supplements for some suggestions). The most important thing when you're starting out is finding a balance between ease of use and feature set. Most packages will connect to your bank and download statements, making **reconciliation**⁵ a fairly painless process (especially if you've been keeping your receipts).

Accounting software also lets you categorize all of your expenses, plug in expected revenue, and generate reports. Assigning specific costs to specific games is important in territories that offer tax incentives for game development. Tracking expense detail will make your conversations with accountants go more smoothly (and who doesn't enjoy a smooth conversation with an accountant). It's far better to prepare in advance, rather than spend time and money going through every receipt with an hourly accountant charge stacking up.

Want a budget at the end of the year that shows you exactly where you spent your money? No problem. Want to know if you have enough cash on hand to pay your expenses from month to month? Software will make finding the soft spots in your cash flow easy, allowing you to plan for months where you're short of funds.

Most software packages can handle multiple accounts, allowing you to use the same solution for both personal and business planning. It's a good idea to get in the habit of scheduling "admin" time. Step away from designing and coding for just a bit to stay on top of your new business's financial planning. Provided you carve out a bit of time each week, you won't get hit with a big task, or accidentally go into overdraft. You can't make good decisions about where to spend and invest if you don't know how much money you have available.

⁵ **Reconciliation** - Matching personal financial records with those from your bank to verify how much money you have available.

WHEN IS A BUSINESS NOT A BUSINESS?

Once you begin conducting yourself as a business, you'll automatically earn yourself the classification of "sole proprietor." Unfortunately, this doesn't come with any benefits. It's just a label to describe operations that have only the most basic structure, with no barrier between the individual and the business. We'll get into different business structures in Chapter 3.

You won't have the protections of a corporation. Your personal finances will still be mixed up with your company's. In the US, you may need a business license from your state in order to be formalized as a business, but those are inexpensive and quick to obtain. You won't file taxes separately for a sole proprietorship, meaning you need to be careful to set aside income and other taxes since you won't have an employer handling withholding for you. We'll get into the different types of business structures and their benefits in Chapter 3.



GET AN ACCOUNTANT

Do you live in a country where you must file your own taxes yearly? Well, congratulations, you already have a handle on a lot of this stuff. Perhaps you've been using a consumer software solution or one of the many pop-up shops that appear in the run-up to the filing deadline. But, at some point you're going to need someone to whom you can turn outside of the normal tax cycle. That's when it's time to find an accountant you can rely on all year round.

If you're not used to doing yearly taxes then you're almost certainly going to want an accountant.

You'll want to find someone in your area who is both sensitive to the needs of, and has time for, small businesses. That means helping you understand how your personal finances interact with your business, especially if you are running your new studio as a sole proprietorship. You're going to have questions, and your accountant should be willing to answer them.

When you set up your first meeting, the most important thing is that you feel comfortable. This is the person that is going to be guiding you not only on your tax filings, but on best practices for running your business. Your consultation should be free. This is someone trying to earn your business, and the consultation is an audition.

You should plan to ask a bunch of questions. You'll want to understand how familiar the person you're interviewing for the job is with small businesses. Do they have any experience with the video game industry? Make sure that this individual will offer up more than tax preparation.

We recommend inquiring about how the accountant does business. Consider asking if the person you're meeting with will be working with you directly or assigning staff to your account. How experienced are

the professionals that you'll be communicating with, and what are their credentials? You have every right to ask these questions. Here are a few more to consider:

- 1** Has the accountant worked in games before?
- 2** How versed is the firm in local tax credits for video games specifically and entertainment as a whole?
- 3** What size is the firm's biggest client? If you're bigger than everyone else, the firm might not know how to manage your volume.
- 4** What size is the firm's smallest client? You don't want to be ignored because you're the smallest fish.
- 5** What are the annual costs to retain the firm? What does that get you (filing preparation, access for routine inquiries, etc.)?

You'll also want to plan for challenging scenarios. For example, if you decide to take advantage of tax deductions for using your home as a place of business, you may trigger an audit. Will your accountant provide support in that event, and if so, what will it cost you?

Beginning a professional relationship with an accountant or an attorney is an investment of financial resources and valuable time. Ideally, you'll find someone who meets your current needs but can scale services as you grow. The upside to a smaller firm is that you might have the direct attention of a partner, however you might some day have need of more than the company can offer.

It's never too early to think about the future. You don't want to have to find and hire a new accountant if you land that big publishing deal you've been chasing. However, if you prefer the personal touch of a smaller firm, it might be worth choosing that path. In the end, it's about being comfortable with the people who will be your lighthouse in uncharted financial waters.

GET AN ATTORNEY

Accountants and attorneys work hand-in-hand to protect your business from avoidable mistakes and help you navigate when something inadvertently goes awry. Just as it's important to find the right person to guide your financial destiny, you'll want to identify a lawyer who has the know-how to help lay your business' foundation and help you build from there.

We'll cover contracts and business structure in Chapter 3, but it's never too early to start finding the right attorney. You don't want to wait until it's an emergency to know who'll be handling your legal matters.

Here are some questions to ask when searching for the best lawyer to suit your needs:

- 1** Has the attorney worked in games before? If not, have they worked with other entertainment clients?
- 2** Attorneys specialize in different areas of the law. Is this lawyer versed in contracts? Intellectual property?
- 3** Is your attorney independent or part of a multidisciplinary practice? Can they help you get assistance in areas outside their speciality, either within the firm or via their professional network?
- 4** What size is the firm's biggest client? If you're bigger than everyone else, the firm might not know how to manage your volume.
- 5** What size is the firm's smallest client? You don't want to be ignored because you're the smallest fish.
- 6** What are your options for working with them? If you work on a project basis rather than retainer, how much and when will you be billed? If working on a project basis (which we recommend when starting out), ask approximately how long each matter will take to handle so you can budget appropriately.

It's not enough just to have an attorney. You need to find the person or firm that understands your goals, has experience in this field, and is willing to work with you while you're small and scale with you as you grow.



IN THIS CHAPTER WE LEARNED

- 1 To separate our personal and professional finances.
- 2 To use tools to track finances.
- 3 Accountants and lawyers are necessary (and hopefully our friends on the journey).


$$+30\%$$
$$= \$100$$

IN THIS CHAPTER

- 1 The right way to approach a budget, and creating your first one
- 2 Understanding how to think about different types of costs.
- 3 How to make sure you have enough money to pay your bills.

CHAPTER 2

BUDGETING

UNCOVER THE MAGICAL POWERS OF SPREADSHEETS!

Budgeting is as much about uncovering the questions you need to ask yourself as it is about digging deep and finding the answers. If executed properly, that simple spreadsheet can tell you where you've been, where you are going, and the most efficient path to get there. That isn't to say there aren't unknowns. Budgeting is about how you deal with the bumps in the road you simply can't avoid.

Before you get started, there is one thing you must embrace. You will be tempted to fudge your budget numbers. You will look at your expenses and convince yourself that you can probably work them down a bit. There will be moments at which you just know that your game is going to do a bit better.

You must quiet that voice. Budgeting is not aspirational. While it does attempt to predict the future, a budget is designed to mirror reality as closely as possible.

Experienced budgeters have two core rules: 1) Your expenses will be just a bit higher than your worst case scenario. 2) Your revenue will land on the closest edge of the low end. The reason we do this is simple. There are going to be surprises, and the more of them that are errors to your benefit, the smoother your financial road will be.

You might be on your own or working with a small team on a passion project now. But if all goes well, you'll found a company and will start having to keep track of finances. We'll talk more about life after sole proprietorship—the most basic type of business, and the one you will likely start with—in Chapter 3.

TIME IS MONEY, SO START COUNTING IT

Since a budget is ideally as close a representation to reality as possible, you're going to need to know how much things cost. While hard expenses can be researched, everyone works at a different pace. That's why you'll want to keep track of all the time you put into development and administrative activities (like getting your game listed on Steam or GOG).

In our interviews with developers, one thing became clear: as studios are born, many founders either do not take a salary or just take enough to get by.

Many of the individuals expressed the same approach to their businesses, taking the bare minimum during development and repaying themselves as their first games found success. There are different ways to handle this:

- 1** The first (and cleanest) way to handle post-launch salary adjustments is to keep compensation even amongst employees. This works if the team is small, contributions are approximately equal, and all team members are considered to be founders or employed early enough to be closely aligned and equal participants.
- 2** Some teams prefer to track hours contributed to the project. This is later used to reimburse at a set amount per hour. This is cumbersome, but it can help avoid any resentment over potential inequality of participation.
- 3** Still others have succeeded without a concrete plan to recoup foregone wages. Such was the case with Ninja Theory, following the collapse of former parent





company Argonaut Games in 2004. The Ninja Theory team (which was originally formed as Just Add Monsters) was working on a new IP (later to become PlayStation 3 launch title *Heavenly Sword*). Founders Nina Kristensen, Mike Ball, and Tameem Antoniades took on personal debt to keep their dream alive.

“When Argonaut went under, well, I certainly remortgaged my house to help fund the next phase,” Kristensen recalls. “We’d built up something that we believed in and I personally was willing to take a bigger personal risk. I always knew exactly what my personal exposure was and what level of risk I personally was willing to take, which I think is for anyone who’s starting up, if you’re going to start your own business, you absolutely have to take risks, including financial risks, but always, always, always know exactly what it is that you’re risking.”

Rather than pay themselves back in any set structure, Ninja Theory’s founders were content to adjust compensation according to the business’ ebb and flow. “We basically just went hell-for-leather trying to make *Heavenly Sword* successful and then on and on and on through the subsequent games,” Kristensen says. “Over time, when the company was being really successful we increased our wages, but we didn’t have a pre-planned structure. When we did well we gave ourselves some bonuses and in tough times, we’ve had to pare back. Our personal financial success is very tied to how well the company itself is doing.”

Regardless of what approach you take, have an agreement in place when you set your first salaries (or at least make sure everyone has the same expectations about how salary and bonuses will work). Even if you don’t take a single penny of salary during development, the time you put in still has enormous value.

Ideally, you should plan out how you are going to approach post-launch revenues, so that there is no disagreement later. And most importantly, do not deplete your bank account once you start seeing a return on your investment. It’s important to have a nest egg to begin your next project, build your team, and hire contractors.

PEOPLE ARE A PROJECT'S BIGGEST INVESTMENT

While you can certainly start with a blank spreadsheet and build your own budget, we've taken some of the guesswork out. In this book's digital supplement, located at gamedevbizbook.com, you'll find a template that you can use as a head start.

A project budget is a rundown of direct expenses tied to a specific game's development. While there are some obvious inclusions in our template, like art, sound, and animation, others are less clear. Your administrative staff play a role, even if those individuals never code a line or sketch a piece of concept art.

Depending on your game design, you'll have different types of personnel involved. Our template includes common categories and sub-segments of creative disciplines. You'll likely have specific needs and different studio organization. You should customize the budget template to your needs.

The most important thing to consider when using this template is that budgets are a negotiation with yourself. Start with your idealized staffing. Don't worry about what you can afford at this stage. If you want three coders, two environment artists, and three testers, put them in the budget at their estimated monthly cost for each month you expect you'll need them (refer back to the dev-hours section in Chapter 1).

Take into account worst case scenario. Anticipate that each of your contractors will cost the most you think is reasonable. Plan for each contractor to need more time than you think they are capable of working.

Now, add 20 percent to each amount. This will be the buffer funding you will almost definitely need when you go over budget, require more time, or need to replace a contractor or employee (hiring and training costs slow productivity for new team members and whomever needs to bring them up to speed). If you've worked with the same team on a couple of projects and feel comfortable with their costs, go ahead and add the 20 percent buffer to the general and administrative section. The buffer is there as an acknowledgement that things go wrong, and a plan to pull resources from a place where it'll do the least damage.

Once you've plugged the values in for every contractor and employee (don't forget to include the costs of benefits in salaries: vacation, retirement plans, life insurance, and if, necessary, health insurance), you

can calculate your bottom line project cost. Chances are, this is going to exceed your anticipated funding level.

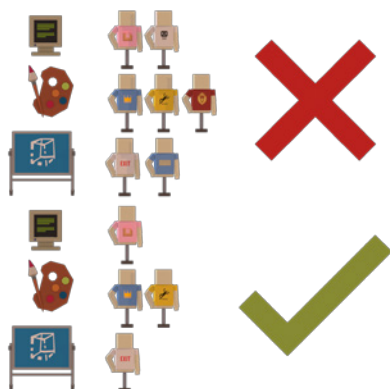
This is where budgeting becomes an exercise in self-negotiation. You should already have an idea of what you can realistically spend on your game based on anticipated scope. The hard process of bringing your desired costs in line with reality begins here.

This is a good point to copy or duplicate your budget into a new tab for editing. Doing so also provides the advantage of being able to compare and contrast later from where you started. Begin reducing the amount of time you can use some contractors and eliminating others. For instance, you may not be able to afford that third coder or second environment artist.

You also need to accept the thing you'd rather not consider: If the gap between your anticipated needs and the reality of what you can spend are too far apart, you may need to revisit your game proposal. You may be trying to make something too large for your means, requiring you to scale down your vision's size or ambition.

Eventually, you'll find a place where your funding means and your design and development requirements meet. Now's the moment to revisit your project one more time and ensure that you can ship the game in the amount of time you specify for the cost you anticipate.

Be granular when filling out your budget template. Fully detail personnel in a way that mirrors your staffing and teams. If your art team all participates in every phase of implementation, you don't need to break out every single member of the team, but you should. This will allow you to track expenses precisely, knowing where every dollar goes at a glance. Likewise, if you have tasks that aren't listed, add them. The template should reflect your situation. Consider our template as a strong foundation for growth and customization.



FINDING A GRACEFUL WAY TO PITCH FOR MORE MONEY

If you decide to take your budget and your concept to publishers (a process we talk more about in Chapter 6), you might have to conform your budget to someone else's funding interests. Some developers opt to create multiple simple budgets (covering the broad strokes and major expense areas rather than complete, granular detail) to share with potential partners, covering different funding amounts.

Rather than begin with the "pie in the sky" ideal budget, Ninja Theory opts for a different approach, specifically targeting a funding range based on publisher interest. "We tend to pick the budget that we are aiming for," says Ninja Theory co-founder Nina Kristensen. "If a publisher approaches us for a commissioned work, we'll ask them what sort of budget they want to spend on it, and we usually get a range. Then, within that range, we'll work up the scope of the game with a budget in mind."

Kristensen says that you can make something great at just about any budget. Sometimes though, the project (and what the publisher is hoping to achieve) would benefit from more money than might be on the table at first.

"Sometimes what we'll do is put together a scope based on the budget that we've been allocated, but then also do a supplementary one pager," she explains. This gives Ninja Theory the ability to suggest a larger scope than the publisher might at first have in mind. However, she cautions against giving publishers an a la carte menu of features from which to choose.

"What we don't do is we don't put together a shopping list where you can pick vehicles or traversal or shooting," Kristensen says. "We never do it like that because of the cohesive game design. Instead, sometimes there's a case where you can say, 'If you have a little bit more money, you could make something that's significantly better. So perhaps that's worth considering.'"

"IT'S NOT HARD." – THE LINE THAT'S DELAYED A THOUSAND PROJECTS

One of the most dangerous lines in all of game development: "It's not hard."

"I'll handle payroll myself. It's not hard."

"I can code well enough to get the prototype done. It's not hard."

"I can write the press release myself. It's not hard."

The truth is that these tasks (and so many others) might not be hard for you at all. But when you're working on a large project and using the "It's not hard" approach, a few things happen.

First, you will likely take on more "It's not hard" jobs. This leaves you with too many plates spinning, increasing job stress and work hours, all in service of doing things you'd probably rather not do.

Second, you will fall victim to what's known as "opportunity cost." Opportunity cost is defined as options forgone when you make a choice in allocating resources. In this case, you're distributing a finite amount of time to a growing list of tasks.

Sure, you can do the payroll yourself every period, but that is time you aren't spending on your core job function. Yes, you can write and send the press release yourself, but that's time you aren't finishing the build for an upcoming trade show.

Opportunity cost tends to rear its ugly head when you think about out-of-pocket expenses. For instance, you could spend the money to hire a coder to get the prototype ready, or you could do it yourself for "free." The problem is it isn't free at all.

Your time has value (as we discussed earlier in this chapter). On the surface it might appear that your contracted coder is more expensive, but remember what you're giving up and how much your time actually costs.

"It's not hard" might keep money from leaving your bank account, but the true costs are insidious. They'll show up later when you are out of time and wondering why you weren't able to get your game finished on your anticipated schedule.

You will pay for "It's not hard" at a premium. And those costs will come due when you least expect them and often when you can least afford them.

UNDERSTANDING HOW ADMINISTRATION FITS INTO A PROJECT BUDGET

In order to properly quantify your project expenses, you need to allocate a realistic portion of administrative time. Early on, this is going to be your best guess based on the scope and scale of the project and that **administrative**¹ employee's intersection with it. For instance, a business manager might split their time evenly between two different projects. As you become more experienced with budgeting, you'll get a better feel for assigning non-creative personnel expenses.

A similar allocation method should be used for creative personnel working on multiple projects. For example, a concept artist on staff might be working on two different games. If so, you might allocate half of that person's time (inclusive of benefits) to each project. However, if the artist is a contractor rather than a staff member (see Chapter 3 for a complete explanation of the differences), you'd assign the agreed upon fees for the contracted work for the project to the budget.

Other administrative expenses include direct legal costs, such as trademark filings and work agreement reviews for project staff. Any billable time you spend with your accountant related directly to a specific game would also appear on this spreadsheet. Likewise, any software subscriptions or hardware purchases you require would be assigned to the project even if they have life beyond this game's launch date. While hardware will likely be used for multiple projects, you need to purchase it now and it's important to ensure you have the cash on hand to buy the tools you need.

GDC, PAX EAST, E3, GAMESCOM, PAX WEST, AND MORE!

Attending events isn't a mandatory part of game development, but the countless shows that happen each year are perfect opportunities to meet fellow developers, gamers, earn press coverage, and gather feedback from an eager audience.

And while you might have fun at parties or walking the show floor, trade and consumer events aren't frivolities. They are business expenses, and you should plan for them in advance. Booth space is expensive, but it isn't the only option.

¹ **Administrative** - These are your human resource professionals, business development and financial staff, and office managers; anyone who isn't coding, making art, producing or otherwise directly tied to making your game.

Many small developers cart around a laptop and meet journalists on the fly in hotel lobbies or, if you think you can book enough appointments to make it worthwhile, at a room close by. Don't expect reporters to walk terribly far to meet you, so book as close to the venue as possible. Their schedules are busy, and travel time is wasted time in a writer's eyes.

When planning to attend a show, investigate booth space costs well in advance. Many of these events have an Indie Megabooth or other similar gallery format (see sidebar "The benefits of showing in a gallery setting"). Book your hotel early, and start watching airfare as early as is reasonable.

Chances are you won't be able to attend every show you'd like. Be strategic and figure out exactly what you want out of each. Not ready with hands-on, but you have a presentation and hands-off gameplay? Consider a press-only approach or hold off for a little while. The last thing you want is to spend the money on attending and not accomplish your mission. Networking is a worthwhile use of time, and some events (like GDC) that are far better suited to that purpose. Here are some things to consider before signing up to attend a show:

- 1 Can you afford it?** Did you budget for booth space? Travel? Accommodation?
- 2 What is your goal?** Do you have something to show, or are you just going for research? Are you simply looking to network? Are you going to pitch your prototype to publishers?
- 3 Do you really need a booth?** It's not uncommon for scrappy developers to schedule interviews and demos with press off the show floor, piggybacking on a critical mass of journalists. This is fairly easy at a show like PAX or GDC, which often has space nearby (and free) to chat. This is a good option when you're targeting specific coverage rather than looking for direct public reach.
- 4 Are there better shows to attend?** Remember, traveling to a show eats into development time - especially if you get ConFlu (convention flu) or some other kind of nasty ailment. Choose your appearances wisely for maximum impact. Every show has a different audience and different press attendance. Know what you're getting into before committing.

THE BENEFITS OF SHOWING IN A GALLERY SETTING

The Indie Megabooth, Indie MIX, and GDC's Mild Rumpus are oases of independent game magic in a sea of triple-A glitz. Sure, you won't have a giant dinosaur looming over convention-goers, but what you will have is affordability and critical mass in a gallery setting.

The largest of these, the Indie Megabooth, is a main attraction at PAX and GDC. At every event at which they appear, the Megabooth and its matryoshka doll-esque Indie Minibooth are a treasure trove of undiscovered gems.

These small, modestly adorned sub-booths (black drapery and small tables, with minimal room to sit) are crammed from the moment the show opens until convention staff ushers people out at the end of the day. Keep an ear open and you'll hear murmurs about the standout selections, as friends tell each other how to find specific games in the packed space. Games like *Darkest Dungeon*, *Don't Starve*, *Super Time Force*, and *Papers, Please* all appeared in the Megabooth on their way to release. Buzz during and after the show propelled them into the mainstream conversation.

For the most part, don't expect to pay much less for space in the Indie Megabooth (if you're selected) than you would for your own small booth. But what you're getting for your buy-in is built-in foot traffic, competent marketing, and a battalion of alumni standing by to offer advice in private forums.

Pop-up galleries, like the Indie MIX evening events (at GDC and other industry events), give press a destination where they can check out a dozen or more games in a convenient setting. You're more likely to get writers to play your title if they know they can check out yours and a handful of others at the same time.

Time at conventions is precious. You want to make the most of every demo. Press wants to fit as much as they can into packed schedules. If you've got the money budgeted, consider applying for one (or more) of these.

THE COSTS OF SELLING

So, you've finished your game. Congratulations! Sadly, you still have some expenses you need to worry about.

If you're selling digitally on console storefronts, you'll need to go through certification. There's a cost associated with submitting your game, and you should contact a representative early to budget for those expenses.

Selling digitally on PC or console means you won't see the full purchase price of each copy sold land in your bank account. Platforms typically take 30 percent of revenue off the top. After that, you may have publisher revenue share or recoup (discussed fully in Chapter 6) to pay back. These may cut into your per-copy earnings for a limited period of time or, in the case of revenue share, in **perpetuity**².

Should you decide to package up your game in a fancy box, there are additional expenses for which you need to plan. Manufacturing, distribution, and inventory or warehousing costs are all part of the process of putting your disc in gamers' hands.

Even established platforms like Amazon and eBay that allow you to sell directly to consumers have costs associated with use. You'll need to slice off a bit of your revenue in order to access those cultivated consumers. In return, you won't need to handle transactions or, depending on which option you choose, fulfillment. If you're planning to sell packaged goods, research up front to find out what it's going to cost per unit to get your game to buyers.

PLANNING YOUR YEAR IN SPREADSHEET FORM

At some point, your studio is going to start carrying long-term expenses that impact multiple projects (both those in active development or those in the concept phase). These include office rental, accounting and legal services that can't be tied to a specific game, and personnel that aren't directly involved with making games (like human resources, finance, or office administration). When that happens, you'll need a budget that reflects your business over the course of a 12-month **fiscal year**³.

²**Perpetuity** - In this case, for as long as your game is sold on any storefront for any platform covered in your agreement.

³**Fiscal year** - The twelve-month period a business uses for accounting purposes.

When your entire studio is focused exclusively on one project, a studio budget is going to mirror your project budget. However, as you start to work on multiple projects, a single project budget won't paint the whole picture. A studio budget that aggregates all of your revenue and expenses becomes a vital part of understanding your finances.

Your accounting software is a vital resource for creating and monitoring your studio's total revenue and all of the expenses tied to various activities. Applications like Quickbooks or Xero have built-in tools to generate budgets at the click of a button. Over time the software will also provide historical data, which will make future forecasting less of a guessing game.

Your organization budget covers one year of operation. For many United States companies, the fiscal year begins on April 1 and ends on March 31, though some companies (like Activision) opt to use the January 1 to December 31 calendar. Depending on the country in which you live, you'll want to have your company begin and end the fiscal year in alignment with the tax year calendar.

This means that your project expenses could be split across two reporting years. It also could lead to heavily weighted results, with one year showing significant losses and the next (after you've released your first game) yielding a hefty surplus. Once you have back catalog revenue, you'll start to see things even out, and you'll be able to plan for dips in your **cash flow**⁴.

MAKE SURE YOU CAN PAY YOUR BILLS (AND YOUR STAFF)

Project budgets give you an idea of what your game will cost from concept to release. Organization budgets give you a 12-month snapshot of your business. However, money you earn next quarter won't help you pay bills today.

It's crucial that you understand when revenues should come in, and when expenses are going to come due. The best way to do that is to create a timeline-style document that tracks your monthly performance. We've included templates in this book's digital supplement and a simplified version in Table 2.1 to illustrate the concept.

⁴**Cash flow** - The total amount of money entering and exiting a business over a period of time.

For instance, if a contractor is being paid \$9,000 over a three-month period, anticipate in your cash flow when you will need to start paying out those funds. You should have entries in each month that you anticipate paying out those fees for services. This will depend on your arrangement with the individual, so you should put your agreement in writing and include the payment terms.

For employees, the process is significantly easier. You should have a consistent pay schedule, making it easy to calculate when you'll need to disburse payments and withhold taxes.



Once you have your regular expenses and your conservative revenue estimates plugged in, you'll learn when you'll need to tighten the belt a bit. It will also help you plan for larger expenditures like new computer equipment.

If you're in the United States, chances are you'll immediately see the benefit of using a credit card to help you get through lean months. However, if you're in a region that frowns upon revolving debt, you might need to make a loan to the company from your personal funds or secure a bank loan. Regardless of how you bridge that gap, you're likely to have loan or credit card payments. Don't forget to factor that cash outflow into your planning.

The cash flow calculator (located at the bottom of the project budget template) will also help put your overhead expenses into perspective. Rent, utilities, internet, and other persistent expenses are your baseline outlay each month. This phenomenon, sometimes called "burn rate," highlights the importance of operating efficiently and exercising care when considering growth. Cash flow should also be a prime motivator when considering long-term expenses, like an office lease, that you can't get out of easily or without penalty.

PAY YOUR TAXES

Regardless of how you structure your business, you're going to need to pay taxes. Depending on whether you're still a sole proprietorship or opted for a different business structure, you'll handle taxation differently.

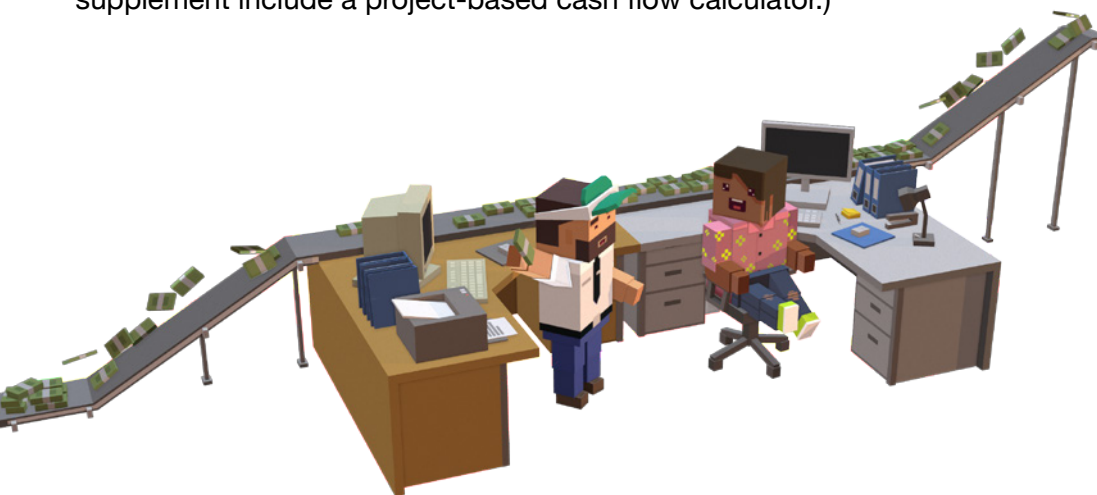
Taxes vary *dramatically* by country, and local municipalities add their own wrinkle to your tax burden. If you work across borders, the issues become compounded, as the interactions of different tax codes can yield tangled knots of paperwork.

Failure to pay your taxes on time and in full could result in severe penalties. Making mistakes when sending the government its due can leave you with unexpected, massive bills to pay. If you happen to be in a cash-vulnerable position when the taxman knocks on the door to deliver the bad news, you might find yourself having to make some hard decisions about your business's future.

On the flip side, in slicing off a piece of those profits for the government, you're able to take advantage of tax deductions and incentive programs. We strongly urge consulting with a licensed accountant when preparing your taxes and addressing questions unique to your individual circumstances.

VISUALIZING CASH FLOW

A budget shows you where you expect to land at the conclusion of a project, when all is said and done. It doesn't show you the path you took to get there. (Our budget samples and templates in the digital supplement include a project-based cash flow calculator.)



Cash flow will show you how much money you'll have on hand at any point you choose. You can get as granular as you'd like, but for the purposes of this simple example, we're breaking it down by month. The more detailed cash flow calculator in the digital supplement can help you dig in and identify shortfalls in order to strategize solutions.

Assume a 12-month project, with a \$500,000 budget funded by a publisher. Your expenses won't be constant, as reflected in the table below, and your revenue will come when you hit specific milestones. For this example, we assume you'll get an up-front payment and disbursements at month four, month eight, and when you ship in month twelve.

Table 2.1 - Understanding Milestones

Month	Cash Month Start	Milestone Payments	Expenses	Cash Month End
1	\$0	\$100,000	\$25,000	\$75,000
2	\$75,000	\$0	\$25,000	\$50,000
3	\$50,000	\$0	\$25,000	\$25,000
4	\$25,000	\$125,000	\$35,000	\$115,000
5	\$115,000	\$0	\$35,000	\$80,000
6	\$80,000	\$0	\$35,000	\$45,000
7	\$45,000	\$0	\$50,000	(\$5,000)
8	(\$5,000)	\$200,000	\$65,000	\$130,000
9	\$130,000	\$0	\$65,000	\$65,000
10	\$65,000	\$0	\$60,000	\$5,000
11	\$5,000	\$0	\$40,000	(\$35,000)
12	(\$35,000)	\$75,000	\$40,000	\$0

As you can see above, while the budget completely covers development costs, there are two months in which cash flow dips into the negative. There are a variety of ways to mitigate this problem. You can secure a bank loan, adjust contractor and/or employee hiring, or renegotiate milestone payments.

Regardless of how you end up solving the problem, knowing you might have one in advance is of utmost importance. The last thing you want is to have a payday looming without the necessary funds in the bank to pay your staff and contractors.

“There’s always friction between budget and cash flow. Always, always friction,” Ninja Theory co-founder Nina Kristensen says. “What I seek to do is build up a big fat war chest so that if everything disappears we’ll be okay for X amount of time, and I like to have at least a year in the bank. I get very uncomfortable if we wind up in a situation where we have less than that, particularly, we’re about 100 people and that’s a lot of mouths to feed. You’ve got to forecast pretty carefully to make sure that you don’t run into trouble on something like that.”

THE HIDDEN COSTS OF DELAYING (AND WHY YOU MIGHT DO IT ANYWAY)

In any business, you’re unlikely to start making money until you can begin selling goods or services. Because the video game industry has long research and development cycles that are driven by human capital, budgets are directly linked to the amount of time it takes to complete a project.

Every video game budget begins with an estimated timeline derived from project scope and the people on hand (or to be contracted and hired) to make it happen. Because total budget and cash flow is inextricably tied to timing, failing to account for time extensions up front can sink your company or force you to release your game before it’s ready.

It is crucial that you anticipate both cost and time overage, as we mentioned earlier. Your worst case scenario planning and 20 percent buffer will save you here (or at least will minimize the pain).

However, you still might end up in a position where delays are required. The earlier in the project you determine this, the better off you’ll be. Once you’ve announced your release date and spun up PR and marketing efforts, delays will cost you time issuing updated information and correcting persistent misinformation based on old dates.

Delays have obvious costs. You'll be spending your monthly burn (total company expenditures) for more time than anticipated. You may need to hire and on-board new contractors, because the ones you've been relying on previously committed to starting work on other projects.

If you're planning a retail release, you may also lose your spot on the manufacturing line, which could drastically increase the time it takes to get your game in from the factory.

"You have to plan around the manufacturing time," says Limited Run Games co-founder Josh Fairhurst. "That's usually four to five weeks for a physical product, if factories aren't backed up like they are at peak holiday time. If you push out and you end up in October, when peak season starts, your manufacturing time could be seven or eight weeks. Sometimes it's nine or ten."

Delaying into a busy period could also seriously impact your time in console certification. The process can take up to a month, and you can't release your game on a platform (download or retail) until you get the green light from **first-party**⁵ (the console maker).

All of these timeline busters have a direct impact on your revenue. The longer it takes to get your game in digital stores or on retail shelves, the longer it is before your bank account starts to fill. It would be tragic if you had to lay people off or delay work on a patch or content update because you didn't account for the gap between release and earning revenue. We'll go more into how this timing plays out in Chapter 6.

Delays will also impact perception. While many gamers have come to accept that delays typically lead to better games, there is simultaneously the subconscious belief that a delayed game is in trouble (which may, in turn, impact assumptions about quality).

That may be the case. False starts, bad design decisions discovered late, or integral features that simply aren't coming together as intended may force you to move your release date out. However, you may be delaying to add something to the game that warrants the associated costs.

⁵**First-party** - This bit of industry jargon refers to the companies that make game consoles. At the time of printing, the big players are Microsoft, Nintendo, and Sony.

“It’s always a decision about whether it will impact sales,” says Ron Gilbert, creator of *Monkey Island* and co-creator of *Thimbleweed Park*. “I don’t think I’ve ever made a decision where I’ve said, ‘You know what? We want to spend another \$50,000 because we just want the art to be cooler,’ or, ‘We’re going to spend an extra \$50,000 just because I want an artistic thing.’ Even if you are making that choice; even if you say, ‘You know what? I want to redo this character. I want to scrap this character and I want to rebuild him because I’m artistically not happy with him,’ I think you always have to ask yourself, ‘Is that gonna make the game better?’”

Delaying (or otherwise investing more in the game) means you have that much more to earn in order to break even. Every decision to spend more money, even those that seem artistically motivated, needs to come back in sales. It’s crucial that you realistically evaluate whether the decision to delay, expand scope, or otherwise spend more money will improve sales potential.

“At the end, it is all about selling more units, right? You want to make more money so you can use that money to make another game,” Gilbert says. “It’s not about making money to be rich so you can buy fancy cars and stuff. It’s about making money so you stay in business. It’s about making money so you can make more games. It’s about making money so maybe next year you can make two games, instead of one game. I think that is really just all about the sales, at some level. I think every decision you make has to get fed into that in some way.”

The other side of mid-project budget adjustments is cutting where you haven’t yet started spending. This can be a dangerous proposition, as temptation can lead you to make foolish mistakes.

When you complete your initial budget, you’ve likely landed on realistic amounts for each of your expenses. However, when you’re in a position where you need to make up funding through cuts, it’s too easy to suddenly assume you can get something for less than you originally anticipated.

“Now you’ve invoked this process called ‘wishful thinking,’ where you’re bringing your numbers down to fit it within the scope,” Gilbert explains. It’s like, ‘I think we’ll get this done earlier. I think we’ll get this done cheaper,’ but you have no empirical evidence to suggest that those things are true. If you are going to bring your numbers down, always make sure you know why you can get it done faster, cheaper. I

see wishful thinking all the time because people just want to build their game. I think this happens a lot with developers who are working with publishers because they know that the publisher's not going to green light [more money]."

Optimistic budgeting can sink you later. You'll eventually hit the point at which you need more money. That means dipping into your savings account, securing a bank loan or line of credit, asking friends or family, or convincing people to work for free (invoking the "you get what you pay for" adage and entering into morally questionable territory). If you have a publisher, you can go back to the table and ask for more money or time, but that is a Faustian bargain.

"They're probably going to give you less royalties or penalize you some other way for taking more money," Gilbert cautions. "That's where that wishful thinking can come back and bite you."

BEST PRACTICES FOR PUTTING TOGETHER A BUDGET

- 1** Estimate your expenses high (and then add a bit just to be safe).
- 2** Anticipate your revenue will be on the lowest edge of your realistic range.
- 3** Start with your ideal resources, including staffing, equipment, and tools.
- 4** Reconcile the reality of your budget against your ideal, making the distinction between necessities and wants while still striving toward your vision.
- 5** Be sure to consider timing. You need money to pay your expenses, which means ensuring you have a stream of revenue to continue paying staff, contractors, and overhead.

KEY BUDGETING TERMS

Budgeting and accounting are full of sometimes confusing terminology. This is some of the lingo you'll see frequently and want to incorporate into your thinking about how your business's finances are structured.

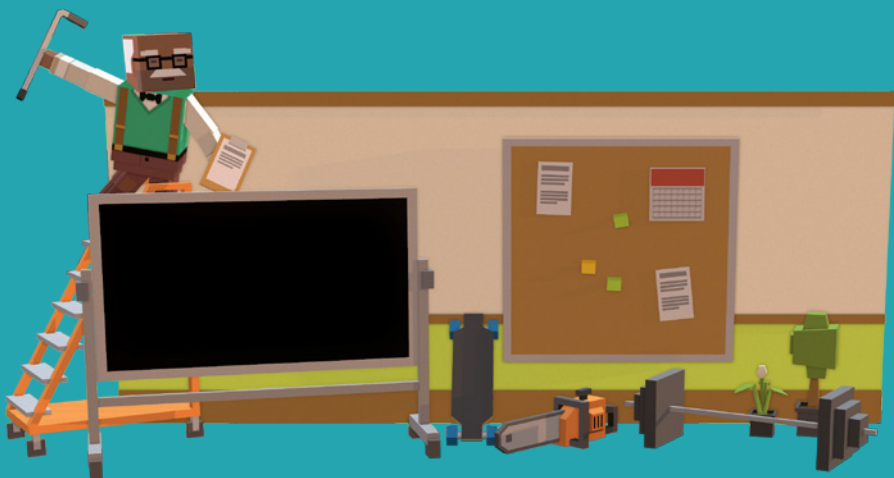
Cost of goods sold - You've got to spend money to make money. These are direct expenses related to the production of items sold by the company, including project-related staff costs, manufacturing, delivery, and platform holder royalty. Some of these, like staff costs, are the same no matter how many units are sold (fixed costs). Others scale with the number of copies sold (variable costs).

Fixed costs - Whether you sell one copy or one million, these expenses aren't changing. Any line item that does not shift in relation to how many units are created or sold is a fixed expense. Video game development relies heavily on people who are paid regardless of how many copies you sell, meaning fixed costs are a huge part of your business.

Variable costs - Some of your costs are tethered to production runs or are directly attributable to sales. For example, you'll incur a cost for every game sold on a console or PC storefront. This slides with the number of copies sold, pinning the expense to your revenue. Likewise, if you sell at retail, you'll incur manufacturing, shipping, and inventory costs tied directly to the number of units you produce.

Overhead costs - You need to keep the lights on, right? Some costs are not easily attributable to a specific project and exist regardless of how many people you employ or how many different things you're working on. Overhead is a fact in any business, but it also contributes significantly to monthly operations (sometimes called "burn"). Overhead often includes rent, utilities, accounting and legal fees (not directly attributable to a project), interest expense, taxes, and more.

Project costs - Many of your business's costs can be assigned directly to the production of your games. Project expenses are those you can comfortably assign to development, including art, sound, and coding. This category also includes a reasonable portion of administrative time for activities that further the completion, marketing, distribution, and sales of your games.



IN THIS CHAPTER WE LEARNED

- 1 How to budget to effectively plan for disruptions.
- 2 To think conservatively about costs and budget a “cushion” up front to cover unexpected overages.
- 3 Why cash flow and timing matter.
- 4 Why opportunity cost is a hidden danger.
- 5 How to account for the costs of selling your game.



IN THIS CHAPTER

- 1 Making your business official.
- 2 Hiring contractors and employees.
- 3 The importance of employment agreements.

CHAPTER 3

LEVELING UP YOUR STUDIO

MAKING YOUR BUSINESS OFFICIAL AND HIRING YOUR FIRST EMPLOYEES!

In the early days of your studio, it's going to be enough just to have a separate bank account and careful financial tracking. Eventually, you're going to want to hire contractors or staff, move into office space, and start making deals with publishers and distributors. It's time to transition your business from ragtag startup to something a bit more structured.

It's a good idea to consult an attorney. There is room for error in creating a business entity, and you want to make sure your company is established as cleanly and efficiently as possible.

"If you're making a game for yourself and your friends, fine. Do that. If you're a hobbyist, that's awesome. Play with your friends and family," says attorney Ryan Morrison of Morrison & Lee. "If you're releasing a game to the public, you're starting a business and a business has startup costs. Part of those startup costs are paying a lawyer to do things the right way for you. No matter how much you make and no matter how much money you have, there is a lawyer you can afford. Most of them are not \$10,000 or anything like that. There's somebody you could work with and it's important you do that."

WHAT'S THE DIFFERENCE BETWEEN AN LLC AND A CORPORATION IN THE UNITED STATES?

Before you decide how to run your business long-term, you're likely going to operate as a sole proprietorship. This is the most basic form of business entity, intertwining you and your personal finances with your job as a game developer. Think of this as starting out in an RPG. You haven't specialized yet or figured out how you want to build your character long-term.

Like that early RPG character's flimsy armor, a sole proprietorship doesn't offer much protection. That's why, when it's time to pick a "class," you'll want to choose a more formal business structure. In the United States, your best options are a limited liability company or a corporation.

Creating a limited liability company (LLC) or corporation is a relatively inexpensive and painless process handled at the state level. In return, you get the protection of fully separating your personal assets, including bank accounts and real estate, from the company's resources. These aren't the most pleasant things to think about when starting out, but taking steps early can protect your family's finances should your business find itself on the wrong end of a lawsuit or bankruptcy. If your game takes off, this will also protect your personal finances as you step into the public eye.

LLCs offer up a layer of protection that holds safe the personal assets of their owners. In the case of a lawsuit, whether for breach of contract or personal injury "slip-and-fall," any court settlement could only tap the business's accounts.

The same goes for a bankruptcy. Should you find yourself in a position of defaulting on debt or reorganization, your personal bank accounts and real estate would be unaffected. You won't lose your home or your life savings if your company should fail. This liability shield only operates to protect you if you observe all corporate formalities and maintain a strict separation of finances.

In order to form an LLC, you'll need to file articles of organization with your state. Typically this is handled by the Secretary of State's office. We recommend consulting an attorney, understanding the state-level laws governing LLC operation and, if advised by your counsel, having an operating agreement set up that defines ownership and operational procedures.

On the other end of the spectrum from sole proprietorships are corporations. Unlike LLCs, corporations are considered unique and separate entities under the law for tax purposes. Most corporations are taxed independent of owners and founders.

Only a portion of the funds are passed through (in the form of salary and bonuses) and the amount designated by the Federal Insurance Contributions Act (FICA) withheld is matched by the employer to cover

social security contribution and medicare insurance. Additional taxes are withheld to cover unemployment and disability insurance.

Regardless of which structure you choose, you'll need a governing body (managers for an LLC or a board of directors - though that may be an individual instead of a group), as well as a set of bylaws (or an operating agreement for an LLC) that dictate operating rules. For LLCs, ownership is split amongst partners. For corporations, you must issue stock to owners and founders of the company that formalize ownership. Additionally, permitting or licensing may be required by your state.

WHAT ABOUT THE UK AND THE EUROPEAN UNION?

Corporate structures vary from region to region, but there are similarities among them. In the UK, many video game studios are "limited" companies (notated as "ltd"). These are most similar to U.S. corporations as described above. Another option, though more rarely used, is the limited liability partnership, similar to U.S. LLCs.

The concept of a limited liability company also exists in other European countries. In France and other Francophone countries, this takes the form of *societe anonyme* (notated as "s.a."). In Germany, the similar structure is the *Gesellschaft mit beschränkter Haftung* (notated as "GmbH").

When deciding to incorporate, there are a variety of factors to consider. "The factors, in rough order of importance are: limited liability; tax advantages/disadvantages; administrative overheads; and ease of establishment," says UK-based attorney Jas Purewal of Purewal and Partners.

Depending on where you are located, different factors might be emphasized. "In low regulation/tax jurisdictions like the US and UK, often tax is the key factor over the long-term," Purewal says. "In higher regulation/tax jurisdictions, like Germany or Finland, the other factors can have greater weight, too. For example, setting up a Finnish *Osaakeyhtiö* (a "stock company," notated as "oyj," and similar to a U.S. corporation) takes around 4 weeks, with a minimum capital contribution of €2.5k."

You can't skate past legal guidelines and hope for the best. Because corporations and limited liability companies provide a shield for

individual employees and shareholders against most legal and financial liability, there are penalties for ignoring the law. The most severe of these is losing the inherent protections safeguarding your personal finances, exposing your assets to potential legal threat.

GET YOUR BUSINESS PAPERWORK IN ORDER

Earlier, we talked about opening bank accounts for your business. In order to do that, you'll need proper government identification for your company. For example, in the U.S., this requires an employer identification number (EIN) - a process you should complete after forming the LLC or incorporating. As a sole proprietor, you'll only need an EIN if you have employees. If you can wait to secure one until you have an LLC or corporation, do so.

In the UK, you need the company's house number. This is also required to properly document employees and contractors. Applying is typically a simple process (for example, applying [online on the IRS website](#)¹ will generate a new EIN for you instantly). Process will vary by region.

Once you have the necessary documentation, you can open up business bank accounts, apply for a credit or debit card in the company's name, and pay your employees and contractors in adherence to the law. At this point, your company will still be a sole proprietorship. This isn't a legal entity like a corporation, and your personal finances will still be fully entwined with your studio.

You won't file separate taxes for a non-incorporated business, and you must be careful to carve out and self-report any income to federal and state governments. You also won't have anything protecting you from liability. We strongly urge that you evolve your business quickly from sole proprietorship to another structure.

BUILDING THE TEAM

At this point you are likely to be in a position to expand your studio or, at the very least, bring on temporary help to complete specific tasks. Before you move forward, it's crucial you understand the difference between contractors and employees. It's also important to know why you must be careful to classify correctly.

¹"**Employer ID Numbers**," IRS.gov. March 10, 2017. <https://www.irs.gov/businesses/small-businesses-self-employed/employer-id-numbers-eins>. (accessed June 5, 2017)



The core difference between the two designations is independence. A contractor works where and when they please, but is responsible for a specific **deliverable**². An employee will often have set hours and a specific work location.

“A contractor cannot be somebody that is essential to the day to day operations of your company,” Morrison explains. “Your art director is not a contractor, they are an employee or a partner and you need to figure that out. Again, most of this industry runs on, ‘Ah, we won’t get sued,’ and sometimes you do.”

The United States has something called the “independent contractor test,” which is used to help determine how an individual should be classified. Most countries (including in the UK and EU) have a broadly similar structure for distinguishing between employees and contractors. However, Purewal explains, there are important legal and tax differences in different countries and regions (in the EU for example the rules are only partly ‘harmonized’ from member state to member state. There

²**Deliverable** - A quantifiable project outcome (good or service). For instance, a concept artist’s deliverables would be the assigned pieces of artwork.

can also be other legally recognized intermediate classes like ‘workers’ who are similar to contractors but with additional rights (including paid holidays, minimum wage, and a cap on work hours per week).

In the U.S., there are three broad categories that will help determine how you should treat an individual.

BEHAVIORAL TEST

Independent contractors can often work when and where they please. While meetings or check-in calls will be scheduled, most of the focus is on the deliverable. For instance, you may bring on a composer in a contractor status. That person can develop the score at their own pace, provided they hit the agreed upon deadline. An employee, on the other hand, would be required to start work at a specific time. They may also be required to be present in an office.

Many contractors require their own help. Typically, employers will not dictate who someone brings on to accomplish the task. If a company directly controls whom the individual may hire to assist with the deliverable, the IRS or the Department of Labor may deem it an employee relationship.

FINANCIAL TEST

Employees are typically provided equipment necessary to execute their tasks. As an example, you may hire on coders that work in your office, on computers you provide. Alternatively, an independent character artist might work from home and on their own hardware, with software licensed by the individual and not the company.

Independent contractors also tend to have multiple clients. Their services are widely available, though that doesn’t mean they need to pursue or accept every job.

With regard to compensation, employees typically get paid a set wage on a fixed schedule. Independent contractors are often engaged for a flat fee based on delivering contracted services.

RELATIONSHIP TEST

Individuals who receive compensatory benefits as part of the arrangement are typically considered employees. These might include paid vacation, sick time, health insurance, or disability insurance. It

could be tempting to misclassify someone as a contractor rather than an employee in order to avoid owing standard benefits and government taxes.

The relationship test also looks at how long you've had an ongoing relationship with the contractor. Contractors typically work with clients for short periods of time, only when they are required. Employees have consistent relationships, moving fluidly from project to project without a new agreement. Likewise, if the function performed by the individual is vital to the business, that person might not qualify as an independent contractor.

GRADING THE TEST IS MORE ART THAN SCIENCE

There is no hard and fast rubric for evaluating the results of this test. Rather, the government looks at all the factors and makes a subjective decision. While we strongly urge you to consult an attorney if you have questions when bringing in new personnel, it is wiser to err on the side of employment.

Penalties for misclassification in many regions include back taxes you would have otherwise paid for years of the worker's service and additional punitive fees. You may also be required to issue back pay for overtime and breaks, as contractors are not entitled to these, but some employees are.

LIFE WITHOUT UNIVERSAL HEALTHCARE

Many health insurance providers will offer plans to small businesses, and the rates will likely be more affordable than what individuals can secure on their own. However, in order to take advantage, you'll need to have a minimum number of your staff utilize the plan.

Because health insurance is so expensive in the United States, it's likely you will need your employees to contribute toward their plans. It's a good idea to poll your staff before pursuing a company plan to find out how many people would be interested, as you may have employees that are content to stay on a partner's plan.

Dental and vision plans tend to be available at a significantly lower cost. It's not uncommon for those costs to be carried entirely by the employee.

BENEFITS ARE A VITAL PART OF COMPENSATION

Except for the periods around being hired and departing a company, employees typically look at their paycheck bottom line when calculating their compensation. However, benefits are a substantial and vital part of employing workers.

Some benefits, like legal paycheck tax withholding and employer matching contributions, are mandated by law. Unemployment and disability insurance payments (if required) are also withheld and matched by the employer, which must submit them to the government. However, other benefits are at the discretion of the company. These include:

- Life insurance
- Long term disability
- Sick days
- Vacation days
- Personal days
- Professional development
- Health insurance plan and how much (if any) the company will contribute (in the United States)
- Retirement savings plans (with or without an employer contribution - these are subject to their own set of legal rules and regulations)

Additionally, some employers offer relocation or education benefits. If you choose to help your new employees with moving expenses to take a job at your company or provide higher education tuition assistance, you'll need to consider the possible pitfalls.

"I had a client who got up to about 15 employees, and he paid to move them all across the country, basically, and many of those did not have agreements in place for what happens if they leave the company," explains Brandon Huffman, managing partner of Odin Law and Media. "Some of those people left two weeks later. They got a free move out of it."

Life and disability insurances are typically far more affordable than health plans. Those companies that offer coverage, which is often modest, tend to do so at no cost to the employee.

It's important to have clear policies about the different reasons an employee might legitimately be absent from work, how those are

reported to management, and how many compensated days a worker is entitled to. Some companies allow employees to carry over a portion of sick or vacation days to the next calendar year.

We recommend requiring a written request to management in order to take advantage of any such policy. Any vacation time banked across fiscal years is considered a financial liability, as many companies pay out unused vacation time to employees when they depart the company (though this is often not the case for sick and personal time).

Compensated time off from work has a real, tangible cost. The company continues to pay the employee even though the worker is unavailable to perform their job. If you've promised that time to employees (or are required by law to provide it), you have to consider it a possible cash expenditure that could come due at any moment.

BEFORE MAKING AN OFFER, KNOW THE TRUE COST OF HIRING

Assuming you've decided to bring on someone new, an employee cost calculator can aggregate salary and tax obligations. In combination with our budget template, you should be able to plan monthly expenditures so you don't run into trouble making payroll, paying taxes, or delivering promised benefits.

Below is an example of the true cost of hiring for a United States employee located in California and making \$40,000. Note that there are additional benefits to consider that vary drastically from country to country. In the U.S., different states have varied minor taxes that may include workforce education, disability funds, and supplemental unemployment insurance. Additionally, health



insurance benefits are crucial for retaining talent in the United States. Employer contributions can range from \$5,000 to \$13,000 per employee depending on geography and insurer.

In the digital supplement, you'll find links to a number of region-specific employment cost calculators.

Table 3.1 - True Cost of Hiring (California, United States example)

	Amount
Salary	\$40,000
FICA - Social Security (6.2% of salary)³	\$2,480
FICA - Medicare (1.45% of salary)³	\$580
Federal Unemployment Tax Act (6% of first \$7,000 wages after 5.4% credit)⁴	\$42
California Employment Training Tax (.1% of first \$7,000 wages)⁵	\$7
Total Employee Annual Cost*	\$43,214

**Does not include employer-specific benefits, like medical insurance contribution, educational assistance, mandatory training, or charitable giving match.*

³**"Social Security and Medicare Withholding Rates,"** IRS.gov. <https://www.irs.gov/taxtopics/tc751.html>. (accessed July 4, 2017).

⁴**"Employer's Annual Federal Unemployment (FUTA) Tax Return - Filing and Deposit Requirements,"** IRS.gov. <https://www.irs.gov/taxtopics/tc759.html>. (accessed July 4, 2017).

⁵**"If you have employees working for you,"** California Tax Service Center. http://www.taxes.ca.gov/payroll_tax/doingbus1.shtml. (accessed July 5, 2017).

THE IMPORTANCE OF EMPLOYMENT AGREEMENTS AND A COMPANY HANDBOOK

As your business grows and evolves, you're going to encounter many new situations. There will be countless questions with complicated answers. The more surprises and unknowns you can deal with early on, the better off you'll be.

An employment agreement (which can be as simple as a letter signed by both parties) should specify a number of elements pertaining to the job, including:

- Start date
- Salary, pay schedule, and other related terms
- Job title
- Work hours
- Company holidays, vacation, and sick time
- Grievance policies
- Termination policies (for instances with and without cause), as well as any strictures that may apply following the employee's departure (including non-competition agreements). Note that non-competition assertions may not be enforceable (depending on locale and specific situation) and typically require some kind of consideration, like an employment offer or a raise (if the clause is added later).

It might be tempting to assemble your own contract, but you'd be better off consulting an attorney. "I do not condone making your own contracts," says attorney Ryan Morrison, a founding partner in the law firm Morrison & Lee. "It's better than not having one sometimes. There are websites and things like that, where it's a template and you fill in the blanks. Unfortunately, most people don't know how to fill in those blanks, so they say things like, 'This contract's under American law.' There is no American contract law. Contract law is state-based in America, so just simple things like that they screw up, to the point where it destroys the entire contract, it destroys the arrangement they think they had, and sometimes they fill it out so poorly that it's actually worse than having no contract."

There's another possible unintended effect of using a template. You may find yourself in a situation where you've struck a deal that isn't quite what you think. "Using a template has the risk of being enforceable, but meaning something other than what you intended," Huffman says.

While it's not pleasant to think about the end of an employee's tenure as they are entering your employ, these are crucial elements to have set aside while the relationship is unmarred.

Additionally, the employment agreement should address intellectual property issues in detail.

There are two major components to consider regarding intellectual property:

- 1** It should be made clear that any work done while in the employ of your studio is owned by the studio. If intellectual property rights aren't settled up front, you could end up litigating a 25-year-old franchise in court (**as was the case of John Madden Football creator Robin Antonick and EA⁶** before that case was finally settled in November 2016).
- 2** You should consider how you want to handle employee personal projects. It's not uncommon for game developers to tinker in their off hours and on their personal hardware. A clear delineation in the hiring agreement (or a separate **"invention assignment⁷"**) will help keep work done for your company separate from anything an individual wants to work on in their spare time.

An employment agreement won't cover every aspect of day-to-day work life. A company handbook is an invaluable resource for going in-depth on policy and procedure. Provided the employment agreement references this document in relevant places, a handbook can help detail operational items that wouldn't be appropriate to have in a contract.

⁶**"Robin Antonick vs. Electronic Arts; United States Court of Appeals, Ninth District Decision,"** FindLaw. November 22, 2016. <http://caselaw.findlaw.com/us-9th-circuit/1755153.html>. (accessed June 5, 2017).

⁷**Invention assignment** - A legal agreement that clearly details ownership rights related to a worker's creations while employed by a company.

An employee handbook can include the following:

- Code of conduct and disciplinary procedures
- Expense authorization and reimbursement policy and procedure
- Whistleblower policy
- **Agency**⁸ issues, including who may or may not speak to the media
- Social media policy
- Physical and digital security matters
- Substance abuse policy

Employee handbooks can be modified and updated as necessary. However, it is suggested that employees promptly receive the updated document and sign confirmation of receipt.

Both your employment agreement and handbook should be tailored to your needs. Issues of ownership and intellectual property will vary throughout the industry. Holiday, vacation, and sick time allowances are also a matter of financial and operational practicality. These, too, will be dependent on regional and cultural differences throughout the industry.

Harassment policies and reporting procedures should also be taken seriously. Good managers look after their staff. Honoring that responsibility isn't just the right thing to do, it can save your business from an ugly PR disaster. Failing to protect employees can lead to liability, bad press, and a talent exodus.

"I think a lot of times in this industry the response there is, 'Well, toughen up,' or 'Brush it off,' or 'He's just joking,' or that type of thing, and that can lead to some pretty deep liability for the employer," says Brandon Huffman, managing partner of Odin Law and Media. "The ways to avoid that are to take your employee's complaint seriously,

⁸**Agency** - An implied or explicit agreement detailing how and when an employee may act on behalf of an employer. In some employment contracts, it's clear who is authorized to speak to the press.

even if they don't seem serious, and to have policies in place for handling those types of things. You're not required under U.S. federal law to have formal harassment policies. But you should still set up those systems as early as possible."

Don't be overwhelmed by getting this all together yourself. Your attorney will be able to assist you with this. It may also seem silly to have these elements in place when your studio is solo or just a couple folks, but when success comes, the last thing you want is spending higher value work cycles getting these details together.



AGREEMENTS ARE IMPORTANT FOR WORKING WITH CONTRACTORS, TOO

It's tempting to think of contractors as your friends (especially if a personal relationship predates the professional one). The "**FrieNDA**⁹" isn't legally binding and a "gentlemen's agreement" is going to be a tough sell in the courtroom. Even if your personal relationship with a contractor is solid, it's important to get the agreement on paper and signed.

"What I generally come back to is if the person is over 30, I can usually ask, 'How many friends do you have from high school?' and 'How many friends did you have in high school?'" Huffman explains. "Those are two different questions, right? And that's your answer. Just because you're friends now, doesn't mean when you start making money you're still

⁹**FrieNDA** - A secret you tell a trusted confidant. It is most definitely not a legally binding non-disclosure agreement (NDA). Be careful who you trust.

going to be friends. In an ideal world, that'll be true. But frankly, the fact that you're friends now should make it easier to get a contract signed.”

While contractors don't have the same benefits as full employees, there still needs to be mutual understanding about services to be performed and compensation. For that reason, we recommend that you have a **boilerplate agreement**¹⁰ you can tailor as needed.

Contractor agreements typically include both a standardized core document that details key expectations of freelancers and an addendum that includes specific deliverables, deadlines, and fees. This allows employers to streamline the contracting process.

A typical contractor agreement should address the following:

- Fees and payment terms
- Specific deliverables
- Deadlines
- Confidentiality

“Compensation's a big one. Defining the terms—the actual services—would be the next big thing,” Huffman says. “If you just say that someone is going to provide network engineering, that's pretty vague. I think it's important to define what that actually means. ‘What are the deliverables or milestones (if you have them)?’ and actually set it out in a way that everybody's on the same page. Now, most people at the indie level aren't going to get into granular detail. They're not going to submit an entire set of thought-out deliverables over the next two years that are due on specific dates. But write something more than, ‘this person's doing art.’”

The issue of ownership is also fundamental in a contractor agreement. Because you may have to part ways with someone before the work is finished, it's important that your agreement is clear who owns the work at various stages.

¹⁰**Boilerplate** - Standardized text, often used in relation to legal documentation.

“What I like to put in my contracts is as soon as the independent contractor starts working on something, it belongs to the person who’s actually paying for it,” says attorney Michael Lee of Morrison & Lee. “I’ve seen contracts I’ve worked on where it wasn’t actually the ownership of the other party until it was done. What happens midway through? What if everybody quits? Well, you don’t get that. You don’t own it. It’s important that from stage one, everything they’re doing belongs to you. It’s a work for hire. It goes to somebody else. Of course have ways, set forth the consideration of the deal, which is like ‘what’s the bargain? How much are you paying for this? What are you paying?’ Just even simple things like that, that a lot of people just don’t think about and that’s very important. Make sure it says ‘work for hire’ and make sure it’s signed. It has to be signed.”

Note that regional laws vary, as does the definition and implication of certain terms in those regions. For instance, in California, inclusion of the term “work for hire” in an agreement automatically shifts the relationship from contractor to employee. Likewise, the term “work for hire” has a different meaning when used in relation to copyright. This drives home the importance of consulting an attorney.

It’s also important that two additional items be addressed in an agreement with independent workers. A clause that explicitly states that the freelancer is not an employee may seem like stating the obvious, but clearly defining the relationship can ensure that both parties have proper expectations about legal rights. In the United States, a court can choose to disregard this clause if the worker should be classified as an employee.

We also strongly urge that your contract explicitly deal with rights issues. It is typical that a freelancer assign all rights to the work for hire created under the agreement to the employer. However, some studios may allow artists and designers to use some work for hire in a portfolio with a written request and approval. Don’t be surprised if musicians request additional rights in this regard.

Be aware that many a game has been outed prematurely via LinkedIn profiles or assets in online portfolios. Months before Sony revealed a new *God of War* sequel, concept art of protagonist Kratos in a Norse mythology setting was leaked on an artist's **personal website**¹¹. Have the conversation about confidentiality and usage up front so things are clear before the relationship begins.

WHY WORK WITH CONTRACTORS INSTEAD OF EMPLOYEES?

Becoming an employer is a big step in any developer's career. The moment you bring someone on, your success or failure impacts more than yourself. You'll be responsible for making payroll on a schedule, regardless of how much work your employees have and independent of incoming revenue.

Many developers and small partnerships opt for contractors to perform specific, limited work on a short-term basis. However, you're giving up some of the benefits of having a full member of the team. "A lot of the benefits of long-term and commitment and really getting to know someone... that's off the table," says *The Stanley Parable* creator Davey Wreden. "So what are you getting in exchange? You're getting flexibility."

Wreden likens the comparison between employment and contracting to the differences between marriage and dating. "You're tied to them in fewer ways. Intrinsically, that's at the core of being a contractor versus being an employee," he explains. "You're not getting married. You're dating a little. Flexibility is at the core of what makes a contractor useful. A lot of times, if I'm contracting someone and I think I might work with them for a while, we'll just contract them for a very short period of time. 'I'm going to pay you for the next month. You're going to do this work and then we're going to look at it and we're going to assess it.' I might not even say that there's anything more in it. You can do that and you can look at their work. You can contract out five people to do similar jobs for two weeks, for four weeks, six weeks, whatever, and then after

¹¹Michael McWhertor. "Rumored God of War concept art shows Kratos tackling Norse mythology," *Polygon*. April 5, 2016. <https://www.polygon.com/2016/4/5/11366326/god-of-war-4-concept-art-kratos-norse-mythology>. (accessed June 28, 2017).

that you can look at it and be like, ‘Oh, you and you, you’re the ones who actually did it really well.’”

The drawback is that you might happen upon a contractor that is so proficient in their field that they don’t stay available for long. That person may get snapped up for a full-time job before you realize you want to bring them on permanently.

If you do find a contractor with whom you work well, it’s a shorter step to bringing them aboard than bringing on someone completely new to you and your studio. The hiring and on-boarding process will take significantly less time, and you’ll start the new chapter of your relationship confident in your ability to collaborate.

You might also need to use a contractor to provide additional support to your existing team when major life events happen. Supergiant Games needed this kind of assistance during *Transistor*’s development.

“We worked with a third party audio company because Darren Korb, our audio director, had a child during the development of that game, so we needed some external help on it,” says Supergiant Games studio director Amir Rao. “There are moments like that in every game development when you realize you need help from the outside. Sometimes you can power through it yourself, and sometimes you just end up needing to bring some people on.”

Both Wreden and Rao agree that the best way to find competent contractors is to ask people you trust. “We try to talk to people who have done it, who they’ve worked with,” Rao explains. “Being a good contractor is one of those things where you just need to do a good job a few times, not that you don’t need to go out there and hustle for the work. If you hit a couple of those jobs great, people keep talking about you and certainly your recommendations keep coming in from other people.”

PAYING YOUR STAFF ON TIME (AND WITHOUT MISTAKES)

The video game industry is driven by the people that make games. Salaries and contractor fees, therefore, are an enormous part of any game budget. They are also your most predictable expenses, and the ones on which you simply cannot default and should never delay.



The importance of paying your staff and contractors in full and on time cannot be overstated. Failure to meet this most basic of contractual obligations can have devastating impact on morale, work product, and your reputation in the community. More than a few headlines have been made by disgruntled employees speaking anonymously about a pattern of not being paid on time.

Monitoring your cash flow (perhaps by using the budget template in this book's digital supplement) can help you figure out how much you need to have on hand to pay employees and put aside for federal and state withholding matches. There are payroll services that can help you automate your process and manage withholding and tax filing, though your accounting software should be able to assist with managing the process.

When using a payroll service, you'll likely need an additional checking account from which your regular salaries can be drawn. If you don't outsource, you'll want that second account to transfer your employee tax withholding and company match. Those funds should not be commingled with your operating cash.

The decision to bring on an employee has long-term implications for your studio. Planning for how you will utilize the worker's skills and what you'll task them with is just as important as paying them on time. Ensuring that you have enough to keep an employee busy means you won't be paying for downtime.

THE CHALLENGES OF TRANSITIONING OUT OF WORK FOR HIRE

While we traditionally think of studios as creating their own ideas (even if those are around someone else's established properties), there is another kind of game development that is more reactive. Licensors are often actively looking for studios to make tie-in games to enhance the brand.

It may seem like a simple decision to take on some work-for-hire projects while you are spinning up your own development. However, responding to requests for proposals (RFPs) and working on short-lead projects rapidly becomes a self-perpetuating cycle from which few studios can break away.

Toronto-based Capybara Games began its life doing work-for-hire projects and found itself having to staff up at a rapid pace. The studio was formally founded out of a hobby group in 2005 with six full-time employees. Two more from the original collective quit their full-time jobs and brought that number to eight within the first couple of months.

In that time, Capybara had already picked up multiple work-for-hire jobs. "Those were for really small, branded, mobile games, like pre-smart phone mobile stuff," says studio president Nathan Vella. "We realized very quickly that the markup and margins were very low, so we needed volume. We scaled pretty quickly to handle the volume and ended up at like 14 employees within our first year."

Because RFPs are a competitive process, work-for-hire studios aren't simply applying on their merit. Cost is also a factor. This drives the revenue for companies down so as not to make cost a disqualifying factor for getting the contract. This means that companies like Capybara are often juggling multiple projects to cover costs.

"We realized this is actually not sustainable at a single project and had to go onto multiple projects. It's highly not recommended," Vella says. "Within the first two or three years we were at that 14 to 16 person scale and consistently running two projects, three projects at a time. Because there was just so much turnover, they were so quick."

The market has changed since, and that pace is no longer feasible on most platforms (with mobile an exception). Capybara decided it wanted a change, but transitioning away from work for hire was no easy task.

“People have to understand and recognize that work for hire is a treadmill,” Vella explains. “You get on it and you have to move, and to get off is really hard. Building a studio around work for hire drastically decreases your chances of ever actually making the thing that you want to do. I always warn people that there are very few studios, and I take immense pride in the fact that we were able to get ourselves off that treadmill, but there are very few studios that go from pure work for hire to pure original creators. It forces you to make decisions about hiring and firing, payroll, process, production, creative, that you might not necessarily want to do. Then you start doing it and then it becomes custom because you only know that way.”

The company began work on original projects with its existing staff, but still needed to earn money. This slowed progress on the game that would break them out of the work-for-hire cycle.

It took Capybara years to save up enough doing work for hire in order to make its first original game, *Critter Crunch*. The studio released it first on iOS in July 2008 and later on PlayStation 3 in late 2009. Capybara was only able to accelerate development due to a grant from the province of Ontario, Canada.

“We started the PlayStation 3 version in 2008, but the reason why we were able to do it was because we got a government grant that just topped us up to the point,” Vella explains. “It would have taken us two more years to save for a game that essentially was a small puzzle game that we had already made on a different platform. It’s like the easiest, cheapest game and it took us five years to save for it in work for hire.”

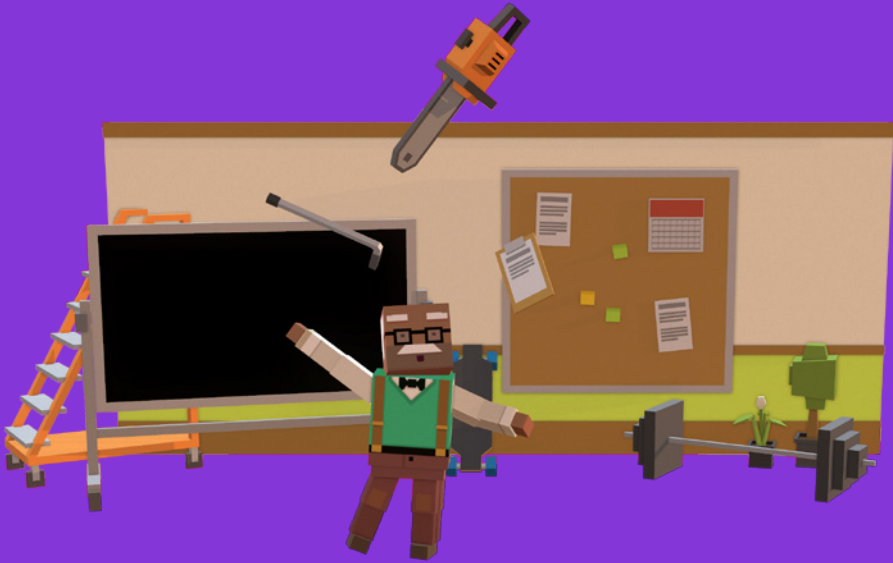
Capybara’s transition was in part due to smart decisions and frugal management. But Vella acknowledges that luck played a role. Getting off the work-for-hire treadmill can be an impossible task if the circumstances don’t fall into place perfectly.

“Work for hire is a fundamentally different way of making games and running a business than being an independent developer, than finding a publisher for a game, than finding investment for a game,” Vella says. “The financial results may seem similar, but the requirements and obligations are so fundamentally different that they shift how your company exists. They shift how your company can make decisions.

They actually remove the ability for your company to define its future, because it's all based on being able to afford the choices that you made to do the last one."

Successfully making the transition out of work for hire is challenging, but it is possible. It requires frugal living and obsessively building the company coffers, making smart decisions about projects, and having a team willing to take on just a little bit more now in service of future independence.

There are many studios that thrive in the work-for-hire space, playing a vital role in the industry. If it's a road you choose to walk, there is work available. Just be aware of what you are starting before it's too late to make a change.



IN THIS CHAPTER WE LEARNED

- 1 How to establish your business.
- 2 How to be sure your contractors aren't really supposed to be employees.
- 3 Why you should use contracts and what they should include.



IN THIS CHAPTER

- 1 Considering a business manager and carefully planning before taking on business partners.
- 2 Effective leadership and helping employees feel invested in their work.
- 3 What happens when your studio takes on multiple projects.

CHAPTER 4

MANAGING YOUR GROWING STUDIO

WHEN TO HOLD ON AND WHAT TO LET GO!

As your studio begins to grow and you take on more employees and contractors, you're going to reach a friction point. Your natural desire as a creative lead and business owner are going to come into conflict with the realities of time constraints and deadlines.

Modern epics have been written on the transition of a "founder CEO" from [humble beginning of your choice] to company leader. It is one of the great psychological shifts in your business life and should be taken as seriously as... well, the most serious thing you can think of.

In short, you're going to need to loosen your grip a bit and trust you've made good hiring decisions. You've spent the time building a solid business infrastructure. You have practices and policies in place to protect the studio that's growing around you. Now it's time to trust the hard work you put in to prepare for a successful future.

PUTTING YOUR BUSINESS IN SOMEONE ELSE'S HANDS

Chances are you didn't get into the business of making games to file trademark paperwork, handle payroll, or make sure that your rent is paid on time. In fact, these are probably responsibilities you'd be all too happy to scrape off your plate and dump onto someone else's.

Bringing on a business manager is a challenging proposition. The temptation to use those resources to instead bring on an artist or coder will be strong. It may seem like spending a monthly salary or stipend on someone to do mundane tasks doesn't actually help games get made, but that's not exactly true.

Opportunity cost¹ tells us that for every choice we make or resource we allocate, there are hidden costs: the loss of things you can't do because you've spent that resource elsewhere.

In this case, when you're spending valuable time on accounting, payroll, benefits management, and mandatory reporting, you aren't working on your creative endeavors. Hiring a business manager will free you up to focus more on the game and less on the business.

Finding someone you can trust and who has the know-how to handle daily business operations might take a bit of time. However, if you aren't ready to bring on someone full-time, you can probably find a bookkeeper that will work part-time to pay bills and manage payroll for you.

BE THOUGHTFUL ABOUT PARTNERSHIP AND CO-OWNERSHIP

When you're starting to grow, and especially when you are ready to bring on someone to run business operations, there are many considerations. You want someone who is skilled, has positive relationships with your potential industry partners, and has a desire to do the kinds of things you need them to do.



¹**Opportunity cost** - With limited resources, you have to choose which options to pursue. Opportunity cost is the benefit you would have received from an option you didn't pursue.

Having a great relationship with your business partner is crucial. Even though you bring different skill sets to the table and view challenges through different lenses, you want to find someone whose approach complements yours.

“It’s like when you want to make sure that your values are the same with someone you marry,” says Harebrained Schemes (*Shadowrun Returns*, *BattleTech*) co-founder Jordan Weisman. “Their religion can be different. Their culture can be different, but what do you believe, what are your values? What do you believe are the right things to do? Similarly, ask those questions of a business partner. You’re going to spend as much time, or more, with your partner than you do with your spouse. And their values and their own worth and work ethic, how they treat people, how they treat customers, how they view what you’re doing. Those are really critical things. And make sure that those are really aligned because otherwise you’re just pointing towards troubles in the future.”

Brenda Romero (*Jagged Alliance 2*, *Wizardry 8*), co-founder of Romero Games, likens the relationship to paired programming, a technique in which two coders share one workstation. One handles the keyboard, while the other observes, catching errors and helping refine. The duo switch roles, helping both maintain perspective and remain fresh. The process takes more time, as you’re assigning two bodies to one task. However, the resulting product is often more reliable and contains fewer errors.

“John [Romero] and I do, I’d say, paired leadership, where we are looking and we’re both making the decisions, both questioning each other, both making sure that it’s the optimum thing, trying to make the best decision for the people that are working for us, for the company, obviously,” Romero explains. “If we don’t make the best decision for the company then the people working for us won’t have a company to work for anyway.”

The relationship with your business manager is crucial, requiring absolute trust and the comfort to debate and even passionately argue. This goes doubly when considering whether to make someone a full partner and co-owner in the business. That type of relationship brings with it benefits and potential challenges that should not be taken lightly.

“You want to keep people with control of the company as small a circle as you can,” Weisman says. “There are lots of ways to share the proceeds with people. There are options or bonuses, and to

share decision-making, but ultimately you want to have control of the company in as few hands as you can.”

Weisman says that spreading ownership to too many people can lead to a standstill. Companies with too many top decision makers can become paralyzed during disagreements with no procedural way to move past the dispute.

That has a direct impact on the studio’s financial health and employee morale. “Now all the people who were there to make a game, they can’t make a game,” Weisman explains. “They’re just on the sidelines of a fight that they can’t help with.”

AVOIDING ‘FOUNDER’S SYNDROME’ WHILE MAINTAINING CREATIVE CONTROL

Chances are you founded your own studio because you want to make the games you want in the way you want to. To some degree, you probably enjoy being in charge of both process and product. It’s understandable that you might not be keen to give up that control.

At some point, you’re going to look back and realize that you’ve either become a **boss or a leader**².



²Lolly Daskal. “Why You Should Stop Being a Boss and Start Being a Leader,” *Inc.* September 29, 2014. <https://www.inc.com/lolly-daskal/the-choice-is-yours-boss-or-leader-pick-one.html>. (accessed June 28, 2017).

A boss dictates from above. They are a looming presence over everything that happens in their organization, even if they appear to be hands-off at times. Employees in these organizations are forever concerned that the boss might swoop in suddenly and override or obliterate their work. This creates an environment fraught with tension and unease, because at any moment the illusion of autonomy could be broken.

That's not to say organizations that work like this can't be successful. It's that this management style might lead to heavier turnover and morale problems. The job will get done, though.

Leaders, on the other hand, not only delegate but trust in their subordinates' decision-making ability. That's not to say that they won't make their opinions known. Rather, a leader takes input and feedback and may sometimes enable decisions with which they don't fully agree.

The decision between being a boss and being a leader comes with heightened stakes when the person at the top is also the company founder. Founders carry unique status that brings with it nearly unquestioned deference and respect.

It's rare that someone actively chooses to become an overbearing, overprotective boss. Creatives are understandably tied to their work, and it can be an enormous challenge to let go of smaller things to focus on the big picture. The studio is the product of years of passion and dedication, and inviting others in can be a scary process. Surrounding yourself with the right people, inspiring trust, and nurturing employee creative investment and ownership can steer you down the path toward becoming a leader instead of a boss.

Here are some key symptoms to look for in an organization that might be suffering from "founder's syndrome":

- **Ignoring those hired for their expertise.** In a game studio, this might be an executive who takes on a new project or business venture without consulting others or, worse, ignoring their advice.
- **Alienating subordinates.** Afflicted founders have been known to put employees in awkward situations, publicly embarrass them, or otherwise exacerbate and exaggerate the power dynamic.
- **Undermining confidence.** It is common for those suffering from founder's syndrome to step in late in a project, make enormous changes, and force a drastic (and often costly) direction change.

There are **stories about George Lucas³** stepping into LucasArts meetings late in game development, upending the creative process and the timeline.

- **Insulating from criticism or censure.** While some examples of founder's syndrome are not malicious, some individuals actively work to protect their kingdom. This is often executed through compartmentalization of information and contingency plans to make themselves invaluable and more costly to remove than retain. Imagine a scenario in which only one person, the founder, understands the complete organizational plan and has actively avoided documenting institutional knowledge. Without that individual, it could take months (or even years) to get the company back on track after their departure (either voluntary or involuntary). If everyone else in the organization only knows bits and pieces, it will take a massive effort to put the jigsaw puzzle together.

MORE FOUNDER EXAMPLES

It is a tempting, but avoidable trap for founders to see no distinction between themselves and their desires and the goals and success of the company. If not careful, founders wield unchecked power, as subordinates who know better refuse to question authority for fear of reprisal. Those that do speak out in this situation are either made to conform or are drummed out of the organization.

To be a successful founder is to be both humble and decisive, but more importantly to know which is appropriate in a given situation. Surround yourself with people you trust. Remind yourself that your hiring decisions were not made quickly or carelessly. But most importantly, listen and allow yourself to be challenged.

KNOWING WHEN TO HIRE

There are differing philosophies on when to hire contractors and when to bring on someone as part of the staff. Committing to hiring means you are taking on the responsibility to provide a consistent, timely salary, as well as benefits that can drastically increase the overall cost of employment.

³Jason Schreier. "How LucasArts Fell Apart," *Kotaku*. September 27, 2013. <http://kotaku.com/how-lucasarts-fell-apart-1401731043>. (accessed June 5, 2017).



There are some roles for which it is challenging to use contractors. Some positions are, by necessity, likely to be filled by full-time staff.

“Get the foundational gameplay there and working. That’s in-house,” says Uber Entertainment (*Monday Night Combat*, *Planetary Annihilation*) CEO Jeremy Ables. “Once it’s there, if you need to bring in artists or some extra level design or something to help it out, that’s more easily contracted.”

Uber also brought in someone to handle all of the company’s sound design and voice over coordination. The studio first attempted to use a contractor, but eventually decided hiring was the better fit.

“The stuff we were getting wasn’t really to the quality level that we wanted,” explains former Uber art director Chandana “Eka” Ekanayake. “For *Monday Night Combat*, there was a lot of audio, and voiceover stuff, and music, so we ended up hiring an audio guy that we used to work with.”

Other studios prefer to avoid contractors entirely. This option creates a greater sense of cohesion, but brings the added risk and responsibility of increased, consistent overhead.

“We’re most interested in building a team, and in order to do that, people need to feel secure in their job,” says Capybara Games president and co-founder Nathan Vella. “We have used contractors before, but I would say not in three or four years, largely because we really want to think strongly about how we augment the group of people who have helped build the studio. I think great teams make great games, and I think in order to make a great team, you have to have people consistently around to make one or two or three projects together. That’s the ideal scenario, but not everybody can do that.”

Vella believes that if a need emerges during one project, it will likely be present in future games. However, he acknowledges that some

positions are harder to hire for, especially when trying to fill an immediate need for a project.

“Gameplay programmers are extremely hard to hire for because we’re really looking for both someone who can do action/interaction, can do moment-to-moment, but can also kind of be a designer as well,” Vella explains. “We don’t have really nitty-gritty systems designers or anything, so we talk about concepts and then ask the gameplay programmers to fill in the design gaps. Sometimes it’s taken us a year to hire for that role.”

Other positions are easier to fill, though. The key for Vella is finding the right cultural fit. Traditional human resources hiring practices don’t always work in a creative setting.

“To me, the interview process and the hiring process is entirely about finding those humans, those good souls that also understand what good work is,” he says. “They have taste. And you can talk to people about that. You can ask people what they like. And if they say that they like something that you don’t like and they can explain that really well, and you can respect that, maybe their taste is slightly different, but they have taste. They have thought critically about what they love and why they love it.”

In contrast to Capybara’s staff-focused approach, *Bastion* developer Supergiant Games does use contractors. However, the two studios concur on the concept of building a long-lasting team (see “Building a team of equals”).

On the more conservative end of the spectrum, there is a school of thought that cautions against increasing overhead too quickly. The responsibility of bringing someone on is weighty, adding expense and risk for the foreseeable future.

“Make sure that you’ve demonstrated that you need this position for six months before you hire because it’s so easy to let overhead crush you,” says Jordan Weisman. “Keep overhead down. It’s all about keeping overhead down.”

Once you’ve decided to hire, you need to find the right person. Cast a wide net. Make sure you are promoting your position on your website and social media. Don’t forget to ask people you trust if they know someone who might be a good fit. Personal connections can lead you

to good candidates (or help you avoid those who might not be a good match for your company).

When you get to the interview phase, you're going to be looking for all the reasons you should hire someone. Brenda Romero suggests you also push yourself to look at candidates' weaknesses.

"This is probably one of the most important things that we have done, and it's based on really hard-learned experience and that is interviewing in two ways," she explains. "The first pass of the interview, let's just say we get somebody into the office and we're talking to them. We have the whole team talk to them. They are absolutely qualified to do the job. In fact, they are amazing and we can't wait to bring them on. We then do an entire second pass, which is, 'Why shouldn't we hire them?' Now we're not at all interested in hearing anything positive. I think one of the biggest mistakes people can make is, 'That person checks all the boxes. Let's bring them on.' The reality is you will spend infinitely more time on your failures than you will spend on your successes."

Romero says that pushing yourself to be sure about a potential employee before hiring can save you down the road. Bringing in the wrong fit can absorb management time and energy, leading to dissatisfaction that can ripple out to the rest of the team.

"If I think of some people that I've worked with in the past, like 20 percent of my day was just trying to manage them," she says. "That one person can sink morale around them and really destabilize an entire team, so when we hire here what I really feel like we're interviewing for is a friend. It's like a new friend. We've worked so hard to have a company culture that all of us like. We really enjoy hanging out with each other, talking, working together. We like that, so we have to be really careful and when we do this, 'why shouldn't we hire them?' pass."

Hiring should not be taken lightly. Regardless of whether you decide to move quickly or wait until the need has been established for an extended period, define your hiring ethos early. Create a set of guidelines with which you are comfortable, run the numbers and ensure you can absorb the increased expense, and find the right fit.

Bringing on a staff member isn't simply about filling a temporary need. It's about building a stronger team with someone who will be a contributor over the coming years and projects.

MAKING SMART DECISIONS ABOUT EQUITY

In our conversations with developers, the same story emerged many times: “We took a risk and quit our day jobs. We didn’t even take a salary for a while.”

Starting a video game studio is a leap of faith based on creative vision and a belief that what you’re making will stand out in an increasingly crowded marketplace. That risk isn’t simply professional; it’s personal.

Your co-founders and earliest employees are putting their personal finances on the line. They are often leaving behind security in favor of creative freedom. And that risk should be rewarded.

This is often handled through **equity**⁴, shares of ownership in your new company. However, this should be handled thoughtfully, with a clear policy in place about how shares are distributed, what happens when someone leaves the company, and how future equity distribution (or options to purchase shares) are handled.

Young Horses, the studio behind *Octodad* and *Octodad: Dadliest Catch*, began as a student team at DePaul University. The group of 18 knew it was too big to have any meaningful discussions with publishers when it brought *Octodad* for exhibition at the annual Game Developers Conference.

Negotiations are complex, and involving too many people can end a conversation before it starts. The *Octodad* team realized the challenge, and the 18 partners (each with an equal share of the intellectual property rights) decided to give one trusted member of the team complete control to make a deal on their behalf for a period of one year. (We recommend consulting an attorney before giving away your rights for any period of time, because you might not realize just what you’re giving up.)

The terms of the one-year arrangement also included a provision that addressed the potential formation of a company around the *Octodad* property. In the event that *Octodad* were used to launch a company within that one-year period, the company would own the rights (and the founding members would own equity in the company).

⁴**Equity** - This term has a variety of meanings depending on context. For our purposes, we are referring to “shareholder equity,” which is the portion of a company owned by stockholders.

The group had the right idea, but didn't allow itself enough time. A year passed, the agreement expired, and the *Octodad* rights were divided back up into equal shares owned by the 18 team members. Some time after, eight of the original *Octodad* developers decided to form Young Horses and bring *Octodad* to the masses. Unfortunately, the intellectual property rights being split amongst 18 people created a complicated situation, as only a handful of the original developers stuck together to create the business. The company opted to make a deal to consolidate the *Octodad* rights immediately.

According to co-founder and CEO Phil Tibitoski, Young Horses made a trade. In exchange for giving up IP co-ownership, the original team members that weren't part of the company received equity in the new company.

After a time, this led to challenges few small game studios have to deal with. The external shareholders had to be notified of every board meeting. Young Horses paid them dividends for years.

Finally, the studio initiated a buy-back just a few years into its life. That meant an early valuation, purchase offers, and negotiations. Thankfully for Young Horses, none of the external shareholders pushed back.

As a result, the company is considering a bylaw that requires staff members to offer up their shares for buy-back upon departing the studio. For now, Young Horses is considering per-project royalties for staff members rather than intellectual property ownership or equity in the company.

WHEN ONE PERSON ISN'T ENOUGH

One of the most challenging moments in a young developer's career is when you realize you can't do everything yourself and still live a healthy life. As we discussed earlier, ownership of the creative process can sometimes compel developers to take on responsibilities related to shipping the game that have nothing to do with its development.

Davey Wreden (*The Stanley Parable*, *The Beginner's Guide*) is about to take that big step, evolving his game design process and bringing on additional support. For Wreden, making the decision to start a studio came as a result of recognizing his limitations.

"This is tied into this whole journey I've been going on, figuring out what I actually want to do with myself," he says. "I was really not in a good place working on *Stanley and Beginner's Guide*. It wasn't healthy for me. It wasn't sustainable. I wouldn't have been able to continue doing that for very long before I just shut down."

Wreden's path to deciding on a studio rather than continuing a solo career comes after years of feeling like he had to do it all himself. The realization that he can comfortably delegate some tasks goes hand-in-hand with understanding that he doesn't need to do things he doesn't enjoy or to which others are better suited.

"I've come to learn over the years that there are a lot of people out there who not only are better than me at those things but actually enjoy doing them, and that I'm not a failure if I'm not doing everything," Wreden says. "I'm not a failure if I'm really only focusing on the things that I like and that I'm good at."

The difference now is that he recognizes that it's time to have people doing those jobs with him full-time. Working with contractors or short-term assistance has been fruitful up until now, but to build a studio, Wreden needs to build a team he can rely on.

"I've incidentally had those people around me, but I've never cultivated a specific, dedicated space for them to be together in one place. I think it just came to a point, I realized that I'm going to do this. If this is really going to be my life, I need to have a dedicated team of people who are those roles for me and who are going to commit to being in those roles and I'm going to commit to supporting them. I want to build that process from the ground up."

Wreden sees creating a studio as its own challenge, not unlike developing a game. Rather than be daunted by the process, he relishes the challenge.

"It feels like a creative project in and of itself. That to me is exciting," he explains. "If I wasn't excited about the actual process of building a studio, that would be very different. That would be, again, more outcome-oriented. It would be like, 'I want to one day get to this place,' as opposed to, 'I want to actually do the work of getting here,' both in terms of building a studio and in terms of making games. Those are my two goals right now, is to learn how to enjoy the process of those things and find projects like both of those that are intrinsically exciting to me."

BUILDING A TEAM OF EQUALS

When we think of studios growing, it's often around major **inflection points**⁵. It's natural for teams to staff up when embarking on new, ambitious projects. However, it doesn't always happen that way.

Supergiant Games has experienced a more organic evolution. The studio remains small at only twelve people, up from seven when *Bastion* was completed in 2011.

"We still feel small, but we're obviously bigger than the two-man and one-man teams out there," says studio director Amir Rao. "It's not that we haven't hired people, it's just that when we get to those situations, we look at it as needing to complete the team. On *Bastion*, some of that work was done externally. Some of the modeling animation, for example. We felt like to complete our team, we needed to bring someone on who could do that stuff."

For Supergiant, the concept of "team" is at the heart of its measured expansion. "That's been the primary driver for when we hire," Rao says. "It's that we sense that there's something essential that we need help with, and we need to bring in someone to help us do it. In every case, that's been true all the way to the twelfth person. It's just come out of a thing that the team needs to be whole."

There's an intuition to how Supergiant approaches hiring. The studio has developed a sixth sense, rather than a formula, for knowing when to grow. Some hires have come from a need for additional support, while others have been more about the fit with specific people.

"There is probably not a science to it. I think for us, because we've done both, we're doing it from an intuitive place or even a practical place where you realize this kind of work is just not going to go away, whatever it is," Rao explains. "Our games will always need X, Y, or Z. Even if there's a time that's a little slower, you're generally bringing onto the team people, because you're a small team, that have multiple skills. At a small company, there's always more work than time, for sure. When you bring on people, the feeling you get from both having that stuff handled and then the joy of discovering all the other things the person

⁵**Inflection point** - A moment of significant change or redirection for a company.

can do, that you just find out serendipitously as you go, is certainly one of the positive feelings about growth. Obviously the negative stuff is worrying, ‘Can we handle this? Can we keep it going?’ Those are real thoughts and you need to have answers to those questions before you hire someone.”

Supergiant’s approach to growth and the sense of cohesion carries through how to the studio manages its day-to-day operations. Decisions are tackled together as a team, leaning on experts rather than strictly coming from the top.

“I think the way to understand how Supergiant operates is this metaphor we use a lot and I feel like it’s still true. *Sunshine* is a movie about a group of people who have to go fly a thing into the sun to restart it. There’s this moment in it that feels to me like what Supergiant feels like. It’s when they’re trying to figure out if they should go answer a distress signal or continue on their mission, basically. The pilot says, ‘I think we should take a vote.’ Then the captain says, ‘No. We’re not a democracy. We’re a team of experts—of astronauts and scientists—so we’re going to have the expert in this particular field make the decision.’”

Supergiant leans on its experts in different areas to guide design decisions rather than taking orders from a single creative mind. Artists, level designers, audio engineers, and more all play a vital role in shaping the final product. In many places, there is someone clearly in the lead. In others, it gets more complicated.

“Where it gets tricky for us, is anytime that these things intersect. User interface, for example. User interface has usability, art, audio. It usually has some feedback given externally or internally about it. Everybody has their own idea of how a button should look or where it should go. Those kinds of conversations for us, for example, are a lot longer and more challenging than some of the things that might be a little bit more fundamental to the game experience, at least from the outside.”

MANAGING MULTIPLE TEAMS: YOUR STUDIO IN ITS ULTIMATE FORM

When your studio is focused on one game at a time, management is straightforward. As you look around your offices or chat with contractors, everyone is driving toward the same goal.



At some point, you may be ready to tackle multiple projects at the same time. It's likely you're going to want distinct teams focused on each, though you may have some individuals that float among those groups.

Having separate cells within your larger organization structure is one of the biggest challenges your studio will face in its growth. Understanding how to transition to a more distributed leadership system will test everyone.

"When you go from one team to multiple teams, it's a giant change in the way you operate," Weisman says. "Many studios don't survive it, because you have something that was focused on a single charismatic leader or organizational genius. If there isn't the respect for the other people in the team, then people won't look to anyone else but that first leader, then it becomes impossible."

Without first fostering leadership and encouraging initiative, the teams that aren't led by the founder or studio lead wither. That's why Weisman says that trust is paramount when creating multiple teams within the organization. Harebrained Schemes went through growing pains during the development of its roguelike, *Necropolis*.

The *Necropolis* team's leadership drifted too far from the studio's core management style. This led to problems during development that impacted the game, leading Harebrained Schemes to overhaul *Necropolis* following disappointing response from **critics and players**⁶.

⁶Thomas Biery. "Necropolis will see major changes in response to reviews and criticism," Polygon. July 21, 2016. <https://www.polygon.com/2016/7/21/12250596/necropolis-roguelike-major-changes-reviews-and-criticism>. (accessed June 5, 2017).

“Our development culture is very collaborative and in terms of org charts very flat,” Weisman explains. “We want the best idea to come forward regardless of the development discipline of the person with the idea, and we accept the inefficiencies that come with this openness. We feel we get a better game and a more involved and motivated development team. The project leadership team on *Necropolis* wanted to run the development in a more top down fashion, because they felt it would be a much more effective way to express their creative intent. Frankly, between the number of projects in development at the time and some personal issues, we didn’t watch that closely enough, and that team and game had real challenges because of it. Even when we became cognizant of these challenges, we chose not to act on them because we felt that the project was too far along and we just needed to finish it up. This was a huge mistake. Instead of hoping it would hold together long enough to ship, we should have taken action right away realizing that even if it did ship it wasn’t going to be great.”

Weisman raises the notion that it’s important for teams not to stray too far from the studio’s philosophical foundations. It’s tempting for teams to drift as they operate largely independently. However, teams within a studio function best as microcosms of the whole.

“The studio has to have a core sense of principles on which it operates. If the development cultures of projects are too radically different then people get whiplash as they move between them,” he explains. “It’s human nature to chase greener pastures, which is only true because you’re too far away to see the weeds. Another aspect of having too much variance in how teams are managed is that people can start comparing their team’s approach to the other teams’. People think that whatever the other guys are doing must be better than what they are doing. I think there’s an acceptable breadth of variation that can happen within a studio, but I don’t think you can be super wide. How you treat your people, how you treat creativity, inclusiveness, I think those things have to be pretty uniform within a studio.”



IN THIS CHAPTER WE LEARNED

- 1 What opportunity cost is and why it matters to young studios.
- 2 Why you should be thoughtful about business partners and who has a leadership voice in the company.
- 3 How to avoid founder's syndrome without completely giving up control.
- 4 What to consider when you are large enough to manage multiple teams.



IN THIS CHAPTER

- 1 The phases of game development.
- 2 Different approaches to design.
- 3 Preparing your game for sale.

CHAPTER 5

PRODUCTION PIPELINE

CHARTING A COURSE TO A FINISHED GAME!

There is no single right way to make a game, but there are some mistakes you can avoid and lessons you can learn from those who have been doing it for a while.

Video game production is a series of interconnected dependencies. That is to say that everything you need to do likely has something that must be completed before you can begin.

With crisscrossing paths for design, art, animation, coding, sound, and more, there's a lot to keep track of. When you factor in that each task required to complete the project involves all of these different pieces at different stages, there's value in having a view from the clouds. In fact, game production is, in some ways, like flying an airplane.

FILE YOUR FLIGHT PLAN

Creating your game starts with little more than an idea. But in order to get off the ground, you're going to want to put a bit of effort into planning.

For many years, the planning process that was widely used was a lengthy deep dive into everything a game would eventually be. A game design document (GDD) is a bible for interaction, setting and tone, dialogue systems, and how the game will communicate information to the player through art and user interface.

The substantial document (possibly as many as 150 to 200 pages) is a blueprint for everything you'll do during development. It also serves as

one piece of your communication with a publisher. This will keep both parties on course.

For instance, if you include in the GDD that your game will feature 20 weapons and you deliver only 10, the publisher will have reason to question the work (and possibly withhold some payment until the issue is addressed). Likewise, if a publisher suddenly wants you to divert from development to add an unanticipated feature (like multiplayer or a level editor), you can point out that the agreed-upon GDD didn't call for that and will require additional funding and time.

In smaller studios, GDDs have fallen out of favor. They are cumbersome to create, requiring days (if not weeks) of work from multiple staff members. This typically takes the form of alternating writers' room style meetings and individual work from specific department representatives until the document is finalized.

GDDs don't just take an inordinate amount of time to compile, they become out of date immediately (and without care, eventually obsolete). They require regular maintenance (which is often forgotten), and when they are updated, it's not uncommon for some mentions of a feature to get missed. For instance, if the "jump" action is referred to as the "A button" in multiple locations, and that changes, chances are some of those will be missed. This creates discrepancies in the game's guiding document. In short, GDDs don't deal well with iteration, and iteration is a natural part of the modern development process.



Instead of full design documents, smaller studios have trended toward more streamlined solutions. If you don't know how to code, you might choose to start by conceiving. This can come in a variety of forms, including an informal conversation between designer and coder. A concept document is another option.

“I think there’s a tendency to think that the design document is this massive tome, but the design document, like the very first design document you might do is the pitch and you’re pitching that document to investors to try to get your game funded,” says Romero Games co-founder Brenda Romero. “That in itself is a design document. It’s a pretty concise one.”

Romero suggests that a document outlining **game pillars**¹ may be more appropriate for smaller teams. This philosophy encourages teams to define the elements that make up the core design principles.

One of the best examples of pillar design is Blizzard’s *Diablo III*. The 2012 release has been receiving free post-launch support since the release of its only major paid expansion, *Reaper of Souls*, in 2014. Even with a complete **economic overhaul**² removing its real money auction house, revamping how loot drops, and adding randomized content and time-limited season content, Blizzard has continued to ensure that the original design principles are upheld.

In a **2012 Gamasutra interview**³, *Diablo III* game director Jay Wilson discussed why his team used the pillar approach rather than a traditional GDD. Wilson argues that pillars are touchstones that the entire development team can remember, whereas GDDs are unwieldy and unhelpful.

Those seven [pillars] were: approachable, powerful heroes, highly customizable, great item game, endlessly replayable, strong setting, and cooperative multiplayer.

We basically said these are the pillars we have to live by. Each one has a description of what they mean. And any time that we have a question about what the game should be, we just look back at those pillars. And that was our goal. That was how we set the project up.

¹**Game pillars** - These are the foundational elements driving design. All of your decisions should be linked back to one or more of these guiding principles.

²**John Hight. “Diablo III Auction House Update,”** *Battle.net*. September 17, 2013. <https://us.battle.net/d3/en/blog/10974978/diablo%C2%AE-iii-auction-house-update-9-17-2013>. (accessed June 28, 2017).

³**Kris Graft. “The Devil’s Workshop: An Interview with Diablo III’s Jay Wilson,”** *Gamasutra*. May 14, 2012. http://www.gamasutra.com/view/feature/170258/the_devils_workshop_an_interview_.php?page=3. (accessed June 5, 2017).

We had some others, too, that were more [about] what we're adding to the project. And they were more feature-based, so for example, the PvP mode was one. The bigger focus on RPG elements was one, because we wanted it to be a more story-based game, without getting in the way of the action. So there were a few more like that.

But we didn't have a formal design document. I don't believe in the big design bible. I've done it before, and nobody reads it. I think the only purpose for having a design bible like that is for the guy who wrote it. If you, as a designer, you write a bible to get your head around your vision and your idea, write your bible. But don't ever expect anyone to read it. Don't even show it to anybody. Nobody reads that.

Unlike a full GDD, the concepting process covers top-level plans that set the stage for the project. They are a step beyond idea, putting some form around characters, world, gameplay, and core unique features.

This process eventually yields a prototype. For designers who can also code, the ability to start tinkering immediately might eliminate the need to formally concept at all (or at least delay until additional collaborators are on board).

During the process, designers may create system design documents. These function like sub-sections of a GDD, focused on specific areas of development. As an example, when Bithell Games was developing *Volume*, there was a document that was exclusively about the enemies' vision cone in order to get that right in terms of visuals and mechanics.

GDDs are massive documents that can get unwieldy. Many members of the development team will focus only on their sections and ignore the rest. System design documents address that need by being more flexible. Rather than one of the first steps in the process, they are only written at the point they are required. They are still just snapshots of moments in the process, but they are designed to be disposable as iteration demands.

During the planning phase, it's important to lock down how you are going to manage the project. There are two popular, vastly different approaches: Waterfall and Agile.

Waterfall is a more traditional approach, with the complete task list set at the beginning. It's non-iterative and heavily milestone and sign-off focused. Once you complete a phase, you likely won't go back to it without serious consideration and impact on the entire project. Waterfall is typically marked by a sequential approach rushing downward toward release (hence the name).

The challenge with waterfall project management is that it presupposes at the beginning what the final product will look like. Builds are further apart, and variation from the original plan is necessarily narrow, which means developers have less opportunity to course correct along the way.

On the flip side, there's agile development which relies on sprints. Developers are constantly working toward the next build, typically in two-week cycles.

There are a set of deliverable solutions for each build, and the team gets together to evaluate the results at the end of the cycle. This allows for immense flexibility, as teams can provide feedback and make adjustments at a rapid pace.

The sprint approach has its drawbacks, though. The pace is constant and intense, with little time for the team to catch its breath. It's great for project managers, but it's easy for teams and individuals to lose sight of the overall picture as they focus exclusively on the tasks at hand to get to the next build.

There is a third, hybrid solution that studios have adopted to balance the planning ethos of waterfall and the iterative structure of agile



development. There is planning up front, and sprints are part of the process, but they are far less frequent.

This gives the team time to work on bigger picture concerns, while pushing developers to focus when it's time for a build. Ninja Theory is one studio that works within a hybrid model.

"When we're looking at delivering a game over the course of two years for 10 million pounds, that's a very set amount of money and time," says studio co-founder Nina Kristensen. "You need a very fixed number of man-months that go into that and you have to get it done in that timeframe. You also know that if you've got to go into console submission, you need to work back X amount of time to make sure we get through the submission process. All those sorts of things. So there are some really straightforward waterfall things in that if you have to hit these very particular dates and these things have to come in a particular order. So I think in terms of the macro planning, it's a waterfall."

Kristensen says that while the broader framework is more closely related to traditional waterfall development, teams have far more flexibility. The rigidity that is typically a hallmark of waterfall management doesn't permeate the process.

"Inside of each section, if we're in pre-production we would typically split the team into a number of key pods or relevant groups of people that have got specific things to deliver within more of a sandbox time," Kristensen explains. "How they spend those three or four weeks is up to that group and they can operate in a very agile way inside of that time box."

There is no right answer to project management, and different studios have varying philosophies. The important thing is that you define your approach, communicate to your team, and stay the course.

PREPARE FOR TAKEOFF

The prototyping phase is when your project starts to pull away from the gate and head down the runway. Every prototype is an experiment to find out if your new concept is practical and fun.

When you begin, focus on what sets your game apart from everything else. If it's a unique dialogue system (like Telltale's more recent endeavors), focus on character interactions that showcase it. If you have a novel approach to combat (as Rocksteady did with the Batman:

Arkham franchise's fluid fisticuffs), make that the core of the effort. If you are introducing an established concept to a new genre (as NetherRealm did with random gear drops in *Injustice 2*), highlight that feature.

Typically, a prototype will center on the most challenging aspect of executing your vision. This is your chance to test the hypothesis that is your concept. Either your experiment will be a success, and you'll be on your path to building out a full game, or it won't work quite as you envisioned. In that case, revisit and revise your concept with a new approach or differentiator (or just go back to the drawing board entirely and do something new).

Often, developers make the mistake of trying to build out the full game or more of the features than is necessary. At this stage, that is likely to result in wasted work. Stay focused.

If you've decided to self-fund, **pre-production**⁴ can begin while you're nailing down the prototype. If you're on the hunt for publisher support, you can begin pre-production in earnest once you've signed the deal and know you have the resources to continue full game development.

The most important part of pre-production is mitigating risk throughout the rest of the process. You can afford to experiment and iterate now, impacting fewer staff members (and, in turn, fewer man-hours).

Pre-production gives your team a chance to figure out some of the foundational aspects of the project that go beyond the scope of the prototype. Concept artists will begin to define the game's look, and writers will further build out the world. Technical teams will start experimenting with technology in order to find the best engine and approach big challenges, like multiplayer features, procedural generation, and complex interactions.

Animators will decide what kind of feeling character action and performance should evoke. Will your game take cues from cartoons or be expressive in a different way? Will your game require motion capture and, if so, what technology best fits your needs?

⁴**Pre-production** - This is the planning phase of game development, during which time you'll establish style, guidelines, and principles for your design and implementation processes.

The more you experiment here in order to refine the core elements of the experience, the less waste (of time, money and devpower) you'll have later. For example, it's easier to refine and iterate on concept art now rather than scrap work later that includes the efforts of concept artists, 3D artists, animators, and coders. The more you nail down the big questions in pre-production, the smoother your ride to release will be.



BEGINNING THE ASCENT

With the concept in place, prototyping complete, and your plan locked in, it's time to build out a **vertical slice**⁵. Unlike your prototype, which focuses on your key differentiator, a vertical slice includes more of the experience. It also features art, animation, and audio that more closely represent the work from your teams. Sometimes the vertical slice is the first gameplay demo.

At this point your rhythm of interdependencies starts to kick in. The pipeline is a set of handoffs from one department to the next, as you begin to check some of the boxes on your task list.

For example, here's what might happen when you are adding an enemy to your game:

⁵**Vertical slice** - A self-contained, playable segment of a game with art, animation, user interface, and gameplay indicative (but not entirely reflective) of the final experience. It is understood that development is not complete at the vertical slice stage and that elements will likely change before release.

- **Designers** will determine the enemy's abilities as well as a basic idea for the character's traits and what role it will play in the game.
- **Concept artists** will create drawings for the character based on the designer's loose description. You might also get orthographics (front, back, and side views) for one or more concepts to aid with 3D modeling.
- **Coders** will incorporate the enemy into the game. They will also have defined a maximum polycount for characters during pre-production.
- **3D Modelers** then make the mesh, then they (or technical animators) will then make a rig (skeleton) for the character that determines how it can move. The mesh is then "skinned," a process by which it warps and moves to match the rig.
- **Animators** then determine how the enemy moves (based on designer spec and code implementation), attacks, and performs other physical actions.
- **Coders** then incorporate the models, meshes, and animations to integrate with the behaviors they've already programmed.
- Throughout this process, the **designers** are overseeing everything, sending work back for iteration and revision. It's important to note that while the **designer** is flying the plane, everyone has opportunity to contribute at this point. **Artists, animators, and coders** can all express interest in giving work another iterative pass and will all have input on the design. This can trigger fundamental changes as everyone gets their hands on new builds.

While each of these tasks follows similar, discrete sequences, the whole process is a series of handovers like air traffic control towers picking up flight tracking as the aircraft moves along its trajectory. When a department hands off its work on one item, it begins on the next.

Keep building out your gameplay and assets. Flesh out the vertical slice to give players an understanding of the entire gameplay loop. Once that's complete and everyone on the project is happy with the game's direction, you'll be in the air and headed toward your destination.

STAY THE COURSE AND BUCKLE UP FOR LANDING

The majority of your development time will be spent creating and adding content. In the airplane metaphor, this is your cruising altitude.

Up until now, your game has been strapped in, and information about it has been restricted. It's time to start thinking about when you're going to announce.

With the exception of Kickstarter projects, developers and publishers large and small have been moving away from multi-year promotion cycles. *Fallout 4*, *Watch Dogs 2*, and *XCOM 2* were all released less than a year after their announcement. Three Fields Entertainment, founded by Fiona Sperry and Alex Ward (former studio heads at Criterion), announced *Danger Zone*, a spiritual successor to *Burnout 3*'s Crash Mode, just weeks before release.

Compressing your pre-release hype gives you the opportunity to invest in fewer, more impactful marketing beats. For smaller developers, it also gives you some protection from having your game **cloned**⁶ or your thunder otherwise stolen.

One of the most infamous stories of game cloning is Vlambeer's ***Ridiculous Fishing***^{7,8}. Following the theft, Vlambeer's Rami Ismail and JW Nijman used the experience to spotlight the issue and start conversations with other developers about cloning and its harmful effects on the industry.

"I will tell you about my game when I'm ready to tell you about my game," says Romero Games co-founder Brenda Romero (*Wizardry 8*, *Jagged Alliance 2*). "There are two factors that go into this. I'm going to talk about the game when it can't be caught. This is particularly important in games that could be rapidly developed, like many mobile games, certainly those that don't have a two or three year timeline like most triple-A or triple-I titles do. For me, now I will never talk about my game too early and I will never talk about my game when I know you can catch me."

⁶**Game cloning** - The unscrupulous process of copying the core mechanics and gameplay loop of a released or in-development game. The theft can also include art, sounds, and even minor details.

⁷**JC Fletcher. "A Ridiculous Fishing story: Reel talk from Vlambeer and Gamenauts,"** *Joystiq*. <https://www.engadget.com/2011/09/07/a-ridiculous-fishing-story-reel-talk-from-vlambeer-and-gamenaut>. (accessed June 28, 2017).

⁸**Russ Pitts. "Cloned at Birth: The Story of Ridiculous Fishing,"** *Polygon*. April 14, 2013. <https://www.polygon.com/features/2013/4/24/4257958/cloned-at-birth-the-story-of-ridiculous-fishing>. (accessed June 28, 2017).

Romero explains that even if you do decide to announce early, it's important to hold some unique features back. If unscrupulous developers looking for easy marks to clone don't know your whole gameplan, they can't rush a shoddy ripoff onto an app store to beat you to market.

"We talked about *Gunman Taco Truck* because it was just a family game jam, but there was one thing we never revealed, ever, and that was taco making. If you looked at any press from the outside you would only see this truck going down the road and blowing monsters away. That in itself wasn't interesting. I mean, sure it's interesting, it's cute. It's a kid's game, right? But you didn't understand, necessarily, how the whole core loop worked. We were basically developing a roguelike around taco making and blowing away mutants. Because we hid the taco screen, we knew that the game could not be copied."

Potential theft, leaks (discussed more in Chapter 12), and unexpected development hiccups are all turbulence you might encounter en route to release. No flight is smooth. And before you begin your descent toward alpha, beta, and release (read on for definitions), you're going to have some turbulence. Your workflow will be disrupted as you head to PAX or E3 and need a new playable build, or when you're traveling to GDC in order to recruit or give a talk.

Build that time into your workflow. Anticipate early how it will affect your milestone timing.

Turbulence can also drastically impact your cash flow. If you miss a milestone entirely (or it isn't approved by the publisher), you'll need extra time to complete the work.

Likewise, your publisher might take the full amount of time contractually allowed after you reach your milestone to pay you (typically 30 days). If you don't ensure you have cash on hand for second passes, missed deadlines, and routine payments, you could find yourself unable to pay your staff and rent. If you don't have people and an office, you're headed for a crash landing.

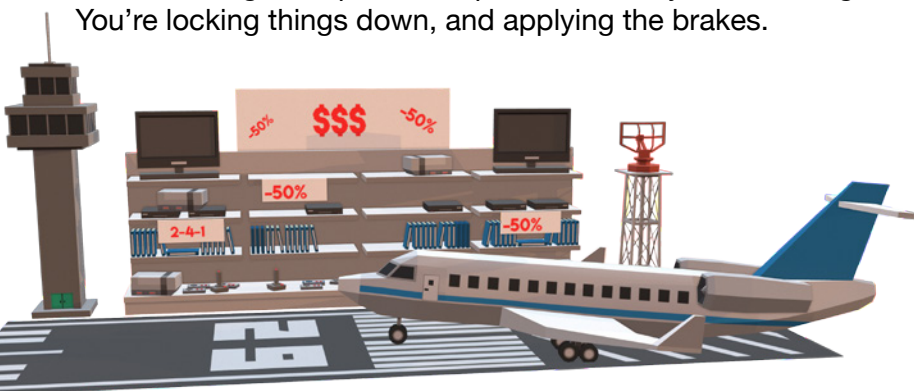
Soon, you'll approach your first major milestone: alpha. There are two prevailing philosophies about what this term means.

Traditionally, "alpha" refers to the point at which you can play the game from start to finish. "Beta" signifies when the project is content complete, but still suffering from numerous bugs.

Alphas and betas have become more accessible to the public, pushing publishers and developers to front-load more development. Because of this and a desire for publishers to minimize risk, there is a trend toward reframing alpha as “content complete.” In this framework, the beta build is relatively bug-free.

“Internally game companies still use the same things, or I’d say traditional game companies,” Romero says. “In the free-to-play market, you know, the webspace, we started to see people just putting ‘beta’ on every single thing, which was just kind of bizarre. I guess it was a way of saying we still expect the game to have bugs in it. It was a way of rationalizing minimum viable product to a game player, who up until that point in time had an expectation that games would ship without bugs, which was even more critical prior to the ‘just download the patch’ days.”

Regardless of where you touch down on the runway and how far you are from the gate, alpha is the point at which you’re no longer in flight. You’re locking things down, and applying the brakes.



You won’t be adding art, levels, or code. Your core team is working on fixing and refining rather than adding new content. You might have some external work to insert, such as voiceover.

During beta, you’re taxiing at slow speed toward the gate. At this point, you’re quashing remaining bugs.

Once you’ve beaten back the most damning of bugs, you’ll be submitting your release candidates to console and handheld platform holders. The console certification process (which might be called FQA, Lot Check, or Cert depending on the platform holder) is a lengthy investigation that covers big issues, like ensuring your game is playable and conforms with platform standards.

You'll need to make sure your achievements and trophies work, your system-level integration is operational, and even little things like the button icons are correct (you wouldn't want PlayStation controller symbols showing up on Xbox and vice versa). This is your last hurdle before popping the champagne and telling the world you're ready for release.

Each platform on which you are releasing has its own certification process, and passing on one platform doesn't guarantee you'll be cleared on the others. The work expands quickly, especially as you're hurtling toward a release date during which you'll be simultaneously launching across multiple platforms.

Certification can take weeks, or even a month, and if you don't pass the first time and haven't allowed yourself cushion to submit again, you could find yourself stopped on the runway. A last-minute delay could have major impact, especially if you are running low on cash and relying on your already announced launch date to start the countdown timer on your sales turning into revenue in your bank account (remember, it can take 30 days or more depending on platform).

Despite the public becoming more incredulous about games "going gold," that celebratory moment is still significant. Your release candidate is locked, and you have a deliverable ready for players.

In the age of internet-connected consoles and PC pre-loading, you might immediately begin working on a day-one patch to address minor bugs. If you were efficient earlier, the time between beta and release might be a brief holiday. (Please ignore this last line if you're self-publishing.)

PREPARING FOR RELEASE AND OPENING THE DOOR

If you have a small team, the post-beta vacation might need to wait a while. You've still got work to do in order to prepare your game for sale.

Look at any game page on a storefront or website, and you'll see details about the title, assets, and links. Even on consoles, those pages don't populate themselves.

Hidden behind the glossy sales page is a form with dozens of fields and text boxes. Some details are quick and require little work to complete: the game title, developer, publisher, genre, minimum and required specifications.

Other elements on the storefront pages will require additional preparation. These include your game descriptions (you will likely need multiple versions to suit different character count restrictions), logos (in different sizes), screenshots, video assets, and age ratings. You will need to have your store copy complete and provide that to your localization team with enough lead time so all the different regional store pages can go live at the same time. This is a requirement on certain platforms.

Getting your ESRB, PEGI, and other ratings can become a time-consuming process. You'll need one for each territory, and the process is slightly different for each (and for physical retail releases versus digital-only and mobile games).

These can include long-form questionnaires that request information about anything that may be pertinent to the rating. You may also be asked to supply video assets of content, including gameplay and cutscenes, with special attention to anything that may impact the rating board evaluation.

Some territories use a format developed by the **International Age Rating Coalition**⁹ (IARC) to streamline the application process. Completing the IARC questionnaire generates materials appropriate for submission to participating rating agencies.

For Steam, you'll need to activate the achievements, hook in leaderboard support, supply information about how the game installs, indicate if there is beta or early access, and connect the game to the Workshop, if you're offering that feature. For consoles, prepare to supply gigabytes of data and assets. You'll need more logo and asset sizes and additional description copy.

If you have a strong relationship with the platform holder, they might be able to lift some requirements or ease your workload. Regardless, you should plan a week for gathering and creating all of the necessary metadata and assets. It's not a sexy job, but if you want to sell your game, it's got to be done.

During this period, you'll also be lining up media coverage. This

⁹**International Age Rating Coalition.** <https://www.globalratings.com/how-iarc-works.aspx>. (accessed June 5, 2017).

includes preparing press releases and social media promotion, sending out solicitations for review codes, and fielding questions from writers.

When release day finally arrives and the game is available to the public, be sure you have a communication plan in place. Encourage your team to celebrate, but have a clear process for dealing with player feedback. If something goes terribly wrong, lean on your crisis plan (which we'll cover in-depth in Chapter 12).

Your work isn't done, though that vacation draws ever closer. Gather feedback, start mapping out your post-launch patches to address the most important issues, and if you're planning for downloadable content, stay the course. Just make sure you carve out time to enjoy the accomplishment of arriving at your destination safely.

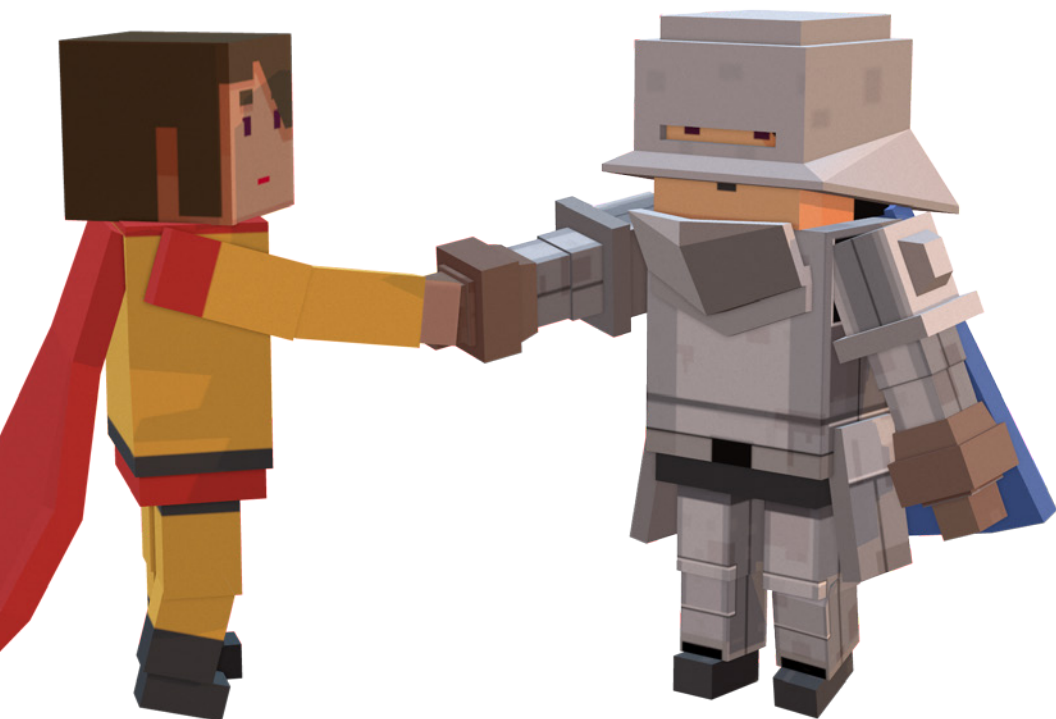


IN THIS CHAPTER WE LEARNED

- 1 How to think about design documents and when and how you might use them.
- 2 The difference between waterfall and agile development philosophies (and some approaches that split the difference).
- 3 Why to hold your announcement until closer to launch.
- 4 How certification works on consoles.
- 5 What you need to have in order to sell your game on various storefronts.

IN THIS CHAPTER

- 1 How to pitch your game to publishers.
- 2 The benefits and drawbacks of working with a publisher (and how funding works).
- 3 How partnerships can bring your game to new platforms.



CHAPTER 6

BUILDING PARTNERSHIPS

SLEEP MORE THAN THREE HOURS PER NIGHT!

If you've decided to create your own studio, it's safe to assume a few things: You have a creative vision you believe in. You have the courage and entrepreneurial spirit to turn that passion into a business. You think you can take on everything, if you can just manage not to sleep more than three hours per night.

Stop. You can't do it all, and being a successful studio head means making smart decisions. It also means becoming comfortable with leaning on others to tackle some of the work. While that can take the form of internal relationships (see Chapter 4), you may want to look outside the organization for help accomplishing your goals.

There are a number of reasons why you might partner up. You might want to secure the financing necessary to realize your vision. You could need external resources that fill expertise gaps. You might also want to increase your reach by entering a relationship with someone who can bring your game to a wider audience.

WHY WORK WITH A PUBLISHER IN THE AGE OF INDIES?

Between Steam and console self-publishing, independent development has the most direct path to consumers ever. However, there are still reasons you might want to court a publisher in order to get your game to market.

Self-publishing often goes hand-in-hand with self-funding. If you're working on your game part-time or have revenue coming in from a previous game to keep the lights on, you may be able to bankroll your latest effort.

If you don't have that steady stream of revenue coming in, or if you are ready to take on something more ambitious (read: expensive), a publisher might be necessary. If you find the right fit, you'll have access to funding, as well as services including quality assurance, localization, marketing, press relations, and distribution. Before you decide that working with a publisher is the right call, there are a number of things to consider.

WORKING WITH PUBLISHERS – WHEN SHOULD I START THE CONVERSATION?

Before you decide to contact a publisher, you should have a concise, compelling description of your game. According to Devolver Digital (*Hotline Miami*, *Shadow Warrior*) co-founder Nigel Lowrie, publishers don't want to see a fully detailed novel about your game on first pitch. Rather, you should look to focus on what makes your game stand out (read more in the "Making the right first impression" sidebar later in this chapter).

It's crucial that you find the right moment in your development cycle to approach publishers. Arrive too early, and you'll be pitching an idea, not a game. Publishers want to know you can deliver on your concepts, and that often requires a prototype.

"The right time is when you have something that I can play, or see you play, that shows off what makes it special. It can be a prototype. It doesn't have to have polished graphics. It doesn't have to have sound," Lowrie explains.

He cautions against propping your pitch up without something interactive. Concept art, while a vital component of a pitch, can't be the only thing you bring to the table.

"Giving people concept art or an idea? That's too early," he says. "A lot of people have good ideas. It's the ability to execute on that idea and do something special with it. They're not games until they're put into practice. An actual developer is someone that made something, not just someone that just has an idea. Unless you're a big developer with a proven track record, it's hard to buy into it."

Once you have a track record and a relationship with a publisher, you might have more flexibility. If you successfully deliver on one project, a publisher might be more willing to talk with you earlier in your development cycle.

“The guys that made *Hotline Miami*—they’re making their next game now—they just have an idea,” Lowrie explains. “But I know them and I know what they’re capable of. An idea is fine, but if you don’t have a proven track record, I can’t believe you until you have something that I can see and touch.”

Paradox (*Stellaris*, *Crusader Kings*) vice president of business development Shams Jorjani approaches pitches differently than Lowrie. He believes that prototypes are an eventual step in all projects, but that some conversations can start earlier. For him, being able to communicate your concept and how it will be executed is crucial.

“We’ve started doing projects that were based on a few lines on a napkin, basically, or a Post-it all the way to, ‘Here’s an almost finished game, let’s do it,’” Jorjani explains. “If you want to boil it down, whatever I’m presented with, I need to first and foremost understand what it is. I need to understand what kind of niche or need it’s fulfilling in the market. They need to roughly understand how to play it as well.”

Jorjani believes prototypes are important if you’re doing something that hasn’t been done before. If you’re implementing more conventional mechanics and making modifications, you might not need to have a prototype right away.

“If somebody comes back to me and says ‘we’re making this game and it has a nemesis system that’s just like in *Middle-earth: Shadow of Mordor*,’ you don’t need to prototype that. I know how that system works,” he says.

Just like Lowrie, Jorjani emphasizes that your chance of selling a game without a prototype is substantially higher if you are a known quantity. You probably won’t be able to convince a publisher you can deliver without a prototype on your first time out.

“A lot of people will absolutely buy, whether you have a prototype or not,” Jorjani says. “But, it also depends on your track record. If you’re a studio that has made a number of projects in the past, we know that you can code, that’s not going to be an issue, but it’s always helpful. It’s never a negative in that sense.”

You also want to be careful that you don't come to the table too late. Publishers will have little reason to work with you, and most aren't interested in bailing you out when you've mismanaged your rollout.

Jorjani says that developers coming to the table too late is a significantly bigger issue than too early. Putting out feelers a little early can be dealt with, as you'll just need to circle back later. Waiting too long can close doors permanently.

"It's a much bigger problem than people presenting too early," he says. "What are we as a publisher—the supposed experts of everything besides making a game—to do when we're presented with a case where the name, logo, box art, price point, business model, and first contact with press and gamers has already been decided for us? We're left in a 'take it or leave it' situation. Getting pitched too late compared to too early is a way more prevalent problem - we're talking five-to-one at least."

However, depending on who you are and the groundwork you've already laid, it might be possible. Paradox signed Harebrained Schemes' *BattleTech* reboot long after a successful Kickstarter campaign and well into the game's development. Jorjani attributes this to Harebrained Schemes' experience and acumen.

"Harebrained Schemes are no amateurs," he says. "But most people seeking publishing partners definitely are."

Nigel Lowrie agrees. There comes a point at which publishers can no longer assist and recover investment to make a deal worthwhile.

"It's usually a developer that has a game that isn't that great. They've worked on it alone and didn't get feedback or they have tried to get press interest and no one cares," Lowrie says. "Sometimes people have games that have already been released and they're looking for a publisher. It's because they didn't think about it ahead of time. They buried their head and were making the game, but they didn't think about showing the game to the world."

It's not always easy to manage a number of different threads at the same time. If you decide you want to work with a publisher, don't wait until your game is done (or nearly complete) to start making phone calls and sending emails.



WHAT SHOULD I PREPARE FOR THE FIRST MEETING?

Before you set the meeting, make sure you're leaving yourself enough time to prepare. You're going to need to present your game to your potential publishing partner.

When you show up, whether you're visiting a publisher's office or getting together at GDC, E3, or another major industry event, there are a few things you want to have with you. Chief among these is a prototype, especially if you don't have an extensive history of successfully shipping games.

You don't necessarily need to hand off the controller to the publisher, but you should be able to play the game live in front of them. The idea is to show off gameplay, unique features, and give your audience a feel for what is typically called the "gameplay loop" (a core set of actions—like running, jumping on enemies' heads, dodging obstacles, and jumping

on a flagpole—that the player will complete time and again throughout the game).

When you sit down with a publisher, you'll need to know how much financing it will take to bring your game to life. You don't need to hand over a complete budget on first meeting, but you should have already gone through the process detailed in Chapter 2 of this book. Your brief supporting document should include the total financial scope of the project, how large your full-time team is, and how many contractors you believe you'll need to hire for which tasks and for how long.

Most importantly, practice your presentation in front of an audience. By the time you walk into your meeting, you should be entirely comfortable with the material. Even if you get a touch of stage fright, you'll be able to lean on your hours of practice. The more comfortable you are with the prototype, the more you'll be able to let your design do the talking.

"We see a lot of developers who are nervous. A lot of them don't have anything to show," Lowrie says. "That doesn't give me anything to react to. I hate to dog anybody, because it's hard. It's a first impression, and good or bad, I've passed judgment on you as a developer. So when you don't have something to show, you probably already have a strike against you, even if it's in the back of my mind."

Getting a meeting with a publisher isn't easy. Give yourself every opportunity to make a good first impression. Here are some things to remember:

- Prepare your presentation documents.
- Have your budget outline on-hand, but be able to talk about the numbers if asked. Know the component pieces of your top-level budget.
- Practice. Then practice some more.
- Think of the hardest questions you might be asked, then answer them. If you can't, figure out how to.
- If you are presenting with someone else, know which topics each of you will address when asked. Work out a nonverbal cue system or some other way to smoothly pass the conversation.
- Don't lie. Don't make commitments you can't fulfill. If asked a question you can't answer, offer to provide the information in detail after the meeting. "I don't know, but I'll find out," is a perfectly acceptable answer.

While you might be firmly focused on business, don't forget that many publishers love games for their artistic qualities. You need to have a great financial case, but your game still needs to have something special.

“What makes a game a Raw Fury game?’ If that game gives us a feeling, an emotion that’s more than just, ‘I played a game, and it was cool,’” explains David Martinez, chief amplification officer at Raw Fury (*Kingdom, GoNNER*). “With *Kingdom*, it was being mesmerized by the beautiful pixel art, and also being entranced by the crazy minimalism of the game. It’s got a lot of depth to it, but yet it’s super easy to learn. For *Tormentor X Punisher*, it was just playing the prototype for 20 minutes and not closing my eyes. Seriously, it was like, ‘Oh my god, I need to blink.’”

Martinez also encourages developers to be personable. Who you are as a developer is a crucial piece of the puzzle.

“So what makes us want to sign a game at Raw Fury? For us, it’s something that speaks to us, but it’s also the team behind it,” he says. “That’s a really huge thing for us. That’s the differentiator.”

WHAT TO EXPECT FROM A PUBLISHING AGREEMENT

Most of the detail the public has ever received about specific publishing deals comes from hushed conversations with anonymous sources. It is exceedingly rare for a publisher and developer to explicitly publicize the terms of their deal.

One such exception came in 2017, when **505 Games announced it had signed *Alan Wake* developer Remedy’s next title¹**. Included in the press release were details that give us something specific to reference when discussing publishing deals.

Note that these are terms an established developer with multiple successes might see. Your first time out, your contract might not be quite so favorable, as the publisher is taking more risk.

¹“505 Games signs worldwide publishing deal with Remedy Entertainment,” Remedy Entertainment. May 3, 2017. <http://www.remedygames.com/505-games-signs-worldwide-publishing-deal-with-remedy-entertainment/>. (accessed June 5, 2017).

Here's what the 505/Remedy press release mentions (and what it doesn't):

DISCLOSED TERMS

- **Funding Amount** - This is the main reason developers seek publisher support. You want to make a game. Publishers have the cash to make it happen. In the case of this game (codename "Project 7"), 505 will give Remedy €7.75 million.
- **Intellectual Property Ownership** - In some deals, the developer may retain ownership of a game and its related intellectual property. In others, publishers acquire all rights. In the Remedy/505 deal, **Remedy retains ownership²**, with 505 having exclusive right of use for 20 years.
- **Revenue Share** - When games go on sale, publishers collect net revenue until the total amount of funds they provided for development are reimbursed. After this "recoup" is met, publishers and developers share revenue at a predetermined rate. In this case, Remedy will receive 45 percent of all net sales (after full recoup). Some publisher agreements work on a sliding scale, with the developer getting a greater percentage once sales milestones are met.
- **Marketing and Promotional Support** - While the specifics weren't disclosed in the Remedy/505 announcement, the publisher will be providing marketing and promotional services. This seems like something you'd expect a publisher to cover, but make sure it's in the agreement. Get specific about on-air advertisements, trade show attendance (including airfare and lodging), and influencer outreach.

UNDISCLOSED TERMS

- **Disbursement Terms** - Publisher disbursements don't come all at once. Instead, they are tied to agreed-upon milestones. These can be (and are often) tied to alpha, beta, and release. Additional milestones may be set, as well, with disbursement amounts variable based on developer needs and publisher willingness. In other words, funds aren't consistently disbursed identically across the industry or even within a project in equal portions or based on the calendar.

²Handrahan, Matthew. "Remedy prepares for a future with more games and more control," *GamesIndustry.biz*. May 4, 2017. <http://www.gamesindustry.biz/articles/2017-05-04-remedy-prepares-for-a-future-with-more-games-and-more-control>. (accessed June 5, 2017).

- **Recoup Terms** - You're going to have to pay the publisher back for their investment in your game (more on how that works later). But there are different structures for covering the recoup. Some publishers take all of the net revenue until the recoup is met. Others disburse a small percentage of the net proceeds to keep the studio afloat until the reimbursement is complete.
- **QA** - Some publishers have internal game testing and QA services. Others will contract out or expect the developer to handle this on their own. If external services are required, those costs may be on top of your recoup (meaning the publisher pays these fees directly to the service provider, but you'll need to pay them back).
- **Localization** - You want your game to be played around the world, right? That means you're going to need all of your in-game text and menus translated into a number of different languages. This may also include regional voiceover. Ask your publisher what their localization plans are, what services are available, and how those costs are handled.
- **First-Party Relations** - As you get closer to release, first-party will need to know your game is coming. Many publishers handle all of the details, including certification, storefront listing, and promotions. Others expect the developer to take the lead. Be clear on who will be managing those relationships for this project.

I GET PAID IN ADVANCE, RIGHT?

Well... not exactly. When working with a publisher, you are going to get some money at specific points in development (remember to read your agreement and ensure that your milestones are attainable). It isn't exactly "getting paid," though (even if you will get money up front).



What you're likely to receive is part of what will make up your "recoup." In theory, these funds are a non-interest bearing loan. In most cases, new developers will owe the publisher back all of the money they put into the project before they start to recognize a return.

Mechanically, funding from a publisher is recorded as revenue (for services rendered). When it's paid back, it is considered part of the cost of goods sold, with the publisher withholding some or all of sales revenue until the total equals the amount paid to you in advance by the publisher. You'll want to be sure to account for all of this in your budget.

Additionally, don't expect to start seeing money from sales the moment your game launches. There's a significant gap between your game going live and when cash starts rolling in.

"You need to plan for now through when the game ships and a couple of months after the game ships, too," Lowrie says. "A lot of people don't think about the fact that when a game ships and is on sale, they aren't going to see money from that for at least a month. The fastest anyone is going to pay you is Steam. They'll pay you the next month. In some cases, PlayStation might be 30 days after the end of the quarter."

Of course, this assumes that you've repaid your loan. Here's how it works:

Assume a publisher has provided \$100,000 to make your game (Congrats!). Your agreement stipulates a 100 percent recoup, which means before you get to keep any of the revenue, you need to pay the publisher back. In the first month, your game brings in \$85,000, before tailing off at a 50 percent rate, as seen in Table 6.1. Don't forget that the majority of digital distribution platforms take 30 percent off the earned revenue as a fee for using their services.

Table 6.1 - Paying back the publisher with 100% recoup

Month	Sales	Platform Fees (30%)	Developer	Publisher	Recoup to be Paid
0	\$0	-	\$0	\$0	\$100,000
1	\$85,000	\$25,500	\$0	\$59,500	\$40,500
2	\$42,500	\$12,750	\$0	\$29,750	\$10,750
3	\$21,250	\$6,375	\$4,125	\$10,750	\$0
4	\$10,625	\$3,187.50	\$7,437.50	\$0	\$0

In the example above, your studio owes the publisher \$100,000 (the money provided to you for the development of your game). In the first month, your game earns \$85,000. However, before you get your portion, the platform holder carves out 30 percent (platform fee). The remaining 70 percent is what you'll use to reimburse the publisher for your recoup.

There are many possible cash flow scenarios. Here are a few of the most common:

- 1** In the case of a first-party publisher (Sony, Microsoft, Nintendo), revenue will be withheld and used to reimburse the recoup. You'll receive a statement letting you know how much your game sold.
- 2** With a third-party publisher (EA, Ubisoft, Activision, Devolver Digital, etc.), the platform holder may disburse all of your post-platform fee revenue to the publisher. This happens when the publisher is responsible for listing your game on different storefronts. Your publisher should send you a statement each month detailing how much revenue was received and your recoup's current status. Be sure this is in your contract.
- 3** If you have a third-party publisher, but you are responsible for storefront listings and platform-holder relationships, sales revenue will flow to you from the platform holder. You will then need to transfer funds to the publisher to reimburse against the recoup.

In month two, we anticipate your sales will degrade by 50 percent. Here, the \$42,500 gross earnings turns into \$12,750 in platform fees, with the remaining \$29,750 used to pay back the recoup.

Month three gets complicated. You earn \$21,250 (another 50 percent degradation). \$6,375 stays with the platform holders, with the remaining \$14,875 for you and your publisher. You'll use \$10,750 and finish paying off the recoup. Your game has now broken even for the publisher (though perhaps not for you quite yet) and you get to keep the \$4,125.

Month four is when your payday is all good news. Again, in Table 6.1, we represent the 50 percent gross sales decrease. After platform split, you'll have another \$7,437.50 in your account. Note that you might not actually see that money deposited for 30 days or longer, depending on what you've negotiated.

Once you've established yourself, you can negotiate a better recoup deal. Publishers will have more faith in your games, giving them confidence that you'll make the money back. They'll also have a better sense of your business savvy, knowing that you meet your financial commitments.

In that case, you might be able to negotiate a smaller percentage recoup. That means you'll start seeing revenue earlier in the project, though it will take longer to pay back the publisher. Instead of all of your early revenue being used to pay back your publisher, you'll use half to reimburse for development expenses and the other half will go into your studio's coffers. Table 6.2 examines a 50 percent recoup over the same time (you're still paying back the full \$100,000, but it will take you longer to pay back the publisher).

Table 6.2 - Paying back the publisher with 50% recoup

Month	Sales	Platform Fee (30%)	Developer	Publisher	Recoup to be Paid
0	\$0	-	\$0	\$0	\$100,000
1	\$160,000	\$48,000	\$56,000	\$56,000	\$44,000
2	\$80,000	\$24,000	\$28,000	\$28,000	\$16,000
3	\$40,000	\$12,000	\$14,000	\$14,000	\$2,000
4	\$20,000	\$6,000	\$12,000	\$2,000	\$0

In this example, your game is off to a fantastic start in month one. Revenue after publisher split amounts to \$112,000. Under a 100 percent split, you'd immediately pay off the loan and net \$12,000 right away.

In this example, you've negotiated a steadier stream of income. Instead of paying off the recoup right away (100 percent), you're splitting the post-platform fee revenue down the middle. In both the 100 percent and 50 percent scenarios, you have technically earned all of the sales revenue. This is important for tax and legal purposes. Your accountant and attorney can help guide you through those implications.

In addition to recoup, some publishing arrangements require a revenue share. This typically comes into play after you have fulfilled your recoup. In those instances, your portion will be an agreed-upon percentage of the revenue (less platform fee of 30 percent).

Understanding revenue timing and how your contract terms impact your share is crucial. Accounting properly for cash flow will make the difference between planning your next game and delivering bad news to your employees right after (or immediately before) your game ships.

MAKING THE RIGHT FIRST IMPRESSION

Devolver Digital has made a name for itself as the premier publisher of quirky and stylish indie titles. While every company looks for different things when scouting games for their portfolios, Devolver co-founder Nigel Lowrie offers some thoughts about how to make a pitch stand out in a publisher's crowded inbox.

*The ideal pitch to us is a clear, concise visual representation of what makes your game unique. **Downwell** was just a gif. I looked at that gif and just “got” it. I could immediately see from five seconds of footage what made it stand out.*

*The best pitches stuff a video or gif in the email. I can react to that and immediately decide if I want to know more. I prefer a very small document that lays out the scope of the game, the goal of the game, and what makes it different. I hate when people say, ‘It’s **Hotline Miami**, but this...’ I know it’s an easy thing to do. It’s shorthand. I get that. But I want to know your ability to sell it differently than other games. Just get us a quick explanation of what makes it different, what your production plans are, what your goals are, what platforms you want to be on, and how much you think it’s going to take to get there. I want it short and sweet. I think a lot of people want to over-explain on the initial meeting.*

Think of it as meeting someone for a date. You’re not going to try to tell them your entire life story. If you’re going to court them, you have to tell them what makes you an interesting person. If they want to know more, they’re going to keep talking to you.

It’s like an elevator pitch with a visual component. You just need to get someone interested, and they’ll come back for more. If you send a 40-page document, I can tell you I’m not going to read 40 pages. I have a lot of these to go through. If you don’t have a good focus of what your game is and why you’re special, then you’re already in trouble.

GOOD PITCH, BAD PITCH

Not every pitch is a winner. Some of them are home runs, while others strike out. Devolver's Nigel Lowrie walks us through one of each.

*One of the pitches I'll never forget was **Enter the Gungeon**. Dave Crooks is the lead designer and studio lead of the team at Dodge Roll. It was E3 2014. We were at the lot we rent at E3, and this guy walks on. I didn't know he was coming. He introduced himself and he asked me to look at his game. We don't usually see games at E3, but I decided to check it out.*

*He had a prototype (it felt more like a full demo) of **Enter the Gungeon**. It was polished for a pitch. It was amazing. I could see what made it special. He drove all the way across the country. He had no appointments. He wanted to see us and Sony, and he didn't have an appointment with them either. That was brave and bold, and I liked it. It struck me, because he took a risk.*

*The cringiest pitch was someone who wanted to show me how they could **clone**³ popular games and bring them to mobile. One of the examples was of our game. This wasn't an email pitch. This was a guy with an iPad showing me how he could take the game, change a few things, and sell it on mobile. I told him we didn't want to get involved. It was bad business.*

³**Game cloning** - The unscrupulous process of copying the core mechanics and gameplay loop of a released or in-development game. The theft can also include art, sounds, and even minor details.



SO MANY PLATFORMS, SO LITTLE TIME

Working with a publisher isn't the only kind of partnership to consider when planning your game's development. Right now there are three major home console platforms, handheld systems, PC (Windows), Mac, iOS, Android, virtual reality, and other in-development mediums and technologies that might be the right fit for your title.

Even massive studios with hundreds of employees find partners to work on some versions of their games. Mojang enlisted 4J Studios to work on *Minecraft's* console ports, Activision had Certain Affinity handle *Call of Duty: Modern Warfare Remastered* while original developer Infinity Ward was on another project, and Iron Galaxy (rather than Gearbox) adapted *Borderlands 2* for Xbox One and PlayStation 4.

Smaller developers also frequently work with partners in order to simultaneously launch on multiple platforms or extend a game's reach after the initial release. For example, Bithell Games teamed with Curve Studios to bring *Thomas Was Alone* to console platforms. Supergiant, developer of *Bastion* and *Transistor*, has also enlisted help bringing games to a variety of platforms.

Studio director Amir Rao says the company has taken two different paths to find the right team to help bring its games to more devices. "We've had a lot of people who are just fans of our games reach out to us and want to work with us. In other cases, we started looking," Rao says. "Some people in the studio knew people, and others outside of the studio said, 'Hey, you should check out these guys. They're really interesting and we really believe in them.' All those things were helpful. One of the best things about working in the game industry is the community of people who develop around it who become your people you can go to and ask for advice."

There are different ways to work with partners. Supergiant took different paths for *Bastion* and *Transistor*, both of which met with success. You can read more in "Inside out or outside in?" later in this chapter.

DECIDING IF A PARTNER IS A GOOD FIT FOR YOUR STUDIO

While partnerships are a smart path to increasing your reach, they are not without risk. You need to be comfortable giving up some direct control as you put your creative work (and your brand) in another company's hands.

Making the decision to partner isn't necessarily easy, but there are things you can do to give yourself more confidence before saying "yes." Rao believes that immersing yourself in your potential partner's past work is a good way to build confidence (or expose red flags).

"Play their work. That's a starting point," he suggests. "Play the versions of games that they have made. That for us was big."

Rao also suggests that you use your network to help vet companies with which you might want to do business. You should also ask your potential partner for a list of references.

"People who do good work are happy to connect you with the people they've done work for," he says. "When you're talking to someone who

could potentially be doing external development for you, it can be a really telling sign if they are proactively trying to connect you with people they've done work for because those people will have the best sense of what it was like to work with them."

Some things to think about before handing your work off to a port studio:

- Play their work and compare it to the original platform release.
- Ask for references.
- Call those references and ask how well the studio worked as a partner, inquire about timing issues, and find out how much management you should to expect to do.
- Even small game ports are investments of tens of thousands of dollars/pounds/euros. (Something to keep in mind if you crowdfund and use ports as stretch goals. Be sure to budget enough to get the job done. We cover crowdfunding in detail in Chapter 9.)

CONTRACTING OUT YOUR POST-LAUNCH SUPPORT

With the era of fire-and-forget game development (games released with no DLC, expansions, or possibly even patching) all but over, and games-as-service (games that have post-launch support and content plans, most often with online interaction) becoming the prevailing model, every game you release adds to your ongoing workload. Even if you prefer to build all of your ports in-house, managing that many versions can be challenging.

Vlambeer (*Luftrausers*, *Nuclear Throne*) has enlisted assistance managing some of its post-launch support. This enables the small team to move forward with new projects while ensuring that customers' needs are addressed with patches and content updates.

The studio enlisted the help of Abstraction Games, which is handling updates for *Luftrausers* on PlayStation Vita. "Abstraction Games was an easy one," says Vlambeer's Rami Ismail. "They're actually based in the Netherlands [like we are], so we've come across them a number of times, and they mentioned that they do porting work. Up to this point we've always done our own ports, but with the amount of support that comes from having five active games out there, and the amount of work that comes with being a somewhat better known studio, the porting

work really wasn't something that we had time to do thoughtfully, especially now for some of the older games."

Vlambeer needed assistance in part because *Luftrausers* was the first title released on PlayStation platforms that natively runs on the GameMaker engine. For Vlambeer, being first also meant being the test case for unexpected challenges.

"When we tried it, at first glance, it seemed to be running well. What we learned is that the first glance is not the full story," Ismail explained. "We ran into a lot of problems finalizing the game on PlayStation, to the point where one of our patches ended up taking almost half the year, because we just couldn't clear the technical requirements checklist or the FQA (final quality assurance) process, because every time we would fix something, something else in the engine would break, or the engine would lag behind the [software developer kit] version required, or something like that. At that point, the PlayStation target wasn't a priority within YoYo Games [developers of the GameMaker engine] either, because there was only one studio using it."

Ismail says that he and his team learned a valuable lesson that will guide the studio's decisions about porting moving forward. "Even if your engine just supports a clear port, it's never just a clear port," he says. "There's always additional work. I think we would be much more likely to let external studios deal with our port in the future, and that's also one of the reasons you saw our announcement of working with Abstraction Games."

That's not to say that there isn't value in going through the porting and submission process. Ismail believes that developers need to know first-hand what that entails on different platforms.

"I would recommend every developer go through the process of submitting a game to PlayStation yourself and going through FQA yourself or Microsoft or Nintendo," he advises. "But after you've done it once, I would really reconsider doing it again, unless there's no other way."

HOW IMPORTANT ARE PORT REQUESTS FROM GAMERS?

If you've spent any time on social media, you know that fans of any form of entertainment are more than willing to make requests of creators. For developers that haven't announced releases on every platform, that often comes in the form of port requests.

You might find yourself with a seemingly enormous demand for your game on a device with low adoption. Should you take that at face value, you could find out the hard way that all of that supposed interest doesn't translate into actionable sales and a failure to break even on the investment.

It's important to take into account what your audience is saying, but that feedback should be balanced against other factors. "Sometimes it feels like some audiences are quite vocal, whereas there might be some audiences that are actually numerically ginormous, but you may hear from them less," Supergiant's Amir Rao says. "That doesn't mean they won't be super happy to have your game there. I think it's just one input."

However, he points out that monetary motivations aren't the only ones for bringing your games to new platforms and audiences. There's a preservation and accessibility component for keeping games alive on new devices.

"I think for us we are always curious if our games will find a home on any platform," Rao explains. "We're a small team, so we have to focus on what we do and on day one we can't be everywhere at once. There is a tremendous satisfaction in knowing that the game is accessible to modern players. Sometimes platforms come and go, so it's just one of those things where it feels right to have the game available to anyone who would want to play it if you can do it. There's tremendous satisfaction there, for sure."

WHAT'S THE BENEFIT OF LAUNCHING ON EVERY PLATFORM AT ONCE?

While late ports have gotten more common in the age of self-publishing, conventional wisdom still suggests that it's better to simultaneously launch on as many platforms as you can feasibly manage.

Your game is going to get the most coverage when it first becomes available. Media will be more inclined to cover your release announcements and set time aside for a review around your launch date.

On the consumer side, more people being able to play your game right away translates into greater word of mouth, social media presence, and volume on streaming and video networks. The reality is you might not be able to simultaneously release on six or more platforms at once.

In that case, there are some ways to take advantage of traffic spikes as you roll out your game on new platforms. A sale across versions to celebrate the release of a new edition not only incentivizes your new potential audience, but gives gamers on existing platforms a reason to pay attention.

Attracting media coverage when you bring your game to new platforms can be challenging. Pairing the release with a major content update across versions gives media more reason to pay attention. Not only are you rolling out a new edition, but your existing players everywhere have something new to experience.

There is something to be said for spacing out your releases. Burdening yourself with all of the post-launch support for multiple platforms at once can be more than your team can handle.

"There's actually a news story, there's actually a beat in every time you re-release, and if you release so many SKUs at once, not only do you put all of that news together, you also end up supporting all of those SKUs at their peak market sales at the same time," Ismail cautions. "It's horrifying. Yeah, release one or two SKUs at the same time, one console and PC, Mac, Linux, or mobile, and then go from there."

INSIDE OUT OR OUTSIDE IN?

Founded in 2009, Supergiant Games has delivered two major hits in *Bastion* and *Transistor*. Both games have permeated the gaming landscape, making their way to a number of platforms, including PC, consoles, and mobile devices.

Supergiant originally launched its first title, *Bastion*, in **Microsoft's 2011 Xbox Live "Summer of Arcade"⁴** promotion. Following that, the game went to Windows, mobile devices, and most recently in late 2016, Xbox One.

"For *Bastion*, a lot of the versions of the game that were released after the initial Xbox and PC version we did ourselves," says Supergiant studio director Amir Rao. "We started partnering with people on *Transistor*, and actually later did some partnership stuff on *Bastion* as well. We worked with BlitWorks, a company in Spain, for *Bastion* for the PS4, and then we worked with a company called Confetti in San Diego for *Transistor*."

Rao says that Supergiant approached each of these relationships differently, tailoring things to make things work with each partner. "In one case, the team took the whole thing all the way to cert and just took our feedback. In the other case, we actually worked on the game alongside the developer to do the additional versions of *Transistor*."

There's no hard and fast way to manage partnership development. The nature of the arrangement can even change during the project.

"We've also worked with people where we brought them in," Rao says. "Basically they did a bunch of work on their own, then they moved into the office for a little while to finish up. It all depends on what you're doing, what the endeavor is, the scale of the work involved, and how technical it is."

When Supergiant was teaming up with Blitworks, it adapted to another model of co-development. Instead of handling work internally, Supergiant served as a producer, providing services to guide the PlayStation 4 edition.

⁴Larry Hryb. "Summer of Arcade Kicks off June 20th," *MajorNelson.com*. June 6, 2011. <https://majornelson.com/2011/06/06/summer-of-arcade-kicks-off-july-20th/>. (accessed June 28, 2017).

“[Blitworks] basically took it and ran with it, and we provided a feedback, production, and a quality assurance role on that,” Rao explains. “Morgan, our QA developer, basically did all the things a producer would do on a project. He made sure it kept on track, made sure the quality was there, communicated back to the team about stuff that we needed to provide, like special art assets for that particular version of the game.”

According to Rao, there’s no right way to work with a partner studio. You just need to find the relationship structure with which you’re most comfortable.

“For most developers, I think what it comes down to is just how comfortable you are with how close the relationship is,” he says. “Some people want to work with an external partner because they don’t want to think about it. Some people want to work with an external partner that will be like a peer. I think for us, since we’ve done all those things, we’re open to all of those things and figuring out the right arrangement.”

FINDING THE RIGHT MATCH – TRINKET AND ADULT SWIM GAMES

You’ve got your prototype, meetings are set, and you’re ready to start pitching your game to publishers. Chances are you want nothing more than to get a yes and begin the lengthy process of ironing out a deal.

But what happens when a publisher finds you? What if you have multiple options when you’re ready to sign?

Trinket Studios, developer of the successfully Kickstarted *Battle Chef Brigade*, found itself in just such a position. The path to signing with publisher Adult Swim Games took years, multiple conversations, and a surprising “bribe” before the pair made it official.

Battle Chef Brigade was successfully crowdfunded in October 2014. The game’s art style and unique genre blend attracted attention from a number of publishers. Trinket was hesitant to sign too early, though.

“We were talking with publishers for years,” says Trinket Studios president and co-founder Tom Eastman. “That turned out to be excellent because we occasionally got forecasts and their opinions on the game.”

After the release of Trinket's second game, *Color Sheep*, the studio was in the prototyping phase for *Battle Chef Brigade*. At the same time, another Chicago-based developer, Ragtag Studios, suggested that Eastman reach out to Adult Swim senior manager of developer relations, Steve Gee. Ragtag had signed with Adult Swim to publish *Ray's the Dead*, and vouched for Gee.

It turns out that Gee was familiar with Trinket's games. The beginning of the relationship was casual, but set the foundation for the current publishing partnership.

"I knew that Trinket and Tom and his team Eric, the artist, do amazing work," Gee recalls. "I loved *Color Sheep*, and I was like, 'What are you guys working on next?' And he showed me *Battle Chef's* early days and we've always just kind of kept in touch and Tom would ask, 'Hey, tell me more about publishing.' We had ongoing conversations for the next three or four years, and we finally signed."

The relationship evolved naturally. Trinket would meet with Gee at industry events, showing off a little bit more of *Battle Chef Brigade* each time. The studio didn't want a publishing deal yet, because Eastman and partners Ben Perez and Eric Huang didn't think they'd get a good deal.

At the same time, Trinket wasn't confident it needed a publisher. Eastman, Perez, and Huang thought they were "one big streamer" away from *Battle Chef Brigade* becoming a viral hit.

While Gee had been keeping an eye on Trinket, the studio was watching Adult Swim go through a transformation. The publisher was keen on signing *Battle Chef Brigade*, but it wasn't until Trinket saw the benefit of having a publisher firsthand that the team warmed to the idea.

"We saw their momentum going from the ten by ten foot booth next to the PAX indie showcase to having these really cool portable kiosks at PAX East last year," Eastman recalls. "We were like, 'Oh, that would save a lot of time if we had that ... That's a good idea., And then seeing them grow, every booth each convention being better, the games they're signing getting better, and saying, 'Okay, now I feel like we fit into that.'"

With the decision made to pursue a publisher, the buzz around *Battle Chef Brigade* brought in three suitors, with different personalities.

According to Eastman, Adult Swim was competing with a traditional publisher and a “scrappy, new publisher.”

Trinket was poised to sign with another publisher, but Gee did something unexpected. He told us that he gifted Trinket with an enormous package of candy, but Eastman’s account of the story reveals the importance of the gesture.

“One publisher out of the blue sent us a whole bunch of Japanese candy,” Eastman says. “And so during the discussions with Steve Gee and Jeff Olson, we were like, ‘Well, what about Japan? We’re making an anime-style game, it would make a lot of sense, wouldn’t it?’ And they said, ‘Well, we haven’t done a lot in Japan. Why is this coming up?’ Famitsu wrote a really nice article and this random company sent us a bunch of Japanese candy. So Steve said, ‘Okay, I’m going to send you a whole bunch of candy.’ And I said, ‘No no, you don’t have to bribe us or anything.’ But lo and behold, right before we went to a convention with a whole bunch of Chicago devs in Indianapolis, a giant box of Japanese candy shows up and even though that’s marginally symbolic, the responsiveness, attentiveness to what we were saying, and especially the freedom to spend the money in creative ways, really stood out to us.”

The deal happened quickly. Trinket made the decision and signed the week before PAX West in Seattle. Attending that show was important to the studio, and Adult Swim made arrangements to get *Battle Chef Brigade* into the booth.

Finding the right publisher is about finding the right fit. Start making connections early. Find out how people work and figure out the values and practices that make you the most comfortable. Whether you decide it’s about funding, creative freedom, or a publisher who is willing to satisfy your sweet tooth, getting your game to market is as much about relationship as it is product.



IN THIS CHAPTER WE LEARNED

- 1 What publishers expect from a good game pitch.
- 2 What is included in a typical publisher agreement.
- 3 How to think about porting your games to more platforms.
- 4 How the money flows with regard to recoup and rev-share.



IN THIS CHAPTER

- 1 Preparing for a negotiation.
- 2 How to decide when to take the deal.
- 3 What not to do after a negotiation.

CHAPTER 7

NEGOTIATION

THE ART OF WINNING AND LOSING AT THE SAME TIME!

Think back to the last time you sat in a job interview. After you fielded all the questions about your education and experience, deftly handled that inevitable question about your biggest weakness, and told the interviewer where you expect to be in five years, you probably had to answer the trickiest inquiry of them all.

“What are your salary requirements?”

Answering this is always a crapshoot. Go too high, and you could be pricing yourself out of a job. Go too low, and you could be doomed to years of catch-up and dissatisfaction.

Assuming the employer wants to offer you the job, the answer to this one question sets the tone for the entire discussion about salary and benefits not just at hiring, but at every annual review to follow. The only way to get this one “right” is to prepare. If you did your homework, you know what the salary range is and what others in your field with similar experience are paid.

As you take on the role of employer and grow your own studio, negotiations will become a larger part of your daily life. You’ll be hiring

multiple employees—each of which is a new negotiation process—and eventually, you’ll be across the table from a publisher.

Every negotiation starts with research and planning. The opening bid, sometimes called the “anchor offer,” frames the entire conversation. While the details of the first offer will become less important as the negotiation matures, it will remain a touchpoint throughout the discussion. In some ways, it’s the most crucial tone-setting moment of the entire deal, and only preparation will let you know what to expect moving forward.

Bargaining is often going to be far more complicated than trying to eke out another few dollars per pay period or an extra week of vacation. However, those conversations give you a solid foundation for understanding the principles of negotiation.

WHAT IS A NEGOTIATION?

At its heart, negotiation is about coming to an agreement. With that comes compromise. It is rare that one side gets everything it wants. In fact, good negotiations often leave both sides thinking they got a better than expected deal and gave up just a bit too much.

This happens because negotiations are a series of points dissected and debated, before gains and losses are totaled into a comprehensive deal. In a video game example, you may increase your total funding from a publisher, but may see a smaller up-front payment or a less favorable royalty curve.

WHAT SHOULD I KNOW BEFORE ENTERING A NEGOTIATION?

If you’re ready to sit down at the negotiating table, you’re going to need to prepare. Going in blind is the fastest way to get a terrible deal you have to live with throughout the life of your project (and beyond, if royalties are concerned).

Assuming you’ve read this book in order, you’ve already checked out the chapters on budgeting, staffing, and studio structure. Your team needs will drive your costs and, in turn, your requirements for bringing your game to market as you envision it.

Beyond the bottom line cost and publisher payout, you’ll need to take studio cash flow into account. Plan out when you’ll need to bring on

new staff and contractors so you can adequately identify how much you'll need month-to-month throughout the development cycle. This will factor into your conversations about milestone payments.

As discussed in Chapter 6, you'll also be negotiating a number of other details, including:

- Recoup rate
- Revenue share terms
- Intellectual property ownership
- Merchandising rights
- Quality Assurance responsibility
- Localization responsibility
- First-party relations management

HOW SHOULD I PREPARE FOR A NEGOTIATION?

The key to a successful deal is research and preparation. Make a list of all the different aspects of the contract: fees, resources, timetable, IP ownership, secondary payments (royalties), distribution rights, and so forth.

However, before you can reasonably determine what you should ask for, you'll need to understand market conditions. If this isn't your first rodeo, chances are you have a good idea of staffing requirements, costs, and timelines. If not, you should phone a friend.

If you've attended trade and consumer shows, participated in online industry forums, or built relationships via social media, this is a good moment to ask for assistance from colleagues. It is far better to seek help than to walk into a negotiation with wildly off-base requests.

Once you have all the information you need, figure out your bottom line. What's the bare minimum you need in order to make the project a success? When you get to the negotiating table, don't share this information, or you'll severely weaken your position.



Next, determine your opening request. This is the result you consider the best possible outcome, though be careful to remain within the realm of reason. Asking for consideration far outside the market norm can sour discussions. With a minimum and ideal identified, you have your negotiating range.

Finally, identify the point at which you'd be happy to land. This can be your minimum, or it can be somewhere in the middle of your range. It should not be equal to your request, except in binary situations that are of the utmost importance. You need to have some room to give on most points.

With your list of negotiating items, settlement ranges, and targets, you're ready to start prioritizing. Put your list in order of importance. Which items do you feel strongest about? Which are those that you'd be willing to severely reduce or abandon completely in service of others? You need to be prepared to give up some of your requests, but you can stand firm on those of utmost importance. While you'll be discussing the same aspects of the deal, how your priorities align with the other side's will play a major role in the negotiating process.

Sadly, you must also prepare for the deal to fall apart. Not every trip to the bargaining table ends with a signature on the dotted line. In these cases, you need to have a "best alternative to a negotiated agreement" or BATNA.

The BATNA, also called the walking away point, is your contingency plan. It's the point at which a deal would be so untenable that the alternative is a better solution. In the best case, the other option is another offer on the table (from a different publisher, perhaps). However, you may be in a situation in which walking away from the negotiating table is a better option than signing the deal. Many developers don't actively seek multiple opportunities at the same time, choosing to focus on one at a time. You can strengthen your negotiating position by having safety nets in place.

As an example, say you have the project planned out for a specific funding level. Considering how you might complete the project with a smaller amount of money allows you to remain flexible. Certainly, the end result will be different at the two target budgets. If you can deliver on the core vision and you have no other choices, signing the deal at a lower amount (and delivering a smaller game) might be your best bet.

If your pitch is that good, your BATNA might be to bring the game to another publisher or revise the scope. At the same time, you should think about what the other side has to gain or lose from walking away. This will also help you determine who has the better bargaining position and how much you can reasonably push without short-circuiting your chance to complete the deal.

WHAT SHOULD I EXPECT FROM A NEGOTIATION?

When thinking about negotiations, the image we typically conjure is one of a large boardroom table with key parties and attorneys on opposite sides. While that's sometimes how it happens, these meetings are often far more casual than the stuffy, stoic stereotype.

Make no mistake, though. When sitting at the negotiating table, you aren't conversing with friends. You were brought together by common purpose, but in this moment, you are adversaries. For those who think "adversaries" is too harsh, let's say you're opposing superheroes who've agreed to team up, but have wildly different goals for the end of your team-up.

That doesn't mean you will have a contentious discussion or that there will be any ill will. When entering into a partnership agreement, that's not the best way to kick things off, after all. Rather, you should realize that during negotiations, each side has different goals. Both parties want to work together, but the paths to that destination diverge.

HOW TO AVOID MAKING A RASH DECISION

As we've mentioned, negotiations are a series of conversations about granular details. It's all too easy to lose the forest for the trees, becoming hyperfocused on items that, while important, shouldn't be deal-breakers. Perspective is important.

You should take time away from the table every so often, especially if your team hasn't discussed a specific issue or the other side offers a creative solution you hadn't considered. Ask for a short break and a moment to converse in private. Get on the same page with your team.

Even if you think things are going well, it's important to take a breather. It's hard to consider the entire deal when you're working through a specific issue like milestone timelines. Take a moment away, check in with your team to make sure everyone is happy with the progress, and return to the table renewed and refreshed.

For those who take the opportunity to network at annual industry events like the Game Developers Conference (GDC) and the Design, Innovate, Communicate, Entertain (D.I.C.E.) Summit, the setting is ripe to strike a deal. However, it's also a recipe for making a mistake if you aren't careful.

Do not negotiate or accept offers while intoxicated. Industry parties are lively affairs. Make new contacts. Build relationships. Don't finalize a deal next to an open bar.

Business development professionals negotiate for a living. A drink in hand might embolden you to think you can get the better of someone at a party. In truth, you're more likely to end up with buyer's remorse.



DO NOT NEGOTIATE IN BAD FAITH

When you are ready to sit down at the negotiating table, it's important you do so in earnest. At this point in the conversation, your goal should be to get to a "yes."

You may have heard the advice, "always take the meeting." Don't shoot down an opportunity before you hear the details. Don't shut the door on a conversation based on assumption.

This is great advice... except for negotiations. Coming to the table with anything other than an honest interest in reaching an agreement is considered "bad faith."

If you're in it only to explore (and not because you're serious about striking a deal), you're lugging gasoline and a lighter to the table. You're wasting everyone's time and could torch the relationship and your reputation.

Likewise, "bad faith" covers deliberate deception during the negotiation process. Given that video game publisher deals require many layers (the first of which is a "yes" that leads into hammering out specific terms), leading the other party on can have severe business implications.

For instance, if a publisher says that it wants to move ahead with hammering out the specifics of the deal but later breaks off discussion without cause (like a failure to come to an agreement), it would be considered to be negotiating in bad faith. The other side may have declined other opportunities, leaving the wronged party without options.

While negotiations are at their core adversarial, both parties must be at the table to reach a deal. Once the two sides agree to work together, a step back without reason will have palpable emotional and financial repercussions.

"Bad faith" also has a specific legal definition. It's important to know when bad faith is legally actionable and when it's just unprofessional.

"Bad faith means a dishonest act that fails to fulfill a legal obligation, misleads another, is entering an agreement with no intention to follow through or violating basic standards of honesty in dealing with others," says Brandon Huffman, managing partner of Odin Law and Media. "For example, walking away from negotiations with a publisher at the eleventh hour because you have a better offer from another might be common sense bad faith and might seem like a jerk move. It's not legal bad faith unless there is an obligation, like a right of refusal or a binding term sheet in place."

"Bad faith could come up, for example, if your publisher lures you into a deal by promising to distribute in a specific territory. The agreement might say they will 'try,' then they never do. If you can show they never intended to try, that would be bad faith and it could give you a cause of action against them or a plausible defense if they sue you for failing to fulfill an obligation under the agreement."

WHAT NOT TO DO AFTER THE NEGOTIATIONS ARE OVER

There is a possibility that after you've come to an agreement and before the paperwork is signed that you'll have a bit of buyer's remorse. You might start thinking through the deal and wondering if you gave up too much or didn't get quite as much as you'd hoped. This is completely normal. Negotiation requires both sides to meet in the middle, which means you'll probably think some bits turned out great and others weren't as favorable.

If the negotiation goes smoothly, it's easy to convince yourself you would have gotten more funding or time had you just asked. The truth is that you'll likely never know if you lowballed yourself, or if you and the other party simply started not too far apart. Sure, you may have gotten more if you tried, but you also might have ground the conversation to a halt.

If you've finished the discussions, thinking you have a deal in place, you've already put your reputation on the line. It is strongly advised that you don't attempt to reopen negotiations except in extreme circumstances. This is why preparation and knowing what you want beforehand are such a significant part of the process. If you find out the day after striking the deal that a key member of your team is leaving, and you need additional time to find a replacement, you should most certainly let the other side know.

However, if you wake up the next morning and think you should be earning more, want better royalty terms, or want to radically shift milestones, take a deep breath. It's disheartening for one party to think a deal is finalized, only to have the other side want to start over. A shift in one element means some (or all) of the remainder of the terms need to be revisited.

Asking for more after an agreement is in place is bad faith. It could harm your reputation, sour your relationship, and possibly destroy the entire deal. Make sure you absolutely need to reopen discussions, and be prepared for the other side to play hardball.



IN THIS CHAPTER WE LEARNED

- 1** The importance of asking questions of those who have already been through the negotiating process.
- 2** How to determine your BATNA and evaluate offers on the table.
- 3** That you should never negotiate in bad faith.
- 4** Why you should never renegotiate after you've agreed to terms.



IN THIS CHAPTER

- 1 What “intellectual property” actually means.
- 2 The different ways to protect intellectual property.
- 3 What to do if someone steals your intellectual property or leaks your project.

CHAPTER 8

INTELLECTUAL PROPERTY

THE VALUE OF INTANGIBLE ASSETS!

By now, you have probably at least considered your company's **cost centers**¹ (even if you haven't yet created your first detailed budget). If so, one category likely stood out as the single greatest investment area.

Game studios are driven by people. Video games are products that wholly reflect the individuals that bring them to life. Much of your company's value will be based on the strength of its intellectual property. This means you must take steps to manage this vital asset, set expectations among employees, and safeguard it against theft.

WHAT EXACTLY IS INTELLECTUAL PROPERTY?

No doubt, you've heard the term "intellectual property" (or its abbreviated form, "IP") used in a variety of circumstances. Most often heard as "new IP," consumers typically think of the term in its most amorphous definition: distinguishing a new original work from others that have come before it. As someone who is likely to create and own intellectual property, there's more you need to know.

According to the **World Intellectual Property Organization**², intellectual property is defined as "creations of the mind, such as inventions; literary and artistic works; designs; and symbols, names and

¹**Cost Center** - For our purposes, cost centers are different departments and activity categories that result in the expenditure of company money.

²**"What Is Intellectual Property?"** World Intellectual Property Organization. <http://www.wipo.int/about-ip/en/>. (accessed June 5, 2017).

images used in commerce.” In the case of video games, this includes almost everything from the initial pitch all the way through final release.

Because much of this work exists in the digital space and is often touched by so many people, controlling this vital asset is challenging. It requires planning, employee training, and adhering to established safeguards.

Intellectual property protection exists to foster creative endeavors. Without that safety net, businesses would be unable to recuperate investments in research, development, and innovative manufacturing. Innovations would be immediately replicable, as copycat products of questionable quality flooded the marketplace.

In the case of video games, penalties for piracy would not exist. Console manufacturers would flee the marketplace, as knockoffs and unlicensed software would rapidly erode return on investment. In short, if you like creative works, intellectual property protection is vital.

HOW TO PROTECT YOUR INTELLECTUAL PROPERTY

There are four main types of intellectual property, and all four are relevant to the video game industry. Developers should have a top-level understanding of the subject, but finding an attorney who is experienced or an expert in IP should be a priority.



In the United States, three of the forms of intellectual property are managed by government agencies. The other is handled contractually with employees and contractors. Note that as with all legal matters, regional laws vary. Be sure to consult an attorney licensed to practice in your region for guidance.

TRADEMARKS

Trademark and copyright are often confused in casual conversation, though they have two different purposes. Your studio logo, game title stylization, and anything else that identifies your company or its products would be subject to trademark protection.

Think of some distinctive brands, and you'll likely conjure images of their logos. Coca-Cola, Apple, and LEGO all have immediately recognizable company trademarks. Likewise, Xbox, PlayStation, EA, and Ubisoft all have readily identifiable logos. Video games' title stylizations can also be trademarked. Assassin's Creed, Mortal Kombat, Grand Theft Auto, and Pokémon are just a few of the countless video game logos that most consumers can identify without much thought.



Registering a trademark is a measure to protect against brand confusion. Imagine walking down the aisle at the supermarket and seeing a bottle labeled in red and white, with a name in swirling Spencerian script and a wave underneath. That distinctive styling is part of Coca-Cola's trademark. Without that protection, any soft drink bottler could use a similar stylization to leech off of Coke's 130-year history and confuse consumers into purchasing the wrong product.

Like patents, trademark applications are filed with a governmental agency in your region. Documentation must include the name or stylized logo itself, colors, and a list of the goods and/or services to which the trademark will apply. You may also be required to submit an example of the name or logo in use, such as on a product label or, in the case of a mark identifying services (Apple has registered a service mark for "App Store"), an advertisement. Sounds can also be protected as service marks, including the Xbox 360 startup sound and the 20th Century Fox fanfare.

COPYRIGHT

Creative works, like books, films, and video games are separate from the logos that identify them. In the case of game development, copyright covers a broad swath that encompasses the entire creative process.

Copyright protection gives you the ability to control reproduction of your work (preventing illegal copies), broadcast or public performance (allowing the ability to put guidelines around streaming, for example), translation (ability to prevent or explicitly allow translations), and adaptation into other formats (including unauthorized films that are explicitly based on a game's plot). The rights bestowed also allow creators to assign or license rights to others for limited purposes. Most feature films based on video games, for instance, are only created through a licensing agreement.

If you create a pitch document for presentation to a potential partner, it's covered by copyright protection. Your assets, including screenshots and trailers, are your intellectual property. And, of course, the final game code belongs to you (hence the wording of end user license agreements).

Of course, there are always people who want to pry all of these from your hands. Thankfully, there are ways to deal with sneaky people who dishonor you.

Attorney Ryan Morrison, partner in the entertainment industry-focused firm of Morrison & Lee, sums up the difference between trademark and copyright. "A trademark protects your name, your logo and your slogan," Morrison explains. "The McDonald's golden arches, their logo, is trademarked. The name McDonald's is trademarked, and 'I'm Lovin' It' is trademarked. The copyright in a game would be all of your artwork, your script, what everybody is saying and they're doing, and the code. There's a lot you can copyright in a game. The difference is a trademark takes six months to two years. You want to do it before your game is out so you can secure the name. A copyright is very narrowly protecting only what actually exists, so you do it when the game is done. Trademark early, copyright when you're done."

PATENTS

Patents are awarded for unique product designs, processes, or new technical solutions to existing problems. Patents can also cover things

like plant genetics and composition of matter, but that's a topic for a different book. Applications must include an element of novelty (showing something that has not been done before) and include a higher level of technical understanding.

In other words, a solution that requires no mastery of a field (a "common sense" solution that might not have been discovered, for instance) doesn't fit the criteria. If deemed eligible, patent protection means that no one may create, sell, or distribute the product or process without your express permission for a fixed period of time.

Video game consoles, controllers, and other peripherals are covered by patents. After the protection period expires though, the technology is fair game. That's why third-party manufacturers can now legally sell devices that play classic 8-bit and 16-bit games (though the games themselves are still covered by copyright protection).

"In my opinion, patents really don't do a lot for game developers, especially the indie scene," Morrison says. "They're expensive to get. They're expensive to enforce. You're talking hundreds of thousands of dollars and they really don't protect much in software anymore."

You can't patent game mechanics, and besides, obtaining a patent can take 10 years. "We tell everyone with patents that it's basically like lightning," Morrison explains. "It sucks if you get struck by it, but it's super rare and you just kind of have to live with that possibility."

TRADE SECRETS

Loose lips sink surprise game announcements. Every business has trade secrets: information that would damage the company in some way if it were carelessly made public.

In the video game industry, trade secrets are typically focused on unannounced games, pre-release footage that isn't intended for public consumption, and details about a project that aren't ready to be shared with the general public.

You should include language in your employee and contractor agreements that specifically details the non-disclosure of sensitive information. Speak with your attorney about crafting boilerplate that makes it clear to your team that your secrets are worth money to your company.

“You need to check with a lawyer, because where your studio is based is going to drastically affect trade secret rules,” says Morrison & Lee associate Ma’idah Lashani. “The same thing is true when people leave, with regard to non-compete and duty of loyalty. That is state based, and they can be a really important way of protecting those secrets long-term after someone leaves the company.”

There are also steps you can take while someone is working at the company to limit your exposure later. One way to ensure that departing employees are aware of their obligations is to have one last conversation before they leave.

“I think the most simple thing is just use common sense,” says Brandon Huffman, managing partner of Odin Law and Media. “Limit people’s permissions, keep track of where things are going to the extent you can, and do exit interviews. When somebody is leaving, and it’s on good terms, remind them of those obligations. ‘Here’s the confidentiality terms that you’ve already agreed to. This game is not being released until whenever. We ask you not to talk about anything until then. Your agreement technically goes two years past that.’”

INTELLECTUAL PROPERTY LAWS VARY BY REGION

Intellectual property systems exist around the world, but legal standards vary by country and region. Despite complexity, there are some fundamentals of which you should be aware.

- In most countries, copyright protection is automatic, but Jas Purewal of Purewal and Partners comments that some regions, including the United States and People’s Republic of China, require active registration in order to receive full copyright protection.
- Trademarks typically require registration to receive full protection in most countries. Purewal also cautions that registering for trademark protection in a specific region only serves as a shield in that territory. A trademark filing in the United States won’t protect you in the UK, for instance. In practice, a decent baseline protection for most Western game developers is trademarking in the US and EU.
- We mentioned earlier that patents for video game software are difficult to secure in the United States. It’s even more challenging in the UK, European Union, and other regions (and the sizeable costs and lengthy timeframes often outweigh the potential benefits for everyone except large businesses).

- In the United States, “publicity rights” give individuals control of their name, likeness, or other recognizable traits—like an actor’s voice. In 2014, Electronic Arts and the NCAA **settled a class-action suit for \$40 million**³ with former student athletes over unauthorized and uncompensated use of their likenesses. The UK and EU do not have the same publicity rights doctrine, instead relying on other, narrower rights.
- The UK and EU have a “moral rights” doctrine, giving creators the right of association with use and adaptation of their work. Moral rights also, in theory, give the author input over adaptation and future use that helps prevent distortion of the original work (even if owned by another party) that would negatively impact the creator’s reputation. The United States offers no such protection.

“Answering an international intellectual property question about games requires knowing the applicable international rules, knowing which of these rules matter, and then fashioning a sufficient compromise out of them,” Purewal says. “You will rarely get a universal solution. Most intellectual property law was designed before the games industry existed. We have to work with and around it as best as we can.”

We recommend consulting your attorney for guidance. Should you have questions about laws governing specific regions, enlist the aid of professionals licensed to practice in those territories.

WHAT HAPPENS WHEN SOMEONE INFRINGES ON YOUR INTELLECTUAL PROPERTY RIGHTS?



Your game will be pirated. Any copyright protection will eventually be broken. You will find your hard work being downloaded illegally.

Intellectual property law is a shield. It can

³Tom Farrey. “Players, game makers settle for \$40M,” *ESPN*. May 31, 2014. http://www.espn.com/espn/otl/story/_/id/11010455/college-athletes-reach-40-million-settlement-ea-sports-ncaa-licensing-arm. (accessed July 24, 2017).

defend you, but you must hoist it. It is incumbent upon the copyright, trademark, or patent holder to pursue legal action against those who infringe. This can be costly, but it's important to defend your intellectual kingdom from incursion.

When determining whether to pursue legal action against someone who is infringing, you should examine the cost of litigation versus the potential damage to your brand. If you stand to lose more in brand value than the cost of taking legal action, you might wish to consider moving forward.

Every developer has its own, nuanced take with regard to piracy. Some have even gotten crafty (and amusing) about thwarting piracy efforts. Croteam sneaked an invincible enemy into cracked versions of *Serious Sam 3* and trapped pirates in one of *The Talos Principle*'s elevators **without hope of escape**⁴. Ubisoft worked blaring **vuvuzelas**⁵ into pirated versions of *Michael Jackson: The Experience*.

Perhaps the most **brutal anti-piracy mechanism**⁴ was delivered by Nintendo. Illegal copies of *Earthbound* crash during the final battle, wiping out saved data. That's if you manage to get through the absurd number of extra enemies the game throws at you throughout the experience.

If the matter in question is a trademark issue, there is another factor to consider. If you don't defend your brand identity against copycats, it may weaken your hold on the trademark.

For instance, journalists can use the term "Choose Your Own Adventure" when describing an entry in the gamebook genre. Bantam Books, the publisher of that series, doesn't appreciate the name being used in this way (it can conceivably dilute the brand), but the best it can do is ask nicely for a change.

⁴Brad Chacos. "12 hilarious, brutally devious ways game developers punish pirates," *PCWorld*. April 9, 2016. <http://www.pcworld.com/article/2602876/software-games/10-hilarious-brutally-devious-ways-pc-game-developers-punish-pirates.html>. (accessed June 5, 2017).

⁵Griffin McElroy. "Michael Jackson: The Experience DS pirates treated to 'Billie JeaaaaOOONNNHHHH,'" *Joystiq*. December 4, 2010. <https://www.engadget.com/2010/12/04/michael-jackson-the-experience-ds-pirates-treated-to-billie-je/> (accessed June 29, 2017).

However, if someone developing a gamebook were to use “Choose Your Own Adventure” in marketing or promotion, Bantam could (and probably should) pursue legal recourse. Allowing such infringement to continue could weaken any future attempt to protect the trademark and, if not defended over an extended period, the trademark could be diluted so much that a court wouldn’t act.

When pursuing legal recourse, there are two possible judgements you can obtain from a court. Injunctive relief forces the infringing party to stop any inappropriate activities. In some cases, monetary damages may be appropriate to remedy harm to the brand identity.



UNLICENSED FAN GAMES WILL CAUSE YOU TROUBLE

With the democratization of game development tools, anyone can tinker and make a game. Modding has given fans the power to take their favorite established concepts and layer new concepts, characters, and customizations on top.

These two elements have given rise to the “fan game” concept. These endeavors are often created out of love for a specific intellectual property. Recent examples include *Pokémon Uranium*, *Another Metroid 2 Remake*, and a *Star Wars Battlefront*-like title called *Galaxy in Turmoil*. These all met their demise at the hands of cease and desist requests.

Often, people work on these projects without consulting an attorney. They toil under the assumption that their work falls under “fair use” and may even be considered “parody.”

Attorney Ryan Morrison of Morrison & Lee, who specializes in matters related to digital entertainment, has often counseled groups away from this type of project.

“I understand that when you’re learning to code and you’re learning to make games, it’s really cool to learn by making a Star Wars game,” Morrison says. “I like Star Wars. I want to learn to make my own Star Wars game. That’s awesome, as long as I’m doing it for myself. The second I release that somewhere else, that’s a real damaging, infringing thing and that is going to very possibly lead to the end of your livelihood.”

Morrison says that a legal dispute can impact more than just your professional life. There have been instances in which personal lives have been deeply affected due to lawsuits over infringement.

“We had a client lose his wife and kids over a lawsuit about him making a fan game. Don’t do it,” he cautions. “Everyone thinks I’m overreacting or being aggressive about it but no, it’s literally life-ruining whenever intellectual property owners want it to be. People say, ‘Oh, well, look at this website. It’s been up for six years.’ Then the property holder got pissed. That was it. You don’t know what the line is and without getting into the defenses of time limit, it doesn’t matter.”

Just as with any legal matter, there is no guarantee you’ll get caught. There’s no promise you’ll get away with it, either. You never know when a cease-and-desist letter or lawsuit will arrive.

“It’s the speeding argument,” Lashani adds. “‘I see people going above the speed limit all the time. Why am I getting pulled over?’ It doesn’t matter. You have to pay the ticket at the end of the day.”

One of the most common mistakes developers make in this situation is to claim their infringing work is covered by “fair use.” The fantasy version of fair use is a magical shield invoked by its mere mention. Reality is far less forgiving.

“There’s a very specific four factor test for fair use in most jurisdictions in the United States, and parody works completely differently than everybody thinks it does,” Morrison explains. “Let’s first start at the

top. It's a defense. Nothing is fair use or parody until a judge says it is. Nothing is fair use and parody that wasn't infringing, so you're basically saying, 'Yes, I'm infringing, but it's okay because it's fair use.' That is a really dangerous game, because if somebody looks at that and says it's not fair use, you now admitted to infringing and it's definitely not something to rely on. The biggest misconception I hear all the time is, 'My game is free so it's fair use.' That's utterly ridiculous and untrue."

The four-factor test includes the following:

- **Purpose of use:** The courts look at whether the use of copyrighted material has been transformed through criticism or otherwise augmented with new meaning. Journalism and research that cite and examine previous works are typically safe. Parody, as mentioned above, is safe, but significantly harder to justify.
- **Nature of copyrighted work:** It is far easier to use factual content than fictional creation. The courts look favorably upon the sharing of proven data as a public benefit.
- **The amount and substance of work used:** There is a significant difference between copying an entire game and riffing on a single level as a wink and nod. However, the portion of copyrighted product used is only one consideration. Using an iconic element of a work (such as Mario's appearance or a Star Wars lightsaber) is risky. You might think the lightsaber in your game is an homage to Star Wars, but if you end up in court, you won't know how a judge will react. Perhaps you'll get lucky and the court will side with you. However, if a judge deems that a lightsaber is material to Star Wars, the fair use defense might fall flat.
- **The impact of your creation on the copyrighted work's market:** This is where brand dilution and market confusion come into play. If your game is going to make it harder for the original creator to sell their work, the courts may not look kindly on your case. Likewise, you can't simply make a movie tie-in game, even though that might be considered transformative. Since there might be a market for games based on that copyrighted work, you'd be depriving the intellectual property holder of potential revenue.

Playing with fair use is playing with fire. You could heat your house or you could burn it down.

“If you’re having a conversation about fair use, you’re probably too far into copyright infringement to be safe,” Huffman says.” I would say there are really two categories of things. There’s stuff you create yourself originally (your work product), and then there’s stuff you didn’t. If you’re using stuff you didn’t, and you don’t have a license to it, you are infringing on other people’s work and rights.”

If you’re considering fair use as your protection from legal consequences, you’ve already lost the battle (or at least the value of attorney’s fees).

“The short version here is fair use is an **affirmative defense**⁶,” Huffman says. “In order to prevail in a fair use argument, you have to have already been sued, and that is a losing situation for most developers. If you’re making that argument, you’ve already sort of lost, because you have to fork out a bunch of money to make that argument.”

If you do decide to pay homage or otherwise dabble in content owned by another party, there’s no way an attorney can perfectly guide you. The human factor means each situation will play out differently, sometimes with catastrophic results.

“It’s not that we won’t tell you the line. We do not know the line,” adds Morrison. “There is no set line. Don’t gamble on it. It depends how old the judge is, if they understand what a video game is, the mood they’re in that day. That’s all stuff you don’t want to roll the dice on.”

Fair use (or the more defined and restrictive “fair dealing”) concepts exist in a handful of countries, including Australia, Canada, Israel, Poland, South Korea, and the UK. The specifics vary by region.

⁶**Affirmative defense** - Many legal defenses dispute a plaintiff’s claims. Affirmative defenses acknowledge the facts of the complaint and take responsibility, but offer additional details that reframe the legal context and may insulate the defendant from liability.

DON'T BE STUPID: A TRUE STORY

At the annual Game Developers Conference in 2017, members of the Bithell Games team were witness to an egregious copyright violation that had the most serendipitous outcome. At a GDC-adjacent event, a number of developers were sharing their in-progress games.

One young creator was demonstrating his platformer and a feature that allowed you to change the main character's "costume." One such aesthetic change made the hero appear to be a well-known and still in-use character with decades of history.

Another developer, upon observing this, cautioned that using another company's copyrighted character might lead to trouble. The young creator responded that, "It's fine, because it is parody." Still, the more experienced developer suggested consulting an attorney.

A second person joined the conversation, reiterating the previous advice and urging the young gentleman to consult a lawyer. "I don't need to," said the young developer.

After a short time, a third person chimed in that it would be a strong idea to run this by a practicing attorney. Again, the young developer insisted that the work was parody and a lawyer was not needed.

At that point, the most recent individual to speak opened his wallet and handed the young man a business card. Not only was he an attorney, but he worked as in-house counsel for the very corporation upon whom the green developer was infringing.

Thankfully for the gentleman showing off his game, the corporate attorney made clear that he would pretend he hadn't seen the infringing "costume." However, should he at a later time lay eyes upon it, someone would likely be sued. He proceeded to walk away, leaving the crowd in stunned silence.

Once out of earshot, the young developer spoke up once more, looking at the other two developers who had previously offered their advice. "What's he going to do?" the young man asked. "He'll just send me a cease and desist."

There are two lessons in this. First, consult an attorney, because you probably don't understand fair use and parody as well as you think. Second, if you get a second chance, don't blow it (especially in a way that makes you look like an idiot in front of your peers).

LEAKS AND HOW TO PREVENT THEM

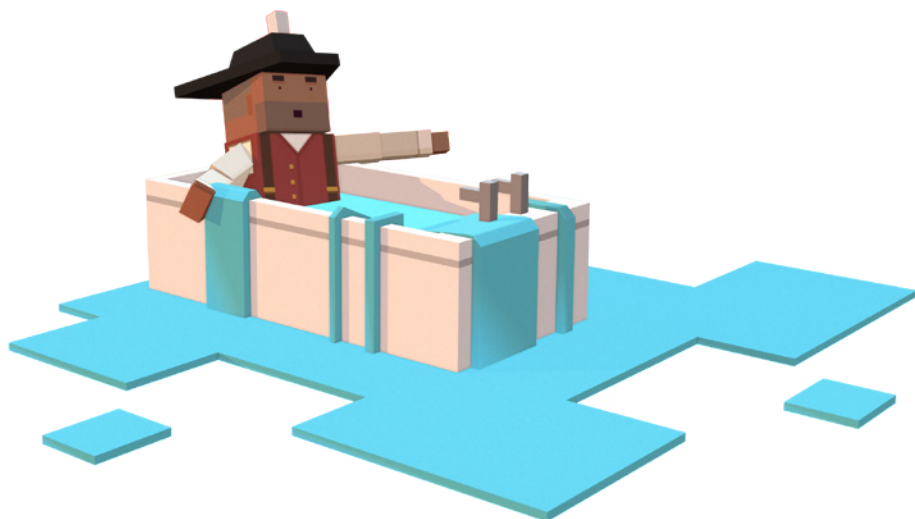
One of the best things you can say about your game announcement or other information leaking is that some number of people care enough to ferret out details of your next project. It's nice to be wanted, but there are steps you can take to limit that kind of intrusive affection.

Most leaks come from inside the company. We've seen instances of employees working on secret projects in public places (like airports, subways and other forms of public transit... yes, this really happens and those games are subsequently exposed on news sites and social media). Disgruntled workers have been known to slip information to journalists as anonymous sources. Sometimes, people get a bit too celebratory at shows and let slip enough of a lead that a good reporter knows where to dig.

You aren't going to stop every leak, but that doesn't mean you shouldn't try. The first step is outlining, in your employment and consultant agreements, that workers will receive proprietary information and it is their duty to safeguard it as a condition of their employment.

Your employee handbook should extensively discuss data security, protocols for talking with the press, and the value of sensitive information to the company. It should also make clear what happens in the event of accidental or malicious dissemination of information.

Journalists have a number of tricks for ferreting out information, especially in the era of crowd-sourced data. Popular online communities



are filled with thousands of eager gamers, covering more territory than any single reporter could on their own.

However, information isn't always a story. Most of the time, it's a lead. Don't react before you need to. Sometimes it's better to wait and watch how the situation develops. Other times, it might be appropriate to make a statement quickly.

Reporters use a variety of resources to confirm information. Insider sources are useful, because they have first-hand knowledge. Good reporters won't go to print without contacting you for comment. They may not tell you how many sources they have or how soon they'll be going to print (though they should provide you a reasonable deadline, rather than come to you after publication).

At that point, you should expect the story to run and take the time you have to decide how you are going to handle it: silence, a "no comment," or confirmation of some or all of the information about to be revealed. Each has its benefits and drawbacks.

Silence can be safe, and some members of the media recognize its occasional necessity. Sometimes a "no comment" is enough of a comment by itself to cause more trouble.

Providing a "no comment"—or the more embellished, "we do not comment on rumors or speculation"—is often the best course of action. Just make sure you stick to that policy at all times, regardless of whether reports are true or false.

You may choose to try to get in front of a story quickly. For instance, when *Assassin's Creed Syndicate* was prematurely outed with screenshots, Ubisoft issued a **statement**⁷. The publisher confirmed that the game was in **development**⁸, but declined to share more details.

⁷Jason Schreier. "Next Year's Big Assassin's Creed Is Set In Victorian London," *Kotaku*. December 2, 2014. <http://kotaku.com/next-years-big-assassins-creed-is-set-in-victorian-lond-1665343788>. (accessed June 29, 2017).

⁸Andy Chalk. "The next Assassin's Creed game will be set in Victorian London," *PCGamer*. December 2, 2014. <http://www.pcgamer.com/report-the-next-assassins-creed-game-will-be-set-in-victorian-london>. (accessed June 29, 2017).

Ubisoft knew that denial would appear silly in the face of such evidence and said just enough to regain some control of the situation:

“It is always unfortunate when internal assets, not intended for public consumption, are leaked. And, while we certainly welcome anticipation for all of our upcoming titles, we’re disappointed for our fans, and our development team, that this conceptual asset is now public. The team in our Quebec studio has been hard at work on the particular game in question for the past few years, and we’re excited to officially unveil what the studio has been working on at a later date. In the meantime, our number one priority is enhancing the experience of Assassin’s Creed Unity for players.”

It’s also common for employees to make changes to their LinkedIn profiles that turn into relentless broadcasts of proprietary information. Working a new job, but your employer hasn’t announced it yet? Don’t put it on LinkedIn yet. Starting a new project at your existing company? Keep it to yourself until it’s public. Sometimes just the idea that a developer is working on something new is enough to make headlines and disrupt carefully crafted PR plans.

Contractors have also been known to accidentally reveal far too much too soon. Voice performers have discussed upcoming projects months ahead of schedule. Artists have created publicly accessible demo reels out of canceled or unannounced projects.

“When we write those contracts, we believe a portfolio clause is important,” Morrison says. “You should be able to show off your work on this game. We grant them a portfolio license, but only after the game is released or no longer confidential. That’s when they can do it. Otherwise, there’s a confidentiality clause in that agreement that says if you’re sharing this stuff early, we’re gonna get you.”

Be explicit with your contractors about when and how they may use their work on your project to promote themselves. Most studios want their valued workers to thrive, but timing is critical.

We’ll cover more on public relations in Chapter 12.

THE LITTLE THINGS CAN TRIP YOU UP

It's easy to color inside the lines on most things related to infringement. You might think you're in the clear by developing your own characters, worlds, art, and sound.

If you aren't careful though, you can get the big things right and still land in hot water. In the case of intellectual property and licensing, you should sweat the little things.

Fonts are an easy place to make a mistake. With so many websites offering free typefaces, someone unfamiliar with licensing procedure might assume that downloading one for free means it can be used in a commercial product. Some of these sites traffic in stolen files. Others provide fonts under a Creative Commons license that prohibit commercial use.

"They'll put it in the game and not tell anyone higher up," Lashani says. "Then it makes its way all the way to near launch or something and the legal team has to ask, 'Hey, we cleared all this, right?' Then you have to go hopefully cleaning up, find the artist, ask for permission. Little things like fonts or UI things, buttons, the way things look. Often people will be lazy and just download it from a repository rather than tracking down who originally made it."

You might also be tempted to use logos and names related to real brands in your game. This can be tricky to navigate in a digital medium, especially if your game includes violence, destruction, or criminal activity.

You could find yourself accused of trademark infringement and tarnishment. The latter refers to depicting a trademark in an unflattering light or offensive context.

You're better off creating your own fictional brand, like *Grand Theft Auto's* Cluckin' Bell. It's not worth risking a lawsuit just to include Taco Bell, Burger King, or Starbucks in your game.

THERE ARE REASONS NOT TO BE AN OVERPROTECTIVE PARENT

Your characters are your babies and letting those babies out into the world can be scary, especially if you are concerned about others cribbing your ideas.

Harebrained Schemes co-founder Jordan Weisman, who helped create the *Shadowrun* and *BattleTech* universes, has wrestled with this many times in his career. His advice is to believe in the strength of your work and that it will shine, even in an increasingly crowded market.

“Growing and nurturing your IP is a delicate balance. You can’t be afraid of showing it,” Weisman says. “If you keep it all inside a locked chest in your room, then you’ve protected it to the ultimate degree, and it goes nowhere. You have to be comfortable with the premise that, if this is ever going to grow, if I’m ever going to be able to make a game out of it or build a comic book, or whatever it is, I’m going to have to go out and be pitching it and showing it to people. Yes, that means that somebody can rip you off. It absolutely can happen and unfortunately it does happen. But you can’t let that inhibit you to the extent where you won’t do anything with it. You have to believe that your creative expression of this idea is going to be stronger than others. Because the high concept is going to be ripped off forever.”

Shadowrun, for instance, introduced the concept of cyberpunk to many gamers. The blend of technology and magic featured in that universe has worked its way into countless stories from other creators.

Weisman urges new devs to leave those fears behind. Worrying about whether someone is going to copy your ideas only gets in the way of creating. “The key thing is, make it,” he says. “Don’t sweat worrying about if someone’s going to steal it. Just get out and make the damn thing.”

While your creations may never have free will, there are choices you can make to let them flourish without your direct intervention. It’s natural to want to be the only author of your creations’ destiny. However, there are reasons why you might choose to give others freedom to play in your sandbox.

It’s not uncommon for games to feature DLC from other studios. Klei Entertainment used this approach for one of the expansions for its survival game, *Don’t Starve*. Capybara Games designed and developed

the *Shipwrecked* expansion for that title, working collaboratively with Klei to create a fresh take on an existing game.

“We had just finished *Super Time Force*, which was a very design challenging, conceptually challenging project that took us longer than we thought it would because of those problems,” says Capybara Games co-founder and president Nathan Vella. The team needed a breather. Serendipitously, Vella and Klei Entertainment co-founder Jamie Cheng, who have been friends for many years, ended up chatting at an industry event.

“Jamie just said, ‘Want to do something with *Don’t Starve*?’” Vella recalls. “One of my frustrations with video games is that there’s not enough of that kind of seeding, cross-pollination, whatever biz buzz terms you want to use. People make really cool IP, and that IP doesn’t need to just be hoarded and protected and mollycoddled. Some of it can grow and be handed off.”

Capybara got started right away, before a contract was signed. Klei left Vella and his team to their own devices, letting Capybara tinker with the *Don’t Starve* universe without intervention.

“They went off and just experimented with a whole bunch of stuff,” Cheng says. “They came back with a large variety of ideas. We talked it through and landed on *Shipwrecked* as the one that we thought was going to work the best. Obviously we were advising them on what works in our game and what doesn’t work, what the core concept of the game is and what’s really important about it.”

Capybara brought three suggestions to Klei. One was doable, but not the favorite. Another was further away from *Don’t Starve*’s core conceit and might have altered the ESRB and PEGI ratings. The third ended up becoming *Shipwrecked*.

“It was far enough away, but not too far. It was a fun shift, so we could still leverage all of the guts, and it provided us lots of opportunity to do new bosses and new biomes and all that stuff,” Vella says. “It’s not like *Don’t Starve* is here, and the new thing is in Kansas. It’s still close enough. And then we found out later on that on the *Don’t Starve* forums and on Reddit, people had been talking about wanting these things that we were actually talking about building the expansion around, so we actually got some validation from reading that later on as we were working on it.”

According to Cheng, Cappybara built a vast majority of the *Shipwrecked* expansion before Klei got seriously involved. At that point, the two studios worked together to polish and refine. During the better part of development, check-ins were infrequent.

Toward the conclusion of the project, collaboration became constant. "It was every day, all the time; we were literally working on the same code," Cheng says.

"At a certain point, things changed, we shifted gears, but they had access to literally everything," Vella adds. "They were checking in sounds when we weren't working. They'd be putting audio in the game, making tweaks to spawning, whatever. I mean, most of the code was on our side, but a lot of the art was done in conjunction with them, and they did all the sound themselves. So there was this kind of, 'Okay, here's how it all fits together,' and being open to that, being malleable to how the actual production works, I think, was something that we didn't plan for, but it was a big win for us."

The arrangement was beneficial for both businesses. Cappybara's team got to work on a smaller project with fewer technical hurdles, after coming off a challenging project. Klei's popular game got new content that fulfilled fan interest.

"They were looking at ways of doing it that were efficient, because Klei was also making a bunch of other games at the same time," Vella says. "We're not a cheap studio to work with, but it's still more efficient than them having to stop a game that could potentially be a big winner to work on an expansion for a pre-existing game. That's not necessarily great. That has an opportunity cost, but it also has a cost in terms of Jamie's employees. For us, it was like, 'Oh, we've never seen this before. It's a new challenge.' For the people working on *Don't Starve*, it's maybe not new, maybe not exciting and you get 80% productivity out of those people and they're not that happy."

Both Vella and Cheng see this kind of collaboration as a model that would benefit the industry. However, trust is crucial before entering into this kind of arrangement. Knowing that your partner has a strong track record and can make good on your intellectual property is a required first step.

"The only way that it's gonna happen is with that mutual respect baseline. We love their games, they love our games," Vella says. "We know going into it that it can be really great. It's a huge amount of trust

to place in someone, a massive amount of trust to place in someone.”

These types of deals aren’t going to make your studio rich. Rather, they provide intrinsic benefits for staff, promote creativity, and build vital relationships in the industry.

“You really need to believe that you can add something, take a different perspective, or do a different take or bring the actual value of your studio to it instead of looking at it as a way to make some money,” Vella explains. “They’re bigger brands. It’s not going to be your biggest payout, but it’s going to be the coolest licensed thing that you do for sure.”



SELLING YOUR INTELLECTUAL PROPERTY

There are two primary ways in which developers might give up the rights to their creations. The first is as part of a publishing agreement. Some funding deals may see studios asked to give up ownership of the characters and worlds in the resulting game.

The other opportunity comes via a sale. If you’ve created a popular franchise and are in the position to sell your studio to a publisher, you will likely be giving up control of your intellectual property. Should you ever leave the studio you helped found, you’ll be leaving your past work in someone else’s hands.

While this might make you cringe, there are reasons to consider parting with your past. If you’ve built something worth buying and negotiate a good deal for yourself, the funds may enable your next step.

Harebrained Schemes co-founder Jordan Weisman has built and sold a number of big franchises, including Shadowrun and BattleTech. He has since returned to both of those, licensing his own creations from their current owners. Despite the hoops he's needed to jump through, Weisman hasn't second-guessed his decisions and reasoning for moving on or for coming back.

"If you've made up one great story, odds are you can make up another," Weisman says. "So what does selling the first one do for you? Does it put you in a position where you can make more of them? Does it put you in a position where you can make something bigger or different than what you made before, and this gives you that capability? Does it just create financial security in some way?"

He suggests that understanding why you are selling helps bring comfort about what happens to an IP once it belongs to someone else. "Being clear headed about that is important, because you're giving something up. People are going to go off and either do great things with your IP or, more often than not, do bad things with your IP, or, more often than that, do nothing with your IP."

The latter option happens more often than fans (and creators) would like. You may feel remorse once you've parted ways with your past work. Provided you've steeled yourself for that and understand the benefits tied to those choices, you'll be able to move forward. Weisman is reflective about his own such decisions.

"I cashed the checks," he says. "If I hadn't sold the companies and cashed the checks, I would still have all the IP in one bundle, but I also may not be in the position to have made anything, because you sometimes need to go and cash a check to make what comes next, as well as pay for kids' college and stuff like that."

"There may come moments of regret, when you lament having signed away the rights to your creations." Weisman urges those considering a sale to stay focused on the future. "You've got to be ready for that. And to me it's all about being excited about what you can make next," he explains. "Being at this phase right now, in the last couple years of going back to old IP, is the first time I've ever done that in my career. Before it's always been about inventing new. I was away from these long enough that it was actually very exciting to come back to them and invent and create, and importantly, do that with a whole new generation of people."



IN THIS CHAPTER WE LEARNED

- 1 When to trademark, when to copyright, and why patents aren't likely worth your time.
- 2 Why your fan game is likely to get you in trouble.
- 3 What to do if someone improperly "borrows" your IP.
- 4 When and why to let your IP leave the nest.



IN THIS CHAPTER

- 1 Why research matters when planning your campaign.
- 2 How to properly budget for crowdfunding and structure your campaign for maximum buy-in.
- 3 Things to avoid when offering backer rewards.

CHAPTER 9

CROWDFUNDING

SO, YOU'VE DECIDED TO LET THE INTERNET HELP YOU MAKE YOUR GAME...

Ever since Tim Schafer and Double Fine had unprecedented, enormous success crowdfunding a **major video game project in 2012**¹, developers have been faced with the loud hum of temptation. “We can just do it on Kickstarter,” the familiar refrain goes. “We’ll get all the money up front, defray the risk, and our fans will have a seat at the table. Heck, we can even make the game bigger if we get a lot of money.”

The reality is often far less appealing, fraught with pitfalls that can turn a wildly successful fundraising period into a studio-demolishing catastrophe. There are a number of philosophies around crowdfunding, and a number of traps to avoid.

WHAT IS CROWDFUNDING (AND WHAT ISN'T IT)?

Crowdfunding platforms like Kickstarter are a marriage of traditional patronage and modern technology. Patronage, the commissioning or support of artistic endeavor by a few for the benefit of the many, began in ancient times and reached its height during the Renaissance. Since then, it has fallen out of favor thanks to government subsidies and systems that incentivize charitable contribution through tax deductions.

¹Tom Curtis. “**Double Fine’s record-breaking Kickstarter closes with \$3.33M earned**,” *Gamasutra*. March 13, 2012. http://www.gamasutra.com/view/news/165561/Double_Fines_recordbreaking_Kickstarter_closes_with_333M_earned.php. (accessed June 30, 2017).

While federally recognized non-profit organizations can take advantage of the system, individuals can't easily access those benefits, making fundraising from donors unappealing.

Indiegogo, Kickstarter, and the like initially gave artists (and inventors and entrepreneurs) access to a diverse community of potential donors. Tax deductions were replaced by “backer rewards,” shifting the intrinsic “feel good” benefit and ephemeral tax boons with tangible **tchotchkes²** and access to the creators.

This shift has been a blessing for video game studios that either can't or don't want to go down the traditional publishing route. When managed properly, crowdfunding can provide a sense of security, knowing that your production is paid for, your game has already sold, and post-launch purchases are almost entirely gravy.

However, crowdfunding is not a magic bullet. There is much that can go wrong, especially if you don't apply the principles we covered earlier in the budgeting chapter.

Expect your costs to be higher than they probably will be. Anticipate you'll need more time. Prepare for your most challenging scenario, even if all of your predictors inspire optimism. But most of all, you must plan for *everything*.

DO YOUR RESEARCH

The crowdfunding world has changed drastically since 2012. In the early days of video game Kickstarters, many projects launched with little more than concept art after minimal preparation. In order to be successful today, you're going to need extensive research and planning before you launch.

“When we did *Shadowrun Returns*, we literally did it in about two weeks,” says Harebrained Schemes co-founder Jordan Weisman of the studio's first crowdfunding campaign in 2012. “In 2016, *BattleTech* took six months of prep. Because the platform is more mature you need to really spend the time on not only your development and your plan, which have always been critical, but how to present it and pre-

²**Tchotchke** - A small, decorative item. Often used as a synonym for promotional giveaways (sometimes called “swag.”)

visualization materials that allow people to really understand what you're doing."

Before you start planning for a crowdfunding campaign, it's important to understand the landscape. Setting your goal is largely based on a realistic budget to ship your game (and we've provided the tools to get to that point in Chapter 2). Knowing whether your budget is feasible is an entirely different matter.



When *Armello* developer League of Geeks was planning its Kickstarter campaign, studio co-founder Trent Kusters took a data-driven approach. He monitored other projects, looking at goals, final funding amounts, and backer counts.

"Since the [crowdfunding] bubble burst, I've been keeping a spreadsheet, where I dump in projects for intelligence scraping," Kusters explains. "I was just putting in projects and watching the most successful ones and the ones that were relevant to us, so I could get a bird's eye perspective on everything."

That helped League of Geeks ensure that the *Armello* goal was reasonable. However, raw data alone isn't enough. Kusters and his team made sure to get perspective from others who had been through the process.

"We spoke to a lot of people," he says. "Over six months we were talking about it and how it could happen. We were keeping those numbers and building relationships at Kickstarter and with other devs that had done it before. We did rounds of feedback where we showed

our campaign to people and they sent us feedback. We did this with Double Fine and Obsidian and the *Banner Saga* crew and other people who had done huge Kickstarters.”

BUDGETING BEYOND THE GAME

If you’ve followed our budget template, you’re probably feeling pretty confident about the costs related to getting your game to market. You also likely scheduled out your cash flow to get an idea of where your soft spots are. Crowdfunding brings another set of considerations and requirements that go beyond developing and shipping.

DON'T LOW-BALL YOUR CAMPAIGN GOAL

There is a school of thought in crowdfunding that suggests setting your campaign goal low and relying on overage to meet your real budget. In short, this is a gilded path to disaster. There are two significant problems with this philosophy.

If you only barely meet your goal, you’ll be on the hook to deliver your game without the resources necessary to fulfill your promises. If you do manage to bring in significantly more than your stated goal, chances are you’ve also promised stretch goals to nudge your funding level higher. Those inflate your budget, timeline, and overall costs.

“I have a very strong position on this, and I think that you should never ever go to Kickstarter and ask for less than what you need,” Kusters recommends. “If you get across the line and you just get your goal and it wasn’t what you need anyway—stretch goals aren’t a guaranteed thing—you’re going to then get a bunch of cash and have promised people a bunch of things that you still don’t have money for. It’s ludicrous.

“Kickstarter is one of the only places in the games industry that visibly talks about game budgets. Unlike the film industry where people talk about production budgets and it’s out there and they measure it against box office. That doesn’t happen in games. So when you have the most visible top-tier platform out there and everyone’s talking about false numbers, it sends a narrative to the public that games cost less than they actually do to make.”

Kusters also recommends that as with any conservative budget, you build in contingency. Timelines get longer, costs might be greater than

even your worst-case estimates, and unexpected expenses emerge at the worst moments.

“We scoped it all, and we asked ourselves, ‘How much money do we actually need to bring this thing to market?’” Kusters recalls. “Of course, we were still way under, but at that point in time that’s what it looked like it was going to be, so we didn’t go a cent under that. That was about \$170,000 AU (approximately \$131,000 USD) or something like that, so we built in some contingency.”

League of Geeks asked for \$200,000 AU (approximately \$154,000 USD) and closed its campaign at just over \$305,000 AU (approximately \$235,000 USD). On top of that, the studio ran a “slacker backer” campaign that let people buy in after the campaign closed, raising another \$50,000 AU (approximately \$38,500 USD).

KICKSTARTER GETS A CUT

Raising money via Kickstarter isn’t free. The platform takes five percent of collected revenue right off the top. The company also passes along all of the credit card processing fees.

When you budget, you must plan for this, or you’re going to come up short in development. This also means you need to take Kickstarter’s percentage into consideration when planning any stretch goals.

STRETCH GOALS MIGHT COME BACK TO HAUNT YOU

Incentivizing backers with more content keeps the pledges flowing after you hit your goal. However, each of those is a loan against your development process. That note will come due eventually, but it doesn’t have to sting.

Before you commit to adding content, consider all of the impacts on the development process and your personnel.

- How much of your additional content will need to be created from scratch, and how much makes use of existing effort (like level design, art, sound, etc.)?
- How much time will you need in order to execute on the stretch goal content? Have you factored that into your salaries, benefits, overhead, and other “burn” expenses?

- Did you remember to account for Kickstarter's fee (in most regions, this is five percent of total funds raised plus payment processing fees of three percent plus a fixed per-pledge amount)?
- No, really, did you remember to account for Kickstarter's percentage cut off the top?
- Is your stretch goal purely digital, or are you promising new physical items? Digital items may not be free if you're distributing through certain platforms and physical items will have a shipping cost.
- Does your stretch goal constitute feature creep? Is your game fundamentally changing because of new/different content? For instance, you budgeted a single-player game, but the roar of backer requests for multiplayer has led you to a dark place where your initial budget will snap in half under the strain.

Stretch goals shouldn't be haphazardly assembled, and considering them after you've hit your goal is the fast lane to optimism-induced catastrophe. When you're riding high on backer success, it's easy to believe you can do more for less. Once you're back in the studio and not watching that all-important pledge number tick upward, you're faced with the hard reality of fulfilling your promises.

We're seeing more project managers have a concrete, methodical plan for stretch goals before the project even starts. This ensures you're considering all of the different add-ons as part of the earliest budget and feasibility conversations. If you wait and heap stretch goals on top of your base pitch later, the chance of running into delays (in turn leading to blossoming expenses) can be a threat to the project.

MAKING BACKER TIERS MATTER

In the early days of video games on Kickstarter, backer tiers seemed haphazard. Today's wisdom suggests that your lowest substantial tier will be a digital version of your game, with a physical edition (should you choose to offer one) not too much further up the funding ladder.

At the dawn of this era, there seemed to be no rhyme or reason. Relatively inconsequential swag gummed up higher investment tiers, and more expensive production items were offered up at lower prices that didn't accurately reflect cost and value. Project managers have gotten smarter since then, carefully planning varied backer tiers as targeted marketing tools.

Armello developer League of Geeks planned its tiers around people the studio thought would be interested in its game. It carefully planned funding amounts and content offerings to ease people in and then “up-sell” to bigger bundles at higher funding amounts.

“Each reward tier spoke to a specific type of gamer, or person who would be interested in these things,” says co-founder Trent Kusters. “So we knew that the game has fantastic art and we knew that we would attract a lot of artists to the page, so we wanted to have something there for them. We had a tier that was called ‘Scribe’, and that had the art book. Then we had one for the tabletop gamer, and that had physical coins and dice in a velvet bag.”

The entire strategy for the *Armello* Kickstarter was to get gamers interested and in the door at an accessible price. For \$15 AUD (approximately \$11.50 USD), backers could get the game. However, League of Geeks planned its tiers to gradually entice people to back at higher levels.

“The first tier was pretty basic. It was just the game and an in-game dice skin,” Kusters says. “But then the next tier for another ten bucks was pretty awesome; it had a few more things in there, and then digital content, so it’s easy for us to make. So it’s that first jump. Then, once you get them moving up once, then they’re thinking about what’s in the next tiers.”

League of Geeks also used the now-common “early bird” offering, giving a limited number of players a discount on a first-come, first-served basis. “It’s so important that people back as soon as they see your project, because obviously that velocity is incredibly important,” Kusters explains.

The studio also incorporated plans to increase the value of certain tiers throughout the campaign. These created good moments for updates, but also gave backers a reason to re-evaluate and, possibly, increase their pledges.

“We knew we were going to do this from the start. We had the dice and coin bags that we were going to add to one of the tiers at a particular point,” Kusters recalls. “About halfway through the campaign, we said, ‘Hey, this tier just above the one that you’re on just got a lot better.’ Getting people to scale up those tiers is super important.”

The result was a campaign that raised \$305,000 AUD, but the number of backers was relatively low at just over 6,200. The result was an average backer price of \$49.14 AUD (327.6 percent higher than the lowest tier that offered the game). For comparison, here's how the best-funded Kickstarter video game projects stack up:

*Table 9.1 - Average backer amounts compared to lowest priced tier offering the game (**Top 10 most funded games**³)*

Name	Average Backer	Lowest Priced Tier Offering Game	Average Backer Divided by Least Expensive Tier
1. Shenmue 3	\$91.36 USD	\$29	315%
2. Bloodstained: Ritual of the Night	\$85.50 USD	\$28	305%
3. Torment: Tides of Numenera	\$56.30 USD	\$20	282%
4. Pillars of Eternity	\$53.89 USD	\$20	269%
5. Mighty No. 9	\$57.20 USD	\$20	286%
6. Double Fine Adventure (Broken Age)	\$38.28 USD	\$15	255%
7. Yooka-Laylee	£28.55	£15	286%
8. Wasteland 2	\$47.85	\$15	319%
9. BattleTech	\$66.75	\$25	267%
10. Elite Dangerous	£61.46	£20	307%

³“Games, Sorted by Most Funded,” Kickstarter. https://www.kickstarter.com/discover/categories/games?sort=most_funded. (accessed June 5, 2017).

Table 9.2 - Average backer amounts compared to lowest-priced tier offering the game (comparable total funding levels to Armello)

Name	Average Backer	Lowest Priced Tier Offering Game	Average Backer Divided by Least Expensive Tier
Darkest Dungeon	\$32.51 USD	\$15	217%
Defense Grid 2	\$43.19 USD	\$15	288%
The Flame in the Flood	\$33.91 USD	\$15	226%
The Long Dark	\$36.78 CAD	\$15 (Early Bird)	245%
Shovel Knight	\$21.12 USD	\$10	211%
Superhot	\$21.57 USD	\$14	154%
We Happy Few	\$45.04 CAD	\$25 (Early Bird)	180%

While the top-funded video games on Kickstarter brought in as much as 22 times what the *Armello* Kickstarter raised, League of Geeks surpassed them all on backer engagement. The trend holds when comparing games that raised similar amounts. The philosophy Kusters and his colleagues used to introduce and manage backer tiers required forethought and active engagement during the campaign, but it paid off.

GETTING MEDIA TO COVER YOUR CAMPAIGN

Shortly after Double Fine cracked Kickstarter wide open for the games industry, the crowdfunding platform was the hottest story on every enthusiast website. That trend quickly dissipated, as the market became saturated. Reporters rapidly became inundated with requests to cover campaigns, with minimal information and pitches that hinged entirely on the allure of the new business model.

Today, you need to be both smart and creative to attract media attention, and having a campaign pitch that's clear, compelling, and credible is only part of the formula. "Three weeks before [we launched], I went to the States and did marketing. I was at GDC pitching the Kickstarter to different press," Kusters recalls. "I had announcements all lined up, and we had a premium trailer ready to go. We picked our top 10 outlets that we wanted, and we gave them scoops. I said, 'We're only telling a handful of outlets that this is happening. Here's the Kickstarter link. Here's where everything's going to be. Here are the rich

assets. Here's what the press release is going to be. Then the moment that it goes live, you can send all your stuff live, but I'll send the press release out an hour after the Kickstarter goes out.”

Getting in touch with press in advance is crucial. Lead times give reporters the chance to ask questions that may, in turn, help you refine your messaging. If something isn't clear to a journalist, chances are it will trip up some of your potential backers.

The most important thing to stress is that a relationship with the press, especially around crowdfunding, must be symbiotic. Too often, project managers implore the press to “help get the word out” or “help us reach our goal.”

The role of the media is to tell captivating stories to their audiences. It isn't to help you reach your funding goal. It isn't exclusively to help you signal boost.

Bring reporters a good campaign pitch backed by an engaging angle, and they'll be more interested in interviews and coverage. Come in too late or without a hook that makes your project stand out, and you might find that a dearth of media coverage is the canary in the coal mine for your campaign.

“Even though we received much more money from our Kickstarter than we, or anybody anticipated, that didn't stop me from getting excited and designing a game so big that it would need even more money.” - Tim Schafer, 16 months after raising \$3.33 million for Broken Age against a \$400,000 goal⁴

THE THREAT OF TCHOTCHKES AND KNICKKNACKS

Walk into most studios and you will see desks littered with all sorts of toys, collectibles, and novelty items. We're big kids at heart, and many of us love to show off our collections.

Fans are the same way, which is why most Kickstarters offer up backer

⁴Tim Schafer. “Episode 10: Part One of Something Great - A Note from Tim,” Kickstarter - Double Fine Adventure. July 2, 2013. <https://www.kickstarter.com/projects/doublefine/double-fine-adventure/posts/527683>. (accessed June 5, 2017).

tiers with tangible rewards. Figures, art books, apparel, pins, and more have been put up for grabs.

They're cool. They're limited. They're only for Kickstarter backers. They could break your budget after it's too late to back out of the commitment.

In the earlier days of video game's marriage with crowdfunding, there were multiple project managers that completely forgot to consider the cost of making good on the rewards. Developer Warballoon, which successfully raised money for its game *Star Command* before Double Fine hit the scene, is a **cautionary tale**⁵ about physical goods.

The small studio raised \$36,967. Nearly \$2,000 immediately went to Kickstarter for its five percent cut. Another approximately \$3,000 was siphoned off for payment processing fees. Of the remaining \$32,000, a whopping \$10,000 was required to pay for physical good manufacturing and fulfillment.

While *Star Command* was eventually released (and Warballoon later Kickstarted and delivered a sequel), the budgeting problem cost



⁵Alexander Sliwinski. "Star Command devs transparent about where Kickstarter funding went (Spoiler: prize shipments)," *Joystiq*. April 16, 2012. <https://www.engadget.com/2012/04/16/star-command-devs-transparent-about-where-kickstarter-funding-wel/>. (accessed June 5, 2017).

the studio dearly. The company's budgeting problems led its founders to take on **\$50,000**⁶ of debt in order to fulfill its crowdfunding promises.

Even successfully delivered campaigns, like *Shadowrun Returns*, included mistakes on the reward side. "On *Shadowrun*, every art book that we shipped overseas, we lost money on," Weisman says. "We've tried to reduce the amount of physical goods as much as possible. You have to make sure that customers are getting a really good deal, and at the same time, something that actually adds money to the development pool because that's the whole goal, right? And if we're spending most of the money they gave us on making a jacket and shipping it to them, well then they haven't really helped us make the game. But in their mind they have because that's what they were trying to do. We want to make sure that they actually are, so we've tried to minimize the number of them but make them very iconic and with high perceived value, yet still up the margins and help make a gain. So we've moved a lot more digital rewards, as much as possible."

Physical goods have motivated backers on hundreds of crowdfunding campaigns. They are powerful hooks that can easily up-sell collectors to the next tier. Just make sure that those shelf items and slick art books are working for you and not against you.

CREDIBILITY COUNTS

We're seeing more established developers and even large publishers giving crowdfunding a try. The video game space on Kickstarter is running out of elbow room, and discoverability is a challenge.

In 2012, good ideas were powerful motivators. Today, they are one piece of the puzzle that will get your campaign noticed.

With so many options available, and many backers having been burned by failed projects at least once (if not many times), consumers are looking for more security. There are no sure bets when it comes to crowdfunding, but you can help communicate that a backer's risk has been minimized as much as reasonably possible.

⁶The Warballoon Team. "What the hell did you do with our money?" *Kickstarter - Star Command*. April 15, 2012. <https://www.kickstarter.com/projects/starcommand/star-command-sci-fi-meets-gamedev-story-for-ios-an/posts/208395>. (accessed June 5, 2017).

One of the best ways to do this is to talk up the experience of your key staff. This should be more than a laundry list of previous projects. Rather, identify specific roles and contributions so potential backers know these individuals play important roles. If you remain vague about how your team helped bring other successful games to market, you're squandering a chance to solidify financial support.

The other component is showing off what your ace team can do together. Just a few years ago, it was enough to show off concept art and talk about all the things you wanted to put in your game. Those days are gone.

If you're launching your first crowdfunding campaign now, you must have more. Without gameplay footage (even an early build), you are setting yourself up for a hard road. That's not to say an amazing idea with a solid team won't succeed, but without seeing something concrete, backers are going to be hesitant.

We're starting to see more crowdfunding projects launch with something playable or introduce a short demo mid-campaign. Even if your full game is still 18 months away, a playable example of what you're going for not only proves out your idea, but communicates to potential backers that you have the capacity and know-how to deliver on your vision.

DON'T BLOW OFF RISKS AND CHALLENGES

We've all been in job interviews and have been asked the infamous "what is your greatest weakness?" question. Crowdfunding campaigns are job interviews, and the "risks and challenges" section is your chance to identify, address, and assuage fears about your project's possible shortcomings.

While your campaign's risks and challenges might be largely out of your control, being thoughtful about what might go wrong is vital. The natural inclination is to be afraid to spell out everything that might go wrong through development, manufacturing, and fulfillment. However, it reflects well on your managerial competence if you can show that you're aware of what might cause delays before you even get started.

Savvy potential backers (and media) can sniff out when you aren't being honest and forthright. If it seems like you haven't fully considered the worst case scenarios (or are attempting to hide possible pitfalls), you're going to limit your success and possibly open the door to problems down the road.

COMMUNICATE OR DIE

Visit any major gaming forum, like Reddit or NeoGAF, and you'll find communities hungry for every bit of information they can find. That effect is amplified when those same people have skin in the game. Communication can mean the difference between a backer army that works with you to evangelize your game and one that floods the media with horror stories about your project.

Executing a successful project isn't about getting everything perfectly right (though we admit that helps). Keeping your backers happy is about open communication, properly set expectations, transparency, and rapid response if something goes wrong.

You'll want to find the balance between timely and accurate communication. For instance, if you know something is going to cause a delay, you'll need to decide whether to communicate that immediately or wait until you understand the full impact of whatever's causing the holdup.

It's also important to issue updates, even if there is nothing new to report. In the absence of communication, backers conjure worst case scenarios. The clock will reset if you just stop in with a quick progress note.

This will likely inspire questions from backers. Make sure that someone is available to respond to any inquiries that show up in the comments.

Don't drop 11th-hour bombs on your backers. Don't cancel or delay a commitment at the last minute, unless there is absolutely no other option. Backers become less forgiving if you abuse their trust.

Transparency is crucial. Partial transparency—hiding significant bad news—can obliterate your community's faith in your ability to deliver.

MAKE TIME FOR SELF-CARE DURING CROWDFUNDING

For the 30 or so days your crowdfunding campaign will be live, you'll likely find yourself obsessed with the progress. While that's a normal inclination, it's crucial that you also prioritize your mental and physical health.

"It's incredibly harrowing. And it's some of the hardest work I've ever done in my life," Kusters says. "There were days when we did the Kickstarter I didn't sleep for like two days, two to three days. I was just awake and at a PAX, pitching the Kickstarter."

The cycle is hard to break, as crowdfunding is a global endeavor. As the sun sets on one country, another wakes to a new day.

"It took me 30 seconds before I'd check **Kicktraq**⁷ for the first time. You just become addicted to the campaign," Kusters explains. "The first 48 hours, I was literally awake for all of it, because I'm sitting there and as the world is waking up, there were new waves of people, and it's just pouring in. I remember on the first day, I was sitting at my parents' house at some crazy hour in the morning and my dad was up in front of me, because obviously it's going wild, so they're checking it out, too. And he told me, 'Go to bed. You're literally going to kill yourself. Go to bed.' I had a flight to go to Boston the next day. So I'm closing my laptop, and as I'm closing it, it's making all of the notifications, sounds like ba-ding, ba-dong, ba-dong, ba-ding, with things still coming in. I just knew it was never going to end."

While crowdfunding is a major step in the process, it certainly isn't the final one. Should you meet your goal, you'll find yourself with



⁷**Kicktraq.com** - An independent service and news hub that provides tracking tools and historical data for Kickstarter campaigns.

obligations to thousands of backers. Make sure you have fuel left in the tank, as the hard work is about to begin in earnest.

WHAT HAPPENS IF YOU CAN'T DELIVER?

The brutal truth of crowdfunding is that sometimes things spiral so far out of your control that you have no choice but to give up. However, if you planned properly and were up front about your risks and challenges, you can mitigate the inevitable damage to your reputation.

According to most platform guidelines, project managers are legally liable for their campaigns. If you can't deliver, you're going to need to explain to your backers why you can't reimburse them. Chances are, you've underbudgeted cash and time needs, spent all your funds, and have no more capacity to finish the project.

Keep in mind that some states have started taking legal action against deadbeat crowdfunding project managers. This is why communication is so important. Dropping off the face of the Earth, ignoring email, missing your estimated delivery date without a word, and other acts of bad faith are likely to draw the ire of a state attorney general (as was the case in the **Asylum Playing Cards campaign**⁸) or Federal Trade Commission (in the case of **The Doom That Came to Atlantic City**⁹).

However, if you found a publisher, lost key team members early in the project, or received external funding that drastically changes the scope, you may have a good reason to cancel. In that event, ensure that you have a plan to refund backers before you communicate the cancellation.

Ending a crowdfunding project after successful funding doesn't have to be a career-ending decision. It just requires that you lay the groundwork, take good care of your backers, and remain honest and transparent.

⁸**"AG Makes Crowdfunded Company Pay for Shady Deal,"** *Washington State Office of the Attorney General*. July 27, 2015. <http://www.atg.wa.gov/news/news-releases/ag-makes-crowdfunded-company-pay-shady-deal>. (accessed June 5, 2017).

⁹**Federal Trade Commission v. Erik Chevalier. 2015 Oregon.** <https://www.ftc.gov/system/files/documents/cases/150611chevaliercmpt.pdf>. (accessed June 5, 2017).



IN THIS CHAPTER WE LEARNED

- 1 How video game crowdfunding has evolved since 2012.
- 2 Why it's important to keep lines of communication open to backers.
- 3 How physical rewards can trip you up.
- 4 Why you should be realistic about the potential challenges you'll face during and after the campaign.
- 5 What to do if you can't deliver your project after you've been funded.



IN THIS CHAPTER

- 1 What early access can do for you (and what it can't).
- 2 How to approach early access pricing.
- 3 How community management and press relations differ in an early access scenario.



CHAPTER 10

EARLY ACCESS

SELLING A GAME BEFORE IT'S FINISHED!

So far, we've talked about how you'll earn money when working with a publisher and when you can expect distribution platforms to pay you (Chapter 6). We also covered raising production funds up front via crowdfunding (Chapter 9).

In the past few years, another source of financing has emerged. Mojang first found major success with this new approach, selling *Minecraft* long before it was officially “released.” In 2012, Valve began allowing developers to sell unfinished games via its Steam Early Access program. This took the concept mainstream, giving developers a way to invite consumers to the table before their games are actually completed.

Today, the early access market has widened, with appearances on other PC distribution platforms like GOG, and on console via the Xbox Game Preview initiative. But selling your game early carries risk, obligation,

and visibility that makes early access a more complicated decision than it might seem on the surface.

WHAT IS EARLY ACCESS (AND WHAT ISN'T IT)?

Depending on your perspective, selling games before they are complete might be as offensive as “charging naive consumers for beta access” or as purely altruistic as “democratizing the game development process.” The answer, as with most issues, is far more nuanced.

When you release your game in an unfinished state, you are making a promise to anyone who purchases it prior to formal launch. In order to make that commitment, you need to have a well-formed idea of what your game will be when it reaches the 1.0 release.

You might not be ready to announce every feature, but your promotional assets and text description should give customers an idea of what they will get upon purchase and what the final version will likely include. That doesn't mean your plans are static. Rather, early access exists to gather feedback during the development process.

The program gives you access to gamers who are immediately invested in your success. There is something powerful about testers who have chosen to pay for your unfinished game amongst a sea of high-profile titles that have been officially released.

However, with every new tester-slash-customer, you're opening the door to another voice. Some people will never provide a bit of feedback. A core of vocal early access players will likely form, giving you a first line testing ground for updates and new features. Unfortunately, there will likely be some malefactors in the group who can't break free from a negative perspective or, worse, actively work to subvert your progress. Knowing how to sift through all of that feedback is a crucial part of the endeavor.

PRICING YOUR EARLY ACCESS GAME

There are two schools of thought when it comes to pricing your game before it's formally released. When Markus Persson started monetizing *Minecraft* in late 2009, he started with a nominal payment of €5 (about \$7.25) to access a premium version.

Between that time and the game's 1.0 release almost two years later, the price gradually ramped up to €20 (about \$27). Increases

were **announced in advance**¹ and in keeping with a philosophy that rewarded early adopters while being cognizant that those purchasers were buying into a game still very much in development.

This pricing model is regularly used by developers in early access today. Games will typically offer one price during that initial phase, with costs increasing upon release. It's common for the staged pricing model to be well communicated for transparency, and also to incentivize those who may be on the fence about diving in early.

When Vlambeer decided to release *Nuclear Throne* as an early access game, it flipped the model on its head. Instead of giving players a discount for buying in early, the roguelike was more expensive before its release.

"We think that one of the most powerful things we did was very early on," says Vlambeer co-founder Rami Ismail. "We said, '*Nuclear Throne* is our game, and we call the shots, and your feedback is appreciated, but will not necessarily be listened to.' To ensure that was clear, on the sales page, we emphasized that *Nuclear Throne* was more expensive while it was in early access, and if you wanted just the game, it would be better off to wait, because it will be cheaper in the future."

The benefit of starting high and stepping down is that it creates a more engaged community. Players opting in at a higher price knew that they weren't just buying the game, they were purchasing a chance to help shape *Nuclear Throne* for players who would come along later.

THE POWER OF ENGAGING WITH THE EARLY ACCESS COMMUNITY

Unlike public beta tests for premium games, which run for limited, intense periods, early access can go on for months or years. Building and maintaining the community is a dance that requires fostering healthy feedback and mitigating frustration. Helping a core group of invested gamers flourish means making people feel valued, even if you can't incorporate every suggestion.

¹Markus Persson. "Minecraft Beta: December 20, 2010," *The Word of Notch*. December 20, 2010. <https://notch.tumblr.com/post/2175441966/minecraft-beta-december-20-2010>. (accessed June 5, 2017).

Following its successful Kickstarter campaign, League of Geeks brought *Armello* to Steam via early access. Co-founder Trent Kusters says he was pleased with the process and learned lessons that will help the studio if it returns to the platform.

“I think we could have had key developers in the forums a little bit more. We got a community manager, but then we took a bit of a backseat when I stopped being in the forums as much,” Kusters says. “I think that was a mistake, definitely. I think it’s really important to have the creator’s voice there. This is something that we heard from Amplitude [developers of the *Endless* franchise], but we just forgot about or didn’t really heed their advice or understand the importance of it.”

Community managers are the voice of the studio on many routine matters, but developers can change the tide of a conversation and assuage concerns by being present.

“When you have a community manager in there and they’re attracting fire and then a designer of the game steps in, it’s like God is talking to you through the burning bush. It’s a weird analogy, the game designer God thing,” Kusters explains. “The weight that you have when you walk in there and you say, ‘Hey, man, that’s a really good idea. We can’t do it for this reason, but maybe we can do something like that here. Good work.’ And that person’s instantly and immediately evangelized to your game. And even on the flip side and if someone’s creating a hassle, the community manager is there to slap people around, so a lot of time players don’t pay attention to them. There’s an escalation system, and Darcy, our community manager, will tell me, ‘Hey, I think you should jump into this because it’s getting a little bit out of hand.’”

Setting boundaries as Vlambeer did and creating an internal escalation system as League of Geeks has done are two ways to help keep the community on the same page. That doesn’t mean there won’t be different ideas, perspectives, and feature requests. Rather, the communication fosters transparency and understanding, so that players understand why decisions are being made and feel respected when offering suggestions.

INCORPORATING PLAYER FEEDBACK

Vlambeer worked closely with its early access community, listening to feedback and making adjustments to the game. However, through

Nuclear Throne's early days, the studio learned a powerful lesson about how to take guidance from a small, extremely dedicated pool of players.

"If you do something where you make sure that your community is engaged, and highly invested in the game, then one of the problems that you run into is that the majority of the feedback you get is going to be from players who are really good at the game," Ismail explains. This emerged as a challenge, as players who were becoming proficient in the game expressed frustration about its early levels.

"One of the mistakes we made early on is a lot of people were complaining that world one was just too easy," he says. "We started making it harder and harder until at some point, three or four months later, we realized we had not seen a new name join the conversation in the forum for an extended period of time. Before that, every few weeks, we would have somebody new that really got a spot in their community, and we just realized that wasn't happening anymore. We started looking into what was happening, and people were buying the game, and immediately quitting it, because world one was too hard. They never got to the point where they engaged with the community, because by that point they had already given up on the game."

Ismail likens the problem to something airplane engineers faced in World War II. "There's a story from World War II, where they tried to strengthen Allied airplanes by looking where airplanes were hit by bullets and then they tried to reinforce those parts. Somebody said, 'No, you need to reinforce the other parts, because if you can check the airplane for bullet holes, it means it made it back safely. And if you can't see the airplane, the bullets are probably in the places that are not these.' That's effectively what was happening. We were only looking at the people who made it through the first levels, and never looking at the people who didn't."



PUBLICITY AND PREVIEWS

One of the biggest challenges with early access is working with the press. While the concept of pre-completion sales is becoming normalized, the media is in a challenging position, because they serve readers and not developers.

It's perfectly understandable to ask that your game not be reviewed until it's released in full. However, game journalists have to find balance between helping guide a player's purchase decision and respecting the development process.

More writers are getting comfortable with in-depth previews that walk that tightrope. But while that challenge is finding a solution in equilibrium, developers are still struggling with another: keeping media engaged. It's a problem that isn't entirely different from keeping players on board until and beyond release.

"Early access is extremely powerful for specific types of games," Ismail says. "It's not for all games, and it's not for all studios, to be honest. What it requires is a game that is replayable, that mostly benefits from content additions rather than feature additions, and a studio that can be radically transparent. If you can be those three things, early access is one of the best things you will ever come across, because it will allow you to test publicly."

If you don't work to keep people engaged, you'll see your player counts trail off. It's crucial for studios to give both media and gamers a reason to boot your game up again a week, month, or even a year after their first experience.

During *Nuclear Throne*'s development, Vlambeer decided it needed to grow its community. Existing players were getting too good, and the studio needed a fresh crop.

"We set up for a beat somewhere about a year out from release. Up until that point, we purely focused on YouTube and Twitch, because they're a bit more grassroots in that regard," Ismail explains. "At some point, when we realized that our community was too good at the game, we actually did a huge giveaway, where we gave everybody who owned the game a free copy of the game to give away to friends."

With 75,000 free copies out in the wild, the studio saw some related benefits emerge. "It actually significantly increased our sales," he

recalls. “It significantly increased engagement on the forums. It made *Nuclear Throne* a better game.”

League of Geeks also created beats throughout its development, using an event-like atmosphere multiple times throughout *Armello*’s early access period. The concept of “branded updates,” using a specific name to package new features and content, isn’t a new concept (it’s used frequently in massively multiplayer online games between major expansions), but it is a potent one.

“Branded updates make every month a new product release. We’re going to do it in five days for version 1.6, and we went about a week doing the branding just for a content update,” Kusters says. “It makes people feel more invested, and it makes it a calendar event. Not everyone’s going to play your early access game every day, so it’s a reason for them to come back and check out what’s new and give some feedback and chat within the community, and then go off and play some other things, knowing that in a month, something else is going to pull them back.”

He expects that League of Geeks will make use of early access again for future projects. The branded update philosophy will be something the studio extends to media, as a way to keep them engaged.

“I’ll just ping the press every time we have an update, and just let them know in advance,” he says. “We’re going to do the early access thing. I’ll just send you a ping whenever there’s an update coming. Write about it or don’t.”

Keeping the lines of communication open with press during the process only solves one problem, though. There is a much bigger hurdle for any developer using early access. After months (or years) of having a playable game that’s on sale, formally releasing to version 1.0 simply isn’t enough of a story by itself. Both Vlambeer and League of Geeks did a bit more with their official launches to make them newsworthy.

“We decided to go for a stealth release. We went quiet until release day,” Ismail recalls. “We released during PlayStation Experience in December 2015, which means that we had a story. We released *Nuclear Throne* on a different platform. We could tie up the ‘it’s now out of early access’ with ‘it’s now available on a new platform’, and that was just enough to make some of the press go, ‘Okay, you know what? We can cover this one more time.’”

The air of secrecy was important to League of Geeks, also. However, rather than go silent prior to release, the studio held back some of the big bullet points to create a spike in interest.

“That was actually one of our biggest fears and biggest risks of the entire development and our launch, because what’s the difference between pushing your full update and pushing a few bug fixes a couple of weeks before?” Kusters explains.

Despite impressive pre-release early access sales, Kusters knew that for *Armello* to be a success, the studio needed to see a bigger sales push. That required new momentum akin to a game becoming playable by the public for the first time, a challenge for a title that had been available for years.

“We knew that we needed a launch spike that was definitely bigger than our early access release spike,” he says. “We knew that we wanted to sell however many; we wanted it to be four times bigger or eight times bigger. But at the same time, what were we doing to win people? So I basically set up a system that we called mic drops. We had 10 mic drops that we were shooting for on day one. People didn’t know about them. We didn’t talk about them in advance. ‘Version 1.0 is here, and it’s got this and that and this and this.’ And some of them were things that people maybe knew were coming, like our winter map. But then some were things that people didn’t know were coming.”

Just like Vlambeer, League of Geeks timed its move from early access to release to coincide with *Armello*’s availability on another platform. “We paired up with Sony to do a PS4 release, too,” Kusters explains. “In our press release, it was a launch, because it was the first time it was ever launched on console. We leveraged PlayStation’s massive marketing and PR potential to retweet us and put our trailers up. That got people interested, too. It’s not just, ‘Okay, *Armello*’s come out of early access.’”

In addition to the timing, the studio also connected with press again, much as it had done before launching on Kickstarter. League of Geeks gave approximately 10 outlets advance notice, ensuring that there would be some coverage of the combination early access release and PlayStation 4 launch. The experience of bringing *Armello* into its full release phase drove home how serious that moment is for early access developers.

“If developers don’t take that seriously, it can put you out of business,” Kusters cautions. “You can’t just release your game and say, ‘Look.’”

KEEPING PLAYERS ENGAGED WITHOUT BURNING YOURSELF OUT

As with all good things, it is possible to overdo communication. Having a regular update cadence is important. Live streaming and sharing written content about development keeps people engaged. However, you also need to leave time to develop and take care of yourself with regular meals and sleep.

When *Nuclear Throne* was in early access, Vlambeer adopted an aggressive schedule. It led to a well-received game, but the impact on the team was palpable, according to Rami Ismail.

“For *Nuclear Throne*, what we did, is we would livestream development twice a week every Tuesday and Thursday, and then release every Saturday. And to be honest, even though that was lovely and amazing, and it made for a really good connection with our fans, it was a lot of work.”

For 99 weeks, Ismail and his team stuck to a rapid-fire schedule that didn’t incorporate moments to take a breath and rejuvenate. “It was brutal,” he says. “It was Tuesday livestream, Wednesday development, Thursday livestreaming, Friday wrap-up, Saturday release, Sunday (if release did not have major errors) rest, then Monday get back together, and make plans for the next week. On the one side, it made for an amazing connection with our fans. On the other side it was not good for our team and not good for our studio.”

While Vlambeer has made no specific announcements, Ismail is already planning how Vlambeer will tackle its next venture in early access. He doesn’t want to give up the connection with fans, but recognizes the pacing his team attempted with *Nuclear Throne* isn’t sustainable.

“If we would do it again, we would probably slow down that schedule,” Ismail admits. “Instead of every week releasing an update, we’d release every two weeks and do a livestream every week, or something like that. But we did really enjoy being accountable to the fans.”

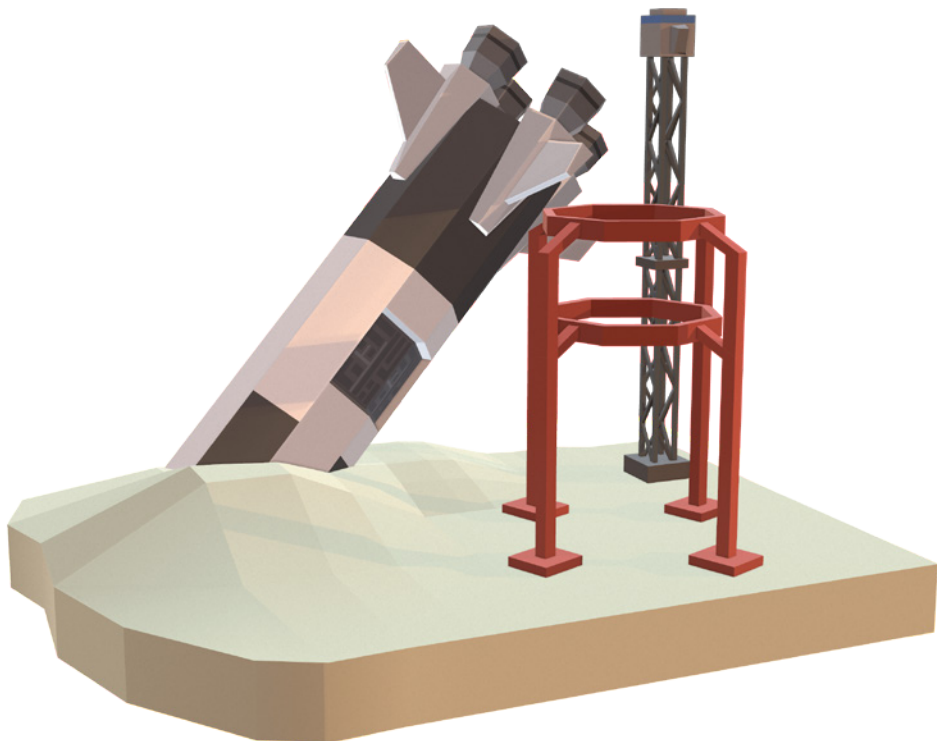
FAILURE TO LAUNCH

Accountability is at the heart of early access. Selling your game before it's complete is a commitment to consumers that you are going to make every effort to finish the game.

However, you may find yourself in the difficult situation of having to cease development, possibly because your studio is closing. It's important to wind down gracefully, especially if you have hopes of continuing to work in this industry.

As soon as you make the decision to end development, writing your announcement and planning the exit must take priority. Anticipate every question your players might have. Remember, these are people who took a chance on you, have provided feedback during your early access period, and feel personally connected to the project.

Even though they are not invested like you and your staff are, they are key stakeholders in the development process. Be professional. Be calm. Be clear and forthright.



WHY ARE YOU ENDING DEVELOPMENT?

Players will want to know why you made the decision to terminate the project. While you don't have to reveal all the details, especially those that might have legal considerations, you should plan to offer enough insight to ensure reasonable curiosity is satisfied.

Giving an overview of the decision-making process, explaining what aspects of the project weren't working, and making clear why it was important for the team and the company to move on is crucial. If this is a positive decision, strike a hopeful tone. However, sometimes the news is particularly unfortunate.

WHAT DOES THIS MEAN FOR YOUR STUDIO?

Your players will want to know if your studio is closing. Not every early access termination is coupled with a studio closure or layoff announcement. However, it's a reasonable concern both in the media and among your fans. If there is a staff reduction or you have to close the business, a note about how you are helping affected employees goes a long way.

WHEN IS EVERYTHING COMING TO A CLOSE?

Some early access games are service-based offerings. In these cases, your decision to end development will make the game unplayable at a certain point.

Don't pull the plug immediately, if you can help it (especially if your terms of service commit to a specific lead time before ending service). Give players enough time to celebrate your work and have one last hurrah. Send email updates with reminders as you get closer to the end.

It is strongly recommended that you immediately cease selling premium items and currency. Monetizing a game on death row is considered to be extremely consumer-unfriendly, and it can cost you more in goodwill than you'll earn in hard cash.

HOW ARE YOU TAKING CARE OF YOUR EARLY ACCESS PLAYERS?

If you are planning to compensate players for your decision to leave the game unfinished, be explicit about what you're offering as quickly as possible. Will you be refunding early access purchasers? Are you unlocking paywalled features until the end? Will you be giving away

premium currency (or removing that need entirely) so players can experience as much as they can before the end?

If you've released other games, you might want to consider incentivizing your early access players with a code giveaway for another title. If your other games are free-to-play, consider offering premium currency and items to bridge them into your other offerings.

WHAT ARE YOU DOING NEXT?

If your studio is closing, chances are you don't know what's next for members of your team. However, if the decision to cancel your game was voluntary (and especially if there are no adverse impacts on your staff), you can afford to say a bit about how you see your company's future.

If cancellation of this game was in service of taking a bigger, more stable opportunity, you can say that in your announcement. You might not need to be specific about the new project, but you can afford to take a moment to assure fans that this is the best decision for the studio and that you hope players will be interested when you can discuss it in full.

WHAT LESSONS DID YOU LEARN DURING DEVELOPMENT?

No matter why you are canceling your game, it's a good idea to use your announcement as a reflective moment. Even if the situation is dire for your company, taking a moment to share lessons you learned can be cathartic for you and your players. Additionally, your guidance might help other developers who are considering whether early access is the right choice for their project.

THANK YOUR PLAYERS

Above all else, be gracious, especially if you can't afford to remunerate those who purchased your game under the expectation it would be finished. Be generous with your thanks. If you strike the right balance between being conciliatory and gracious, it's more likely that your community will be empathetic to your circumstances.

BE ACTIVE IN THE FORUM OR COMMENTS SECTION

No matter what led you to this decision, your community is likely to be emotional. There will be sadness and anger, and you need to be

prepared for how you'll deal with it. You'll also want to monitor the forums in case anything you intended to communicate is unclear or misinterpreted.

Have a clear communications plan in place. Ensure that only those authorized to respond do so. Make sure that there are no contradictions and that every response makes the situation clearer rather than more confusing.

Your cancellation doesn't have to be a public relations disaster. If you handle things well, stay professional, and stay on message, you can keep your community on your side.

FINAL THOUGHTS ON EARLY ACCESS

Whether early access is right for you depends on a combination of factors. Rami Ismail offers considerations he believes developers should address before moving forward.

ARE YOU SURE YOU CAN COMPLETE YOUR PROJECT?

There are three things you want to consider. One is, are you going to be able to finish this game? It's a production question, but you need to be able to wrap up and finish the game for people who have it. If you get one sale, that person deserves a finished project.

If you can not commit to that, you should not do it. If you are uncertain about the state of sales, you should be at the state of the game where you can go wrap it up and put a nice bow on it for everybody who bought it. If you can't do that, you're going to hurt early access, and you're going to hurt every developer that does early access.

HIRE SOMEONE TO MANAGE YOUR COMMUNITY

You're going to need a full-time community manager, or somebody who can act as that, even though they're not a full-time dedicated community person. For the first three months of Nuclear Throne, there was very little to do for me. Luftrausers was out, Ridiculous Fishing was out, Nuclear Throne was still a prototype in GameMaker that my co-founder was working on.

For three months all I did was lurk the forums, and every question we got, I answered in the most obnoxious level of detail I possibly could, just to make sure that our community understood that the way we answer questions is in detail, politely, and friendly. When somebody said something aggressive, I would respond in a de-escalating manner, and prime the community for those kinds of behaviors. That took me three months, right? That was not a thing you did in an hour.

Also, never let anybody get drunk with your Twitter account. I've seen a lot of early access games go down that way, because something went wrong, and the weight of the responsibility crushed them. It's not an easy path. It's not an "Oh my god, we're going to get paid by the consumers while we're making games!" situation. No, you're going to be marketing, and fighting for every sale while you're making a video game. It's not going to be a Kickstarter, but infinitely harder. If you're not up for that, you should reconsider doing it.

BE PREPARED TO LIVE ON A SCHEDULE

Finally, I think one of the things that's really important, is you have to be okay with being on a schedule, because the one thing that really helps early access is the accountability of the schedule. Nobody's going to hold it against you if you miss one or two, if you communicate up front, but having a schedule, and communicating around a shared framework that both you and the consumers understand is the easiest way of getting through this without major problems.



IN THIS CHAPTER WE LEARNED

- 1 Tips for keeping press and players engaged between early access and your “real” launch.
- 2 Two different pricing models for early access games that foster different types of communities.
- 3 How to incorporate player feedback without veering off the path.
- 4 How to function in an open development environment without burning yourself out.
- 5 What to do if you decide to cancel your game during the early access phase.



IN THIS CHAPTER

- 1 How licensing agreements work.
- 2 What to expect when working with licensed properties.
- 3 How to manage the licensor relationship.

CHAPTER II

LICENSING

WORKING WITH SOMEONE ELSE'S IP!

Star Wars: Episode VII - The Force Awakens grossed \$529 million in its worldwide opening, making it the second biggest in history as of writing (bested only by *The Fate of the Furious*). In twelfth place, *Captain America: Civil War* brought in \$380 million in its first few days. All the way down in the forty-fifth slot, *Fantastic Beasts and Where to Find Them* pulled in **\$218 million**¹.

These films are seen by millions, building passionate fanbases eager to dive into new stories featuring familiar characters. Video games have long been a part of that ecosystem, and with the dark ages of licensed shovelware largely behind us, gamers are again optimistic about both film and cartoon tie-in games as well as original stories.

Licensed characters and settings immediately give your game a recognizable hook. But with great power comes great responsibility. Shipping a title like this will tax your resources, extend your development timeline, and put your finished product under the microscope, as superfans dissect your take on their favorite heroes.

The first step in making sure you're ready for a licensed game is evaluating your finances. Licenses don't come cheap.

¹"All Time Box Office - Worldwide Openings," Box Office Mojo. <http://www.boxofficemojo.com/alltime/world/worldwideopenings.htm>. (accessed June 5, 2017).

HOW THE MONEY FLOWS

Working with a license-holder introduces another party into the negotiation. If you're already working with a publisher, you'll have an advocate when working out the financial arrangements. If not, there are a few things you need to be ready for when you sit down to hammer out details.

In order to initiate a licensed project, you're going to need to have a healthy cash reserve. Most IP holders expect a "minimum guarantee" up front, typically factored on the number of copies you anticipate selling.

"Some IP holders want a game simply based on projected sales," says Zen Studios vice president of publishing Mel Kirk. "Other IPs are just interesting to Zen, they may not be very well-known, or they're kind of niche-y. In that case, we pay a minimum guarantee based on the negotiated value of the IP and what the project is going to be."

The minimum guarantee is an advance payment against royalties you'll owe for the sales life of the final project. This protects the license holder, insuring that they will see a base level return on their agreement to let you use their license.



As you earn revenue on your game, you'll report your earnings to the license holder. You won't owe additional payments until your total royalty exceeds your minimum guarantee. This functions essentially the same as a recoup, with the developer (or publisher) paying an advance to the licensor.

What you lose in licensing royalties you (hopefully) recover in volume. The slice of the revenue pie that you get to keep shrinks dramatically.

Remember, you're already paying 30 percent to platform holders, potentially reimbursing publishers via recoup, suffering a death by a thousand retailer cuts (endcaps, shelf placement, in-store promotional assets, etc.), and paying licensing fees in perpetuity.

In return, you're tapping into the awareness an established property offers, an engaged fanbase likely to consider purchase before even seeing your game in action, and the marketing muscle of large companies with enormous numbers of followers. Licensors have every reason to help market and promote; your success directly translates into revenue for them.

DON'T EXPECT A FAVORABLE DEAL YOUR FIRST TIME OUT

As experienced as you might be in development, working with licenses requires additional skills. As you build those muscles for the first time, you're going to need some additional guidance from the licensor. The most important thing about your first time working with someone else's intellectual property is getting the opportunity and getting it right.

If you've not been down this road before, a licensor is taking a bigger risk. For that reason, your minimum guarantee and royalty terms may likely favor the IP holder.

Zen Studios, now seasoned experts at working with a variety of licenses (Marvel, Star Wars, and several Fox shows and movies) began its licensed work with Capcom. The company's first licensed *Pinball FX* table brought *Street Fighter II*'s cast to life in a new format.

"The terms of the deal were definitely in their favor," Kirk recalls. "We just needed a shot and a first chance. Capcom was totally awesome and gave us that first opportunity, and we knocked it out. We did really well. As soon as we released it, everyone saw where this could go."

LICENSORS HAVE MORE TO GAIN THAN JUST MONEY

Working with partners can be beneficial to licensors for reasons beyond money. Some properties skew toward mature audiences. However, there are opportunities to bridge the age gap (something Warner Bros.'

team-up with LEGO has evidenced). Zen Studios has had its successes in taking M-rated source material and making it work for a broader audience.

“We worked with Tecmo and we did *Ninja Gaiden*,” Kirk recalls. “Again, it went really well, and we showed that we could do a very mature property within our **ESRB**² rating of E+, or E10.”

Licensed games can help an intellectual property holder reach new audiences and reinforce their message. Everything from inexpensive character-themed apparel and action figures all the way to massive video games help support the awareness, public perception, and value of the brand. You wouldn’t take a 10 year old to see Ryan Reynolds in *Deadpool* or let them play High Moon Studios’ M-rated game, but an innocuous t-shirt, LEGO set, or *Zen Pinball FX 2* table introduces the character to kids long before they are of the age to consume the core material.

“You can look at all the brands that we have now and in the future. Everyone has extended the terms with us beyond the initial deal,” Kirk explains. “We serve a very different kind of market: core gamers, casual consumers, and mass market entertainment enthusiasts. The product is far reaching, and it’s a niche that we just own. High quality always speaks, and our track record speaks for itself. Further, pinball doesn’t cannibalize their sales for any other games, and heck, it’s kind of like marketing. It’s high quality marketing for their brand.”

BUDGET FOR AN EXTENDED DEVELOPMENT TIMELINE

In addition to the revenue considerations related to licensing fees, you should plan for significantly expanded expenses. Nearly everything related to a project like this requires licensor approval.

Every art asset, voice-over clip, and cinematic will pass through many hands before final approval. Depending on the licensor and other business needs, approval timing can vary drastically.

“Every licensor is different, and they all have their own processes,” Kirk explains. “Most of the time, most of these guys now have their own

²**ESRB** - The Entertainment Software Rating Board issues age-related guidelines for video games based on content in North America.

digital drop box delivery system of some sort. You upload your assets, your producer will get a notification, and they start the review process. They have a certain amount of time by contract to approve that. Even if they don't meet that deadline, in the contract it will still say, 'You cannot release this unless it's been approved.' So really, they have unlimited amount of time."

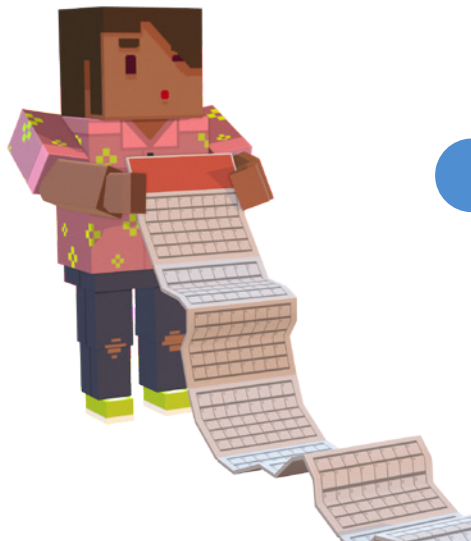
Of course, unless there are significant problems, approvals should come within a reasonable time frame. There is rarely a benefit for licensors to unnecessarily withhold approval. The sooner a game gets finished and on the market, the faster they get paid above and beyond the minimum guarantee. Kirk says that approvals can come as quickly as one to two business days, but have occasionally been stalled for up to a month.

Because approvals add an extensive and ongoing step to the process, you'll need to plan ahead. Not only will your production timeline be expanded, but all of the related overhead will pile up as you're working to get your title finished and shipped.

"It's going to take you fifty percent longer than a normal cycle," Kirk says. "If your game takes you ten months, it's going to take you fifteen months with a license."

Additionally, you'll need to stay flexible during the process. This is doubly true if you're working on a tie-in product for an unreleased film. Zen Studios has released *Pinball FX 2* tables based on recent Star Wars films *The Force Awakens* and *Rogue One*. In many cases, costuming and voice-over lines might require change late into development.

"Movies can change all the way up until just a couple weeks before release," Kirk explains. "The color of a belt, the storyline, a few lines, some voice-over. So we're at the mercy of, 'Hey guys, this character totally just changed. We gotta redo all the fabric and colors and all that.' And that applies now to however many platforms you're on, and to all of our marketing material. It can be a headache."



EFFECTIVELY MANAGING THE LICENSOR RELATIONSHIP

Every property holder is different, and even within a company, the producers involved in approvals each have their own personalities. While there is no “standard” way things work, there are things you can do to achieve high quality at an efficient pace while keeping the licensor happy.

“Some partners don’t want literal approval on everything. Others are going to make sure everything is on model,” says Copybara Games co-founder and president Nathan Vella. “Being proactive about that approval process is the only way to be. Everything needs to get seen and approved before you spend time and money making it. The worst case scenario is that you have to make a change after something has been in production. That costs you money and that’s just your profit going down the toilet, only because you didn’t ask. That part of it is a really, really big deal. Working on a license means that you will have a producer on that side. At least one producer, sometimes a bunch of producers on that side, and managing that producer is a substantial amount of work.”

Studios often have a point person to act as the liaison between the developer and the licensor. That person is responsible not only for making all asset submissions, but communicating feedback to the team.

That individual exists not only to facilitate the relationship, but also to ensure that everyone else can continue their work with minimal interruption. It’s that person’s job to filter the important details down to the creators without overwhelming them. The liaison must manage people on both sides so the project can keep moving forward.

“On the positive side, managing them involves keeping them in the loop, talking about their experiences with the game, their feedback, the work they’re doing on their side, marketing, and whatever,” Vella says. “On the worse side, some are overbearing, they want changes, and some are trying to be a designer when they’re not really a designer, so they need to be managed. Quite often, I equated my work with some producers to be what I call ‘s***-shielding,’ which essentially meant I was the umbrella between their butts and my team. The team needs to have milestones with good quality, and a lot of the crazy requests or ridiculous design changes that licensors want to try or questions of branding that don’t actually have any real impact, developers don’t actually need to know about. They shouldn’t know about that, not because they won’t be able

to take it, but because it'll detract from their focus."

Not every relationship requires the "s***-shielder" permutation of the in-studio liaison. Cappybara Games is currently working on the studio's first licensed project, *OK K.O.! Let's Be Heroes*, since it left work-for-hire behind. The rapport with the current licensor is far more congenial. "The project we're doing right now, our producer on the other side is like a sounding board and a teammate," Vella says.

A REMINDER: YOUR FAN GAME BASED ON SOMEONE ELSE'S LICENSE IS PROBABLY A BAD IDEA

In Chapter 8, we discussed the perils of infringing on someone else's intellectual property. Fan games using copyrighted and trademarked material owned by someone else are not fair use. They are not parody. They are the fast lane to a cease and desist letter or a lawsuit.

If you haven't yet read that section of Chapter 8 and are considering building your team and your game around characters and worlds you do not own: stop. Read that chapter now.



IN THIS CHAPTER WE LEARNED

- 1 How minimum guarantees work.
- 2 Why you should budget for additional time when working with licensed properties.
- 3 How to structure the licensor relationship, so your team can keep working at maximum efficiency.



IN THIS CHAPTER

- 1 What to consider when hiring a PR professional.
- 2 How to reach a wide audience, follow up appropriately, and conduct effective interviews with the media.
- 3 What to do when you gaffe.

CHAPTER 12

PUBLIC RELATIONS

IT'S NOT MAGIC (DESPITE WHAT YOU MAY HAVE HEARD)

“Why didn’t you cover my game?”

It’s one of the most frustrating questions reporters get asked almost every day. The answer is simple, even if a writer won’t tell you in hopes of sparing your feelings: you weren’t interesting enough. Your pitch didn’t inspire inquiry, it was the wrong fit for the outlet’s audience, or you simply focused on the wrong thing.

On any given day, reporters field hundreds of emails with screenshots, assets, release date announcements, and update notes. Covering them all isn’t simply impossible, it’s counterproductive. Even if resources allowed reporting on every single pitch, doing so wouldn’t serve the audience.

Reporters want to share the best stories that most closely align with their readership. They help create the signal above the noise. They don’t want to add to the noise (or, worse, be the noise).

Scroll through any major website that covers video games and you’ll see a mix of recognizable triple-A games and lesser known independent titles. Getting a reporter to “yes” isn’t an inscrutable process, but it does require effort on your part.

SHOULD YOU HIRE A PR PROFESSIONAL?

With the free tools available today, it's entirely possible to be your own PR team. Thanks to resources like Rami Ismail's *presskit()* (dopresskit.com), a free tool that easily lets studios create repositories for studio information, game details, and media assets, you can make life easier for press.

When it comes time to pass out review code to media, Ismail's *distribute()* tool (dodistribute.com) and Andreas Zecher's *Promoter* (promoterapp.com) make it easier to get your game into the right hands. With these and some concerted effort, you can run your press and public communications initiatives in-house for years.

However, those tasks take up time from your other responsibilities (especially if you don't have dedicated business staff). If these duties become too overwhelming, or you simply want some professional assistance, it might be time to consider outside help.

PR agencies come in all shapes and sizes. Smaller shops work on a project-by-project basis, rather than working on retainer. These relationships are also often more personal, as you're working directly with the PR company's owner or a trusted staff member.

As you grow, you might choose to go with a larger agency. Very few of these are expressly focused on video games. Some general PR firms have game-focused teams that only work on digital interactive entertainment, while others have account managers that work in video games along with serving clients in other fields.

The most important part of the relationship is knowing what you want from your PR company. Stephanie Tinsley Fitzwilliam of Tinsley PR recalls learning a hard lesson about making sure to be in tune with what developers need.

"The first time I met Jonatan [Söderström] and Dennis [Wedin] (the duo that make up *Hotline Miami* studio Dennaton) was 2012 I think," Fitzwilliam recalls. "It was raining in San Francisco, so I was wearing a black overcoat, but I was also wearing a nice collared shirt with cuff links. I scared them, because I was like, 'Hey, guys. So nice to see you. Welcome to San Francisco. You ever been to the United States before? Oh, you haven't? Okay, cool. Well, we're going to go out for dinner tonight, but first, I want to introduce you to everyone that works at IGN.com.' I must have looked like the biggest jerk because I don't know, I

really just missed the mark. I think I was still working with a lot of super corporate people and I expected devs to come out and want someone professional. When really, they wanted a human being and I really messed that up.”

Dennaton is as interested in making music and going skateboarding as in its games, according to Fitzwilliam. That was an important part of getting to know them and helping to tell their story. And understanding the developers behind a game is as important for PR professionals as being versed in the latest game.

“Finding that good fit is part of that,” Fitzwilliam says. “If you’re a Dennaton and you get someone in a blazer and a button down, maybe that’s not the best cultural fit. Fortunately, I’m far more comfortable in jeans and a hoodie, so it worked out. Make sure you have someone that a) has a good reputation, but b) also is someone you would enjoy hanging out with, because you’re going to be hanging out with them a lot.”

Just as it’s important for PR professionals to get a sense for what their clients want in an agent, developers should spend time identifying what kind of representation they want. Ultimately, you want to be comfortable with the people helping to share your game with the press and public. And that means being happy with who they are as people *and* as professionals.

Carve out time to work with your PR representatives and make sure they get to know you as people. This can provide unexpected avenues for coverage, humanizing you and your game for an audience that is easily distracted with an ever-growing library of games hitting PC and consoles every week.

“The developer of *Downwell*, Ojiro Fumoto, had a really interesting history. He had only been developing games for seven months, prior to which he was an opera singer in Japan. We weren’t informed of that on the PR team leading up to launch,” Fitzwilliam recalls. “That would have helped us, especially because it was a smaller game, and it was his first real big commercial game. That would have helped us to tell his story, and help to tell the game’s story by talking about how it all came about. We never got that opportunity until well after launch thanks to the good reporting of some media outlet. Their reporter kind of pulled this story

out of him. Then other sites picked that up, and I was like, ‘How didn’t we know that?’ How did we mess that up? Because it was awesome, and I would have loved to tell that story, but we didn’t get the chance to do that. That kind of sucked.”

MASS EMAIL, PERSONAL FOLLOW-UP

Public relations is a balance between broad reach and personal attention. While it would be wonderful if every outlet and freelancer took an interest in your pitch, the reality is that only a fraction will pick up your wide “for immediate release” announcement for coverage.



There is no shame in sending to multiple writers at an outlet. Include every general “tips” address to which you have access. As long as you aren’t spamming, your biggest list can include even those who have moved onto other areas of the industry (they might decide to signal boost via social media).

Beyond the initial email blast, you're going to want a more refined list of press contacts for individual follow-up. Members of the media are unlikely to reply to a widely distributed release unless they have questions. However, those that miss your first communication or may have shuffled your news lower in the pile might respond well to individual follow-up.

These communications are often conducted via email and include brief personal notes that precede the full content of the original press release. This might be the moment you pitch unique content, like exclusive interviews, hands-on previews, and focused feature ideas that show an understanding of the outlet's readership.

Don't pitch a PC-focused publication on console-based innovations. Don't offer up a community manager, product manager, or brand manager interview to a mainstream outlet.

Do target your unique angles to writers on staff that have an affinity for the genre or series you're promoting. Reporters and critics specializing in RPGs are the best bet when working on something in that genre. Reaching out to the sports sim writer to ask for coverage on the latest turn-based fantasy game is going to be a dead end.

Involve writers in the pitching process. Game journalists talk to one another, and they'll find out quickly if you're circulating the same pitch to multiple outlets. Engage them with a few suggestions, so refining the angle is a collaborative process resulting in something unique rather than pre-packaged.

Understand that your pitch might fall through entirely. The narrative you want to tell might not align with the story the writer wants to investigate. You might not have the right team member available, your PR plan might not allow you to talk about that aspect of the project yet (be open about that), or there might simply not be enough information you're ready to share to make it worth an interviewer's time.

It's always better to part on friendly terms than make promises you can't fulfill. Journalists are extremely busy, and there are few things more frustrating to them than feeling like their time was wasted.

Email is typically the preferred form of contact for most journalists. If you have a personal relationship, many writers still use instant messaging programs like Google Hangouts for quick text-based

conversations. Twitter direct messaging and phone calls (especially leading up to a major industry event like PAX or E3) are frowned upon if you don't already have rapport.

Limit your follow-ups to two additional points of communication. Beyond that, your announcement is no longer “news,” and you run the risk of frustrating a writer (unless you have a strong relationship already). If you do want to see your game covered, shift the conversation to unique angles for features rather than the current news item.

Every journalist has different contact preferences, though. Taking the time to get to know key individuals at major outlets will give you the knowledge you need to make the most effective follow-up.

PLEASE NOTE THE EMBARGO

There is power in letting the media help make your announcements alongside your official release. The only way this is possible is by sharing your news under embargo.

Every individual with whom you share information prior to scheduled publication is a risk. It is unlikely a reporter will intentionally break your trust, but content management systems can be finicky. Time zone errors have led to countless accidental early publications, ruining surprises. And then there are the retailer early listings that can completely obliterate your carefully planned media blitz.

In addition to your master media list, you'll want to cultivate a much smaller roster of trusted media contacts. These are people who have established reputations and can be trusted to keep confidence.

Philosophies differ on how to deal with high-value embargoed news. Some PR professionals simply send email with full content and embargo timing to their list of trusted outlets and reporters. A majority of contacts begin with a preliminary email asking members of the press to confirm their interest in receiving the information and intent to honor the embargo.

A few more protective PR shops require a formal sign-off on an NDA before sharing embargoed material. This is uncommon and typically reflects the institutional practices of very few, extremely established corporations. It is not the norm, nor is it recommended.

Going through the extra step of confirming interest and embargo compliance via email before sending full content is good practice, however. It insures that your email is getting to the right person and gives you an extra opportunity to reiterate the embargo timing. This also gives you an idea of who might be writing up your news in time to publish alongside your official announcement.

Some PR professionals attempt to confirm publication timing and front page placement in advance. Any response you might receive is purely attitudinal and may not reflect an outlet's ability or interest to publish at your desired time. You can gauge potential interest in your news, but you should not consider these responses to be concrete guarantees.

In the event that an outlet publishes your news early or simply sends out a mis-timed tweet or Facebook post, you should reach out to your contact immediately. Do so politely, requesting that the social media post or article be removed until the embargo lifts.

Alternatively, you can choose to immediately lift the embargo, but that can get messy fast. It means not only reaching out to, but actually connecting with all of your embargoed contacts. Anyone who is asleep due to regional differences or otherwise occupied will be at a disadvantage.

While it won't unring the bell, having an early post removed and holding your embargo ensures that you can still make a concerted push at your



chosen time. Be prepared to field emails from a number of your other trusted media contacts. Respond to them as quickly as possible to let them know how you are handling the embargo break.

Occasionally, leaks will come from other sources. Many developers and publishers use announcement day pre-orders to convert enthusiasm and energy into sales. That means getting information to big retailers early. They are notorious for publishing information before you want them to, which will inevitably be noticed by the innumerable internet sleuths that populate message boards and social media.

As soon as someone catches wind of an unannounced product in a retailer's inventory system, the media will leap into action. You will receive requests for comment, even from those outlets that have been pre-briefed on your announcement (which may be only hours, possibly minutes, away).

If the press has time to write and publish a story about this, they will. The media does not serve developers or publishers. It serves the readership, and ignoring a piece of news like this reflects poorly on their relationship with the audience.

Provided the press does not divulge embargoed information early or independently confirm details of leaked retailer listings, the reporting is fair game. The best you can do is ride out the time remaining before your announcement goes live. In most cases, five minutes after the appointed moment, the leak will be all but forgotten and you can move on to celebrating your big news.

If there is a large window between the leak and your announcement (as tends to happen around major events like E3 and Gamescom), repeat the PR mantra: "We do not comment on rumors and speculation." When you do finally make your announcement, confirming the hours/days/weeks of speculation, have fun with it. If you acknowledge the leak with a bit of humor, the crowd will laugh with you.

You might be tempted to shoot down reports that are clearly false, but behaving differently when rumors are true and when they are false creates a pattern you want to avoid. Again, remember the mantra: "We do not comment on rumors and speculation." Then, prepare for your next scheduled announcement.

WHAT TO DO WHEN YOU GOOF UP PUBLICLY

In the age when social media reduces the time between private thought and public statement to seconds, it's easier than ever to say something really, really stupid. Making a gaffe isn't the end of the world, though. There is often a way back, but it might not be easy or fast.

Communication is a process. You form the message, it travels through the filters of the political and social environment, and then lands on the ears or eyes of thousands of recipients. That message is then rebroadcast, often with added context from dozens or hundreds of people and passed along.

Once the message has left your mouth or fingers, you can't control how it is received or perceived. Your intent is only one piece of the communication ecosystem.

If you start to see an outcry, the best thing to do is stop. Don't say anything else off the cuff. Don't try to smooth things over immediately. Read or listen to what your critics are saying. Understand why people are upset.

Talk to your peers. Even if you and they feel you have done nothing wrong, an apology is wise. You lose nothing and potentially gain goodwill. At the least, it's a step toward de-escalating emotions.

You'll have better results saying, "I'm sorry I upset you," than you will saying "I'm sorry you're upset." The difference between the two is about taking responsibility. Taking ownership of the message and recognizing that you have offended your audience is what makes a true apology.



If you unintentionally goofed up, a thoughtful apology might be enough. However, if you have a troubled history, or the offense is more severe, you may need to execute a crisis plan.

Your crisis plan should make it clear who on your team is allowed to communicate with the public. This should be restricted to a small number of people, and everyone else on staff should be made aware when the crisis plan is put into action and that they should not be commenting about the matter to press or via social media. Your crisis communications team might include external PR and your legal counsel, depending on the situation.

In most cases, you will want to put forward a single spokesperson with a prepared message. Prior to crafting that statement, be exceedingly careful about what you say to the public. There is as much (or greater) chance of making the problem worse if you move too quickly and without forethought or consensus.

If you need to acknowledge the concerns, but aren't prepared to make a full statement, a concise note will suffice. Make it clear you hear the community and that you will be sharing a remedy plan soon.

Apologizing can be a more extensive process than a single statement, though. If you have a pattern of bad behavior and need to change perception, you need to dedicate yourself to reforming your image.

"It's totally fixable. People like good guys," says Fitzwilliam. "People are so forgiving and it's so easy to say, 'You know what, I made a mistake. I'm sorry. I'm going to look at why I behaved that way and I'm really going to do something about it.' Depending on the severity maybe go to anger management class, or maybe volunteer somewhere, or maybe do some work for charities, give financially. The point of that from the PR end is that you do the good thing and then you tell people about it."

Don't expect skeptics to fall in line immediately, though. The public is wise to PR efforts, like donating money to charity. However, with sustained effort and honest dedication to improving your image, over time the public will be more likely to see you in a better light.

"If you keep doing it, it works," Fitzwilliam explains. "People have really short memories and eventually, that perception can evolve into something else but you have to mean it. Because when you mean it, it means you are going to dedicate time and resources and money or whatever it is you have and whatever it is you're trying to do."

Decide who you want to be, write the script, and stick to it. You have the power to shape how you are perceived, but building that identity requires commitment to your goals. And if that means apologizing for a gaffe, do it. Learn from the experience and do better next time.

“What you do depends on the things that you care about and your ultimate objectives for your position and career in the video games industry,” says Fitzwilliam.

PR CAN'T CONTROL WHAT THE MEDIA REPORTS

Most of the time, press and PR work together well. Developers have a story to tell, whether it's about the game itself or the creation process. The media wants to share new and interesting things with their readership.

It's easy to forget that PR and press are on different roads. At times they run parallel, and at others they cross.

The media does not exist to parrot your talking points to readers. Journalists and critics will try to get your spokespeople to go off-script. Their job is to get unique and interesting content, which means digging deeper and possibly taking you away from your prepared notes.

Don't expect that every media appointment is going to be the same. Some members of the press will let you go through your script with little diversion. Others (especially those who become enamored with your game) will ask you unexpected questions.

If you aren't prepared to talk about something, either let the reporter know that you aren't revealing that information yet or that you'll get back them. This is a valid and acceptable thing to do. Don't allow yourself to be pushed into making a statement that you'll either need to walk back or be forced to honor later.

It also must be said that some journalists are going to try their hardest to get you to misstep. Sometimes you will get “gotcha”



questions. You might also find yourself up against a blatant misinterpretation of your quote in their quest for clicks.

Too often, we've seen developers make exaggerated promises about their games only to have those expectations collapse upon launch. If you aren't sure if your game will include something at release, don't hint about it. Don't promise it. Don't even mention it. It's better to surprise people later with an unexpected touch than face bitter disappointment over something you errantly alluded to, mused about, or outright confirmed.

No matter how you frame those statements, fans will interpret them as promises. This is worth repeating: fans will interpret statements as promises. Be conservative with your words and don't allow yourself to be dragged into waters you aren't ready to navigate publicly.

Also recognize that the time you spend with members of the press at a show like E3, Gamescom, or PAX is one appointment of many. Depending on that individual's schedule and the speed at which they write, previews and interviews (especially those with transcription) will take time to produce.

Sadly, some of your appointments with the media won't generate coverage at all. This is one of the biggest mistakes developers make while at a trade show.

"I think that there's a misconception that every time you have a press person play your game, that it's going to result in an article. That's not true," Fitzwilliam says. "Ideally, yes, but possibly not if they've already written about it and done big features or big video pieces. There is a misconception among developers that it's just easy and just happens, which is just not the case. I can't just get someone to write about my game just because they came to the booth to say hi."

This is a good opportunity to follow up with press, though. You can politely ask for honesty and feedback about why your game wasn't covered. It might be hard to hear the response, but truthful feedback from the media can be useful in refining your presentation or addressing potential problems with your game.

PITCHING TIPS FROM A PRO

Journalists are inundated daily with hundreds of emails from developers big and small hoping for coverage. Getting attention is more challenging

than ever, but there are things you can do to help make connections with journalists and get your game in the spotlight.

It's important to remember that working with journalists can—and should—be more than a transactional relationship. Building rapport over time means that when you do request coverage that it isn't a cold ask. That relationship needs to start somewhere, though.

"I think that there needs to be an element of personalization," says *Polygon* managing editor Chelsea Stark. "Get to know our outlet; what kind of games work for us; what kind of things don't work for us and that you never see us cover. Tell us why your pitch fits in with that."

Taking the time to understand who you're pitching can make all the difference between "Why are they pitching us with this?" and "This is a great fit for our audience."

Part of finding that fit is understanding what about your project makes it special. That very well might go beyond the game itself.

"What needs to be in the pitch is that authenticity of who you are. Tell me about the game. Tell me something unique about the formation of it. It's thinking about what sets you apart. That can be an angle about the development. 'We made our game in a tree house. We did something totally unique.' People are always interested in reading about people. Human elements are very captivating. That's a great way for developers to forge connections with their community."

Sometimes finding that unique element can be challenging. If you're making a sandbox building game, a multiplayer online battle arena (MOBA), a battle royale game, an arena shooter, or something in whatever the next emerging subgenre is, you're entering a crowded market. There's still opportunity to differentiate yourself.

"If there are 15 battle royale games, but none of them solved this problem, that's a great way to come at it," Stark says. "'Hey, I saw you write about this a lot. And I think you play a lot. So you probably understand this one issue with battle royale games. And that's something I'm trying to fix with this game.' That's a great pitch."

Part of that great pitch is making sure you're giving writers enough time to tell the story.

“The better the story, the longer lead you want to give someone,” Stark advises. “Keep in mind that there are so many factors between the writer of your choice and their ability to write the story. One is the chaos of their inbox. Beyond that, if you want something of really good quality, and if you want someone to spend the time writing something nice, give them a month heads up. Give them a couple weeks heads up. Give them the maximum amount of heads up you possibly can, while still having something to show them.”

Giving yourself that much time to make contact with a journalist also gives you opportunity to space out your follow-up. There are no firm rules for exactly when you should reach out again if you don’t hear back the first time, but there are definitely things you should avoid.

“I’d say that three days to a week is a perfect—it depends on the urgency for sure—but a three day follow-up is something where I feel guilty about not responding to that email before,” Stark says. “I’d say within 24 hours is kind of pushy. Think about how you would like to be treated in these situations, and think about how you would treat that person.”

Stark also strongly cautions against using social media to prod members of the press. “If you creep on my Twitter mentions, and say, ‘Hey, you haven’t responded to my email yet, but I see you acting on Twitter,’ that turns my, ‘I would like to respond to this nice, normal person’ reaction to, ‘No, this person is out of line,’” she says.

She also recommends devs avoid using social media direct messaging to deliver unwieldy and overlong content. “Just send me the highlights,” Stark urges. “Like, ‘Hey, I have this thing. Here’s why I think you’ll be interested in it. You’ve written about this thing. You tweet about this stuff. Here’s why I think it would be good for you. Can I get your email address so I can talk further?’ That is the perfect pitch.”

Whatever you do, do not make a journalist feel unsafe. Your excitement can easily be misinterpreted as aggression.

“The worst pitch I ever got was when someone tried to chase me down a subway platform,” Stark recalls. “After an event in Brooklyn, I was standing on the G train platform, and I had not been doing this for that long, at that point. This guy is like, ‘Chelsea!’ and comes running at me. I was immediately uncomfortable. He said, ‘I’ve got this app I wanted

to show you!’ He was out of breath, and I don’t even know if this is the train that he should’ve been taking.”

In the same light, be mindful of personal space. Don’t presume your relationship has evolved further than it actually has.

“If you’re talking to someone at a convention don’t touch people, don’t assume familiarity,” Stark cautions. “If they seem like they’re not interested, take those social cues and understand them. It’s almost like dating. Pitching is a lot like dating in some ways. If you’re getting vibes that person is busy or uninterested or doing something else, then you need to adjust your attitude accordingly.”

Paying attention to reactions during an interview or demo can also help you redirect and find something that clicks with a journalist. Rather than rigidly following your script, you might want to deviate just a bit to find something that is more aligned with the writer’s interests.

“Know what your talking points are, but know when it’s OK to break out of them,” Stark suggests. “Show your humanity. Show that you have a passion about something. Show what you find interesting about your game and what a journalist might find interesting. Play off the responses. And if someone’s not asking questions or seems to be disengaged, try to form a little bit more of a human interaction. I guarantee you the story will be better.”

WHAT NOT TO DO BEFORE AND AFTER AN INTERVIEW

Interviews with the press are your greatest opportunity to get your message out to the public, but they carry enormous risk. It is entirely possible that if you are not prepared for an interview, it could go very wrong. You may say the wrong thing, get key details wrong, or simply phrase something so inelegantly that the resulting headline could haunt you for years.

Even if an interview does go right, you can’t control how the press will contextualize what you said. You can only hope that professionalism and courtesy will win out.

Because of the risk, you might be tempted to stack the deck in your favor by making requests of the media. Some of these are fair game—like letting press know you will only be taking questions about specific topics—but others could color the entire encounter and create an

adversarial situation in which you will likely not come out ahead. One of the biggest mistakes that neophytes make is asking for a list of questions in advance. This is frowned upon, and no self-respecting journalist will comply.

The best you can hope for is to request general topics for discussion for interviews that are not directly associated with a specific game. Even then, you might get the vaguest of responses in reply.

If you have any particular guidelines about the discussion, be sure to lay them out well in advance of your interview. The press is used to being told to stay within specific limits during junkets, but you should expect that media will push the boundaries of those strictures. Don't ignore preparation just because you've set guidelines.

Once the interview is over, do not ask to see copy pre-publication. It's unreasonable to ask and unprofessional for journalists to share content. It only invites critique and revision. Do not attempt to insert yourself into the editorial process.

However, if there are details wrong in the final publication, it is fair to reach out and ask for clarification or correction. Professionals want to get the story right, and if that means requesting an update or correction because of confusion during the interview, that's fair. However, if your spokesperson misstated facts during the interview, expect that to be reflected in an update.

It's frustrating to see something inaccurate in print, but the journalist hasn't done anything wrong by reporting something you actually said, even if what you said was a mistake. The most you can do is correct the record. You've likely seen devs laying into reporters and outlets on social media over one article or another, but consider the long-term consequences. Getting followers and forums to attack may prevent future coverage from not only that outlet, but any other outlets or media personalities who know that's something you'll deploy.

Likewise, if you spoke on the record and said something you regret, do not expect a reporter to agree to remove the offending bits. Journalists are under no obligation to retract statements made on the record, and once the story is published, don't ask a writer to help you unring the bell. Removing bits of a story after it's available publicly is unlikely to happen (and more than likely to sour your relationship with the reporter).

There is no harm in asking, but tread carefully, make clear that you recognize you are requesting a favor, and (if possible) offer up an exclusive as an exchange. Your results will depend on the significance of the statement you wish to have left out of the story and the reporter's disposition. Remember: the press does not work for you.

You have a right to expect fair and accurate reporting. You are not entitled to change a writer's opinion, influence the editorial process, or otherwise redact statements you made while on the record.

Before complaining about coverage, consider the relationship and your reputation, and weigh if this is really the hill to die on. Evaluate how important the change is to your big picture messaging. Approach the writer privately, and be extremely cautious about making a dispute public. You'll only draw attention to the material you want to bury. Clarify and correct if needed, but don't be a jerk about it.

Remember, this isn't about whether you or the journalist is "right," it's about having the correct information available to fans and ensuring that any discrepancies (especially those that set unreasonable expectations) are dealt with quickly and cleanly.



IN THIS CHAPTER WE LEARNED

- 1 How to choose a PR professional that is right for your studio.
- 2 How to be smarter about pitching.
- 3 How to handle embargoes and survive them being broken.
- 4 What to do when you infuriate your fans (and everyone else).
- 5 The biggest mistakes you can make before and after an interview.



IN THIS CHAPTER

- 1 What “crunch” is and how it damages studios.
- 2 The divisive perspectives on intensified work schedules.
- 3 The physical and mental impacts of extended periods of intense work.

CHAPTER 13

CRUNCH ISN'T ROMANTIC

(BUT LET'S TALK ABOUT IT)

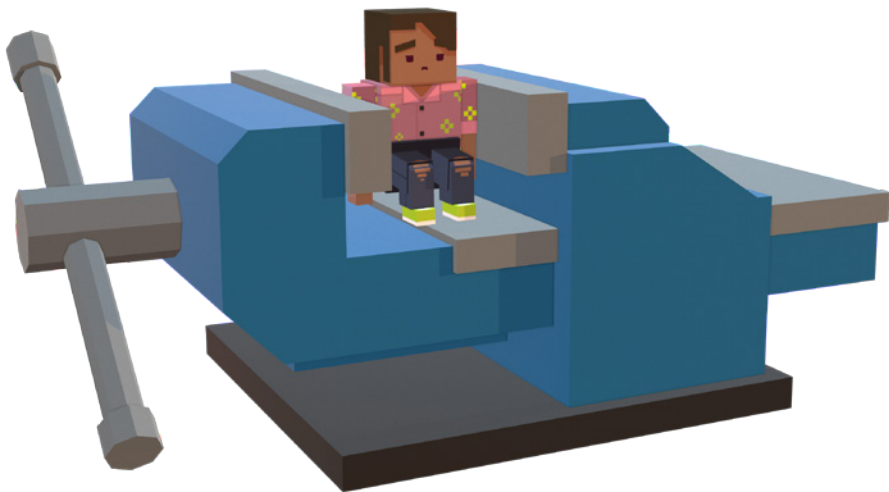
The idea of pulling all-nighters in college, ordering crummy chain-restaurant pizza, and powering through a project to make the due date always sounds sexier than it really is. The conversation is almost always about the machismo of toughing out a full night of work, but no one ever talks about the exhaustion that follows for days. You'll pay for that all-nighter by doing poorly in your other classes afterwards, but that gets swept under the dorm room rug.

Still, despite the negative impact on health, performance, and social life, the all-nighter is glamorized. It's a coming of age trial. Everyone does it eventually, so we wear the badge with pride.

Now, imagine doing that for weeks on end. Consider what that looks like when you have a spouse, children, and pets that would love to see you at home every so often.

Instead, you'll be in the office for most of every day, including weekends. Your meals will be provided, but that's so you don't have to leave your desk for very long. Your loved ones will stop in to see you, as if you were imprisoned with limited visitation hours.

It's easy to put a bright, colorful spin on this. Proponents of this approach believe the phenomenon, called "crunch," is a group of people cheerfully working non-stop toward a common goal, celebrating with a huge party once they cross the finish line. It's been labeled as a necessary evil of an otherwise fascinating, creative, and inspiring career path.



Beneath that glossy veneer is a rotten truth. Crunch is stressful. Crunch hurts developers and their families. Crunch is not romantic.

The concept has been part of the game industry for decades, and has been so institutionalized as to be a routine part of the budgeting process. In November 2004, crunch became an issue discussed outside of studios and in full view of the public thanks to what became known as the “EA Spouse letter.”

Written anonymously (though later revealed to be penned by developer Erin Hoffman), **the blog post**¹ revealed the conditions under which Hoffman’s husband and other EA-employed developers were working. The letter alleged seven-day work weeks requiring employees to be in the office from 9 am until 10 pm.

Within weeks production had accelerated into a ‘mild’ crunch: eight hours six days a week. Not bad. Months remained until any real crunch would start, and the team was told that this “pre-crunch” was to prevent a big crunch toward the end; at this point any other need for a crunch seemed unlikely, as the project was dead on schedule. I don’t know how many of the developers bought EA’s explanation for the extended hours; we were new and naive so we did. The

¹Erin Hoffman (as “ea_spouse”). “EA: The Human Story.” November 10, 2004. <http://ea-spouse.livejournal.com/274.html>. (accessed June 5, 2017). Used with permission.

producers even set a deadline; they gave a specific date for the end of the crunch, which was still months away from the title's shipping date, so it seemed safe. That date came and went. And went, and went. When the next news came it was not about a reprieve; it was another acceleration: twelve hours six days a week, 9am to 10pm.

Weeks passed. Again the producers had given a termination date on this crunch that again they failed. Throughout this period the project remained on schedule. The long hours started to take its toll on the team; people grew irritable and some started to get ill. People dropped out in droves for a couple of days at a time, but then the team seemed to reach equilibrium again and they plowed ahead. The managers stopped even talking about a day when the hours would go back to normal.

Now, it seems, is the "real" crunch, the one that the producers of this title so wisely prepared their team for by running them into the ground ahead of time. The current mandatory hours are 9am to 10pm -- seven days a week -- with the occasional Saturday evening off for good behavior (at 6:30pm). This averages out to an eighty-five hour work week. Complaints that these once more extended hours combined with the team's existing fatigue would result in a greater number of mistakes made and an even greater amount of wasted energy were ignored.

The stress is taking its toll. After a certain number of hours spent working the eyes start to lose focus; after a certain number of weeks with only one day off fatigue starts to accrue and accumulate exponentially. There is a reason why there are two days in a weekend -- bad things happen to one's physical, emotional, and mental health if these days are cut short. The team is rapidly beginning to introduce as many flaws as they are removing.

According to Hoffman, **EA has since improved its practices²**, and her enlightening post has brought the discussion of developer work conditions to the forefront. The issues she identified line up with the

²Brendan Sinclair. "EA Spouse says EA doesn't get enough credit," *GamesIndustry.biz*. March 28, 2013. <http://www.gamesindustry.biz/articles/2013-03-28-ea-doesnt-get-enough-credit-says-ea-spouse>. (accessed June 5, 2017).

findings in a **2016 white paper on the mental health effects**³ of crunch commissioned by mental health advocacy organization Take This.

The document, which compiles research from a variety of credible sources, suggests a range of impacts on developers that directly affect performance and product quality. This covers a variety of topics, citing evidence of decreased productivity, financial losses due to fatigue and fatigue-related health issues, the negative effects of ill employees feeling compelled to show up, and the very real destruction of interpersonal relationships due to emotional absenteeism.

So, with more than a decade since the earth-shaking EA Spouse letter, why does crunch still happen? We know it's bad for employees and the games on which they are working. The evidence speaks for itself, but it keeps happening.

CRUNCH IS STILL A DIVISIVE TOPIC

In the fall of 2013, as Crytek was preparing to ship Xbox One launch title *Ryse: Son of Rome*, the publisher drew negative attention for its glorification of crunch culture. The studio proudly boasted that by the time the game shipped, the publisher would have served **more than 11,500 crunch dinners**⁴. Each one of those dinners represented a developer who didn't make it home to their family, pets, or their own bed at a reasonable hour.

In 2015, GamesIndustry.biz interviewed a number of industry veterans, all project leads or studio heads (rather than a mix that included rank-and-file developers),



³“Crunch Hurts,” *TakeThis.org*. August, 2016. <http://www.takethis.org/wp-content/uploads/2016/08/CrunchHurts-TakeThis.pdf>. (accessed June 5, 2017).

⁴Patricia Hernandez. “Crytek Dev Calls Dinner Tweet ‘Boneheaded,’ Praises Work Conditions,” *Kotaku*. November 6, 2013. <http://kotaku.com/crytek-dev-calls-dinner-tweet-boneheaded-praises-wor-1459571080>. (accessed June 5, 2017).

about **crunch**⁵. The responses all endorsed the practice, though varied in enthusiasm. Some reflected reluctant acceptance due to the unknowns of working in a creative field. Others suggested that it is a “fair cost of participating in an otherwise fantastic employment experience.” Still others suggested that crunch is about turning a team into a family and building pride and ownership in the project.

Each of the interviewees, including Oculus head of studios Jason Rubin, *Deus Ex* creator Warren Spector, and Obsidian CEO Feargus Urquhart, cautioned that there is nuance in the use of crunch. Ron Gilbert, creator of *Monkey Island* and co-creator of *Thimbleweed Park*, echoes those sentiments.

“I think crunch is generally not a good thing for people, but I do think that it is one of those things that’s almost a necessity,” he explains. “I think it needs to be kept short. Crunching, to me, is a sprint for the finish line. It’s like, ‘We’re gonna ship this game in a month and these are the things we need to do. We’re just gonna crunch and we’re gonna get them done to make that deadline.’”

Once developers reach the last two or three months of the project, options for finishing the game by the deadline become scarce. Crunch becomes seductive when the other choices are also unappealing to varying degrees.

“When you’re looking at the last two or three months of a project, you can’t really bring on more resources, because there’s just a training issue,” Gilbert explains. “There’s just people getting up to speed on something. You’re close enough to the deadline that you probably have this entire marketing machine that’s now been engaged. This whole marketing PR machine that is driving towards that date. So you can’t really go, ‘Oh, we’re gonna slip it three weeks,’ because now all your PR is screwed up and all your marketing plans are screwed up. It’s this weird little danger window when crunching is about all you can do.”

⁵Mike Williams. “Game Devs: When Does Crunch Cross The Line?,” *GamesIndustry.biz*. October 23, 2013. <http://www.gamesindustry.biz/articles/2013-10-23-game-devs-when-does-crunch-cross-the-line>. (accessed July 1, 2017).

Cutting content at the eleventh hour won't work either. Everything you pull from the project now ripples out and impacts other pieces of the puzzle. None of the options are appealing, which is why so many studios opt to work their teams harder. However, as the "EA Spouse letter" exposed, crunch without a fixed endpoint over lengthy periods simply erodes teams and diminishes productivity and effectiveness.

Gilbert agrees that extended crunching is both problematic and a sign of poor management and budgeting. "When you're crunching people for a whole year, that shows that you have a fundamental problem in your budgeting and your scheduling," he says. "That's not a sprint for the finish line. It's not a, 'Let's pump some nitro into the engine and let's just bolt across that finish line.' I think that's kind of necessary, but I think this long term crunching shows that you screwed something else up."

One of the big mistakes studios make is budgeting for crunch. As mentioned in Chapter 2, one of the ways to leave yourself financial and time cushions is to proactively add a 20 percent buffer. This is a generous overage, assuming you've been conservative throughout your budgeting process.

Crunch should not be part of that process. You should not include windows of intensified work schedules in your planning. Gilbert says there is one thing that should never drive the decision to crunch.

"It shouldn't be about saving money," he says. "If a company is getting people to crunch because they're salaried employees, and they can just save money, that's really wrong. That is everything that is wrong with crunch. Crunch should be about sprinting to the finish line. We're trying to make the best game, but it should never be about saving money. Then you're coming about the crunch in completely the wrong way. There are valid reasons for crunch. Saving money should never be one of them."

According to Romero Games co-founder Brenda Romero, there are different motivations and attitudes that help define what crunch is. "If we were to define crunch, crunch is a period of sustained activity, which is not self motivated, but mandated," she posits. "Crunch, I think, is when you're working ridiculously hard towards something that you might not even believe in, but it's mandated and you find yourself in a situation that you don't like. I'm willing to work ridiculously hard towards something I want and a goal that I believe in. Those hours may be the same."

Like Gilbert, Romero cautions against imposing excessive work hours inappropriately. Crunch for the sake of crunch can strain teams and demolish efficiency.

“I remember a CEO saying that we were going to do crunch for January and February and I didn’t know why because we weren’t behind on any milestones,” she recalls. “Everything was fine, but what he said was, ‘Because we did it last year and it worked really well,’ which is stupid, especially for coders. It’s just stupid. You just burn the coders out. Not saying I respect designers and artists less, but coding is like driving in a snowstorm and it’s just incredibly focused for long periods of time. You can’t do that for two months.”



CRUNCH IS A SYMPTOM OF BAD PLANNING

Put simply, crunch is avoidable, and there are multiple steps you can take to help avoid it. The biggest step you can take is not to budget for it.

You are going to have periods of increased intensity, but planning for longer hours means you aren’t planning for the true cost of your project. You are, instead, using the full-time employment status of many of your team members against them.

Full-time, salaried employees are not entitled to overtime. So squeezing more work into a shorter window appears to save you time, therefore making more of your monthly “burn” (total cost of running your studio).

But there are things you aren't seeing when you do this, as stated in the Take This white paper. Employees working enhanced hours suffer decreased cognition, below what would be experienced during a normal 35 to 40 hour work week. In video games, this directly translates into more bugs, wasted work, and poorer quality.

According to a survey conducted by The Game Outcomes Project (and reported on **Gamasutra**⁶ by developer Paul Tozour in 2015), there is a significant correlation between crunch and “outcome” (as defined by four factors: return on investment, critical response, delays or cancellations, and internal happiness with the game at its conclusion). Tozour asked people to respond to the following statements, embedded at various points in a more comprehensive survey:

- “I worked a lot of overtime or ‘crunched’ on this project.”
- “I often worked overtime because I was required or felt pressured to.”
- “Our team sometimes seemed to be stuck in a cycle of never-ending crunch / overtime work.”
- “If we worked overtime, I believe it was because studio leaders or producers failed to scope the project properly (e.g. insufficient manpower, deadlines that were too tight, over-promised features).”
- “If I worked overtime, it was only when I volunteered to do so.”

In the first four cases, aggregated responses were negatively correlated to the outcome factors. That is to say, the more people felt they were pushed to work more hours, the lower the product return on investment, critical response, and internal happiness. Delays or cancellations were more likely to be present in those situations.

Voluntary crunch fares better, but the core principles remain the same. Cognition still decreases as developers put in extensive hours. This leads to technical flaws and wasted work. However, because the extra work isn't mandated, the emotional impact is less severe. The net result is that voluntary crunch still hurts, but to a lesser degree than mandated work extensions.

⁶Paul Tozour. “The Game Outcomes Project, Part 4: Crunch Makes Games Worse,” *Gamasutra*. January 20, 2015. http://www.gamasutra.com/blogs/PaulTozour/20150120/234443/The_Game_Outcomes_Project_Part_4_Crunch_Makes_Games_Worse.php. (accessed June 5, 2017).

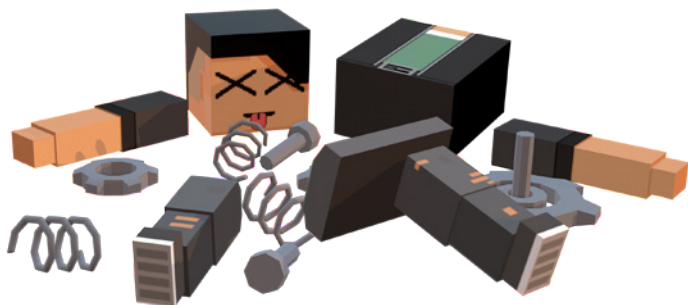
Tozour and team anticipated critics rebutting, suggesting that only troubled games need crunch in the first place. However, the “crunch salvage hypothesis” (the idea that crunch can save a game that’s otherwise doomed) was investigated and dismissed, as games performed worse than anticipated as demands on developers increased.

The takeaways from The Game Outcomes Project survey, taking into account lower-echelon developer perspectives and not just project leads and studio heads giving quotes for a high-profile interview, are clear. Teams with well-communicated plans from managers end up crunching less. Those that suffer from a lack of timely feedback, a perception that management does not respect subordinates, and high turnover end up in more intense crunch situations.

The latter point has a direct financial implication. According to a 2012 **study by the Center for American Progress**⁷, the median cost of turnover in a position is approximately 21 percent of the annual salary (excepting executives and physicians).

This is a combination of direct costs (recruitment and equipment) as well as indirect costs (training and lost productivity while the new employee gets up to speed). As developers are subject to more intense crunch situations, the likelihood of burnout increases.

“[Crunch] works for about two weeks, and then, after that, you reduce your productivity, you reduce your financial benefit, and you burn out



⁷Heather Boushey and Sarah Jane Glynn. “There Are Significant Business Costs to Replacing Employees,” *Center for American Progress*. November 16, 2012. <https://www.americanprogress.org/wp-content/uploads/2012/11/CostofTurnover.pdf>. (accessed June 5, 2017).

your employees,” said Dr. Jennifer Hazel, founder of mental health organization Check Point, in a **2017 GDC talk**⁸. “Everyone knows that crunch is linked to burnout. That’s basic stuff.”

Hazel explains that burnout is a biological process. Those experiencing burnout to some degree suffer from decreased connectivity between the amygdala (responsible for instinct and feeling emotions) and the prefrontal cortex (responsible for personality and complex behaviors). The more burned out you are, the more poorly you react to emotional stressors.

This can present as either desensitization or uncontrolled emotional swings. Crunch causes perceptible physical and emotional exhaustion. As people burn out and become less productive, other members of the team have to pick up the slack. It’s a domino effect that leads to diminished efficiency and poorer quality work.

Eventually, developers will abandon the company and, possibly, the industry. When a developer leaves their position, they take with them all of the direct and indirect investment you’ve made in them. When they leave the industry, that individual’s expertise is lost entirely.

The individual impact of crunch intensity can be severe, also. Fatigue and stress often result in health concerns like heart disease, stroke, and depression.

Not only does this affect productivity, but it has a direct financial impact. In countries without nationalized healthcare, annual health premiums are based on utilization. If more employees are taking advantage of high-cost health care due to the impact of crunch, your company will see annual benefit costs rise.

“I think you eliminate the need for crunch by doing your budgeting and your scheduling correctly,” Gilbert says. “By going into that whole process with open eyes and asking yourself all the tough questions at the beginning, and eliminating wishful thinking in your budgeting and scheduling process.”

⁸Joshua Boggs and Dr. Jennifer Hazel. “Invent a Game, Reinvent Yourself,” GDCVault. March 2017. <http://www.gdcvault.com/play/1024160/Invent-a-Game-Reinvent>. (accessed June 5, 2017).

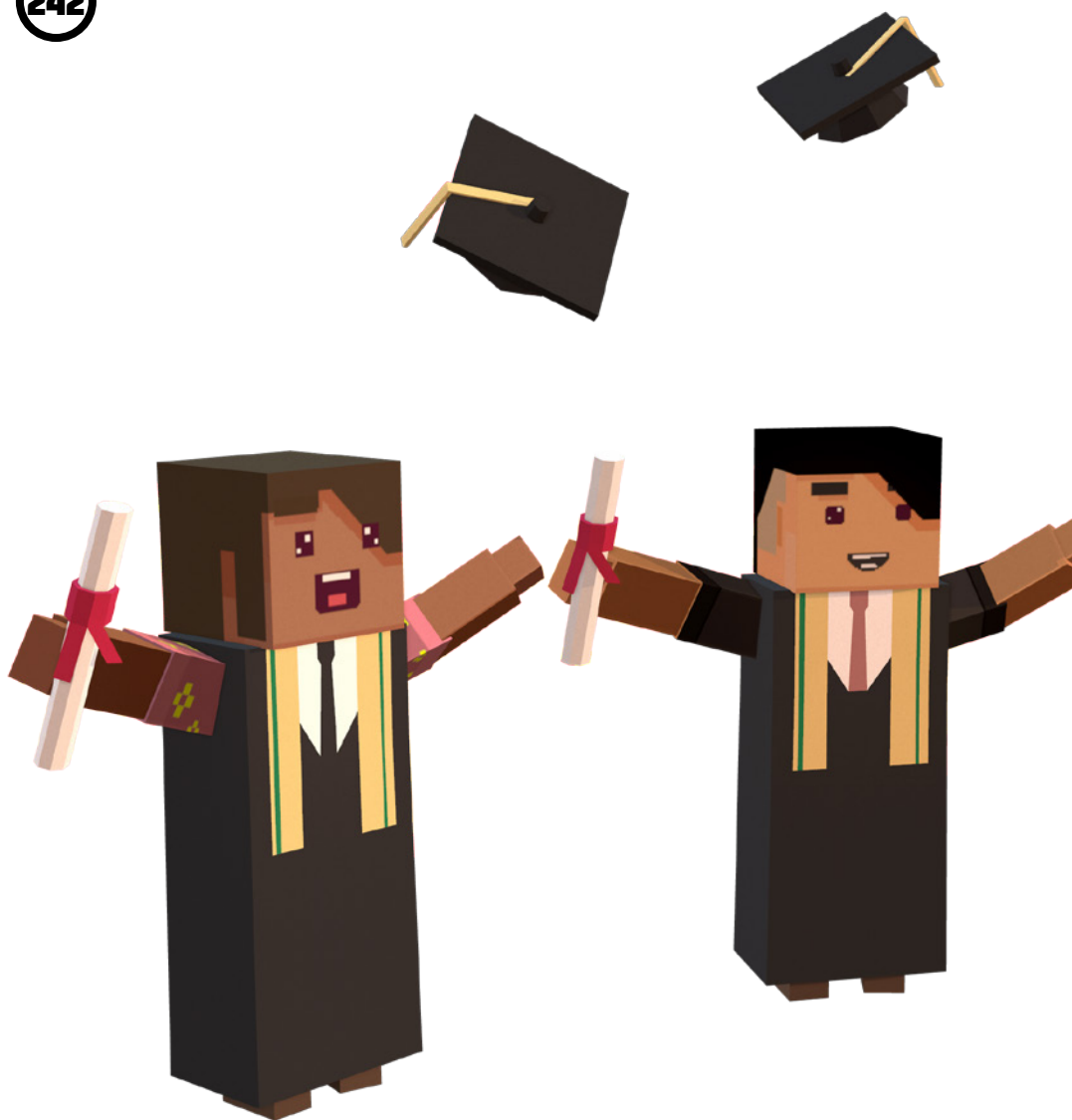
We've gotten smarter about the tools we use to make games. The industry has learned to value brands. Companies now place increased importance on their reputations.

It's time we start valuing employees the same way. Crunch is a remnant of a time when the gaming industry lived for short-term results. We should leave it in the past where it belongs.



IN THIS CHAPTER WE LEARNED

- 1 How crunch happens, and reasons management uses it.
- 2 Why some developers feel crunch can never be completely eliminated.
- 3 About research on the causes and effects of crunch on individuals.
- 4 How crunch impacts work efficiency and product quality.





EPILOGUE

ADVICE FROM THE INDUSTRY

THESE ARE THEIR STORIES...

In the course of writing *The GameDev Business Handbook*, we had the chance to enjoy interesting conversations with industry luminaries. At the conclusion of each interview, we asked them to share their most valuable advice for young developers.

Without restriction or guidance on topic, each interviewee offered insightful perspectives from years in the video game industry. The varied responses are presented here, as a final bit of advice before patting you on the back and sending you out into the world.

HONEST FEEDBACK CAN SAVE YOUR FINANCIAL FUTURE

Nigel Lowrie, co-founder, Devolver Digital

Get honest feedback from people. Search for honest feedback. There are a lot of people making games. I think everyone should make games if they want to make games. Games are like any art form. You should paint. You should make music. You should sculpt. You should sing. You should write. You should make games.

However, you have to be realistic about whether that means you can paint for a living, make music for a living, sculpt for a living, or make games for a living. I would never discourage anyone from making games. I hate to see people that have been working on a game for three years and put their life savings into it and then you see the game and realize at that point in their career, they're not going to make a living at it.

That's a hard thing to say to people. I know that I've talked to other developers that will tell someone they like their game, but be honest that it's not going to be commercially successful. I don't ever want to discourage someone from making games, but they need to understand that it's art. And not all art is going to be purchased. Not all art is something you can make a living off of. There are a lot of musicians that do it because they like to do it.

You have to find someone who is going to be honest with you, because most people will just tell you that what you're doing is great. It might be fun, and you might have a blast putting it together at your house. But if you put it on Steam and wonder why it sank and no one ever heard of it or cared about it in the press and no streamers played it, it's because it's not that interesting.

It's a hard thing to say to someone about any art they make. But people need to understand that. I hate to break the news that someone isn't likely going to make a living at this. I don't want people to get into a bad financial situation, but I also don't want them to stop making games. Like art, everyone should make it, but not everyone wants to buy it from you.

DON'T SKIMP ON LEGAL AND ACCOUNTING

Nathan Vella, co-founder and president, Capybara Games

Never cheap out on lawyers and accountants. We have personally, as a studio, almost been ruined by shitty lawyers. Great lawyers will never run that risk. Being able to sleep at night knowing the contract that you signed is good and you understand everything that you're getting into is the most invaluable thing. And that costs you a lot of money, and it's worth every fucking penny.

Same thing with accountants. Accountants are going to save you more money than you spend, and the amount that they save you, both in terms of your time and in terms of actual money, is commensurate with what their quality is, which means what you pay them. You don't need an expensive bookkeeper, but you need to do your taxes and do them well. You need to get your contracts read and you need to get them read well. So just don't cheap out, ever.

The worst moments in my entire career were knowing that bad contractual choices could hurt my company. And it was entirely because the original, cheap lawyer that we had just didn't know enough. That's a bad spot to be in.

COLLABORATE, DON'T COMPETE

Nina Kristensen, co-founder, Ninja Theory

For the most part, nobody's your competitor. They're actually probably mostly all your friends. By that I mean other developers, we very, very rarely are in direct competition. In fact, I don't think we've ever been in direct competition with another developer, because it's just not how the industry works. But many times in both directions, I've thrown work to other people and people have thrown leads to me.

It's not like we're all building widgets. We're not building the same thing. It's different stuff, so almost always everybody can be a supportive, helpful friend. Yeah, that's quite a biggie. Not everybody wants to steal your stuff and sharing information, sharing knowledge, it's very rare that that comes to bite you. Almost always something interesting gets shared back.

THERE ARE NO REWARDS WITHOUT RISK

David Martinez, chief amplification officer, Raw Fury Games

Independent development thrives on innovation, and you can't be afraid to take risks. Raw Fury started on a risk. Jonas [Antonsson] and Gordon [Van Dyke] and myself, we were the only three around before *Kingdom* launched. None of us took a check until after *Kingdom* launched.

So you have to put a little bit in, but the rewards could be great. And maybe they won't be. So don't risk so much that you're gonna go into bankruptcy, but don't be afraid to take a risk. There's no reward without risk. And it's okay. No matter what, you're gonna learn something at the very least, and at the most, maybe you're gonna just get to keep making video games. And if that's what you want to do, that's amazing.



LEAN ON YOUR PEERS. GIVE BACK WHEN YOU CAN.

Rami Ismail, founder, developer, and strategic director, Vlambeer

If you want to be part of the industry, you've got to take the industry seriously. That means doing all the things that aren't fun and aren't interesting, or getting somebody to do those.

On the flip side, I want to emphasize that this is the games industry, and even though it's important to take things seriously, it's also important to not take things too seriously all the time. Find the joy in the little things. Find the joy in a single tweet that somebody sends to you. Find the joy in helping others, even if there's no business reason to do that.

It makes sure that you give and take, and that when you're starting out, you can take as much as you want, and nobody's going to hold that against you. You don't have to be worried about reaching out to people and asking questions.

You don't have to be shy about telling people that you appreciate their work, because everybody in the industry that is anywhere started by taking until they were at a point where they could start giving. And at that point, they try to give more than they take, and I think that if everybody in this industry does that, we'll be in a good spot.

KNOW YOUR ROLE

Stephanie Tinsley Fitzwilliam, PR mercenary, Tinsley PR

Don't be "kinda." Don't say, "My game's 'kinda' like this, but also 'kinda' like this." Or, "I'm 'kinda' a developer. I 'kinda' wanted to be in this industry for a long time, you know, this is 'kinda' cool." Don't be "kinda." Have a vision. Think long term. Know what you're going to do. Be precise. Know how to pitch your game. Don't "kinda" anything. You have to go all in, don't be "kinda."

KNOW WHAT YOU DON'T KNOW (AND HOW MUCH LEARNING WILL COST YOU)

Brandon Huffman, managing partner, Odin Law and Media

If you're a great programmer you can make a great video game. You're going to have to do a lot of research into how to make art, and you're going to have to try harder to make art than an artist would. If you're a great artist, the opposite is true.

If you're either of those, you can probably do all of the legal stuff, with the exception of going to court. In a lot of places you can't do that yourself without an attorney. You have to know your limits, and you have to know that it's going to take you a lot longer than it would somebody who already does that stuff.

The same goes with accounting, or marketing, or anything else. It's all learnable. The only difference between me and your average game developer is a few years of law school and some years of experience after that, but you can learn all of it. It just takes time away from doing all the cool stuff you want to do.

So I would say know what you don't know, and along those lines is being able to evaluate that risk. Not everything rises to the level of having to pay someone else to do it, but having a good idea of when it does is a skill.

SUPPORT AT HOME MATTERS

Brenda Romero, co-founder, Romero Games

I can be everything that I am because I'm 100 percent supported by my spouse in being that person. When I have success he's my number one cheering squad. When I need to work more on something he totally gets it. [Your partner doesn't] have to be in the game industry, but if this is something that for you genuinely feels like a calling, not just a job, but a calling, then you better find somebody who believes in that dream. I just think that's the difference between greatness and happiness and mediocrity.



YES, YOU CAN AFFORD A BUSINESS MANAGER

Shams Jorjani, vice president of business development, Paradox

You're hiring experts in every field, also hire one expert in the field of business. Ask yourself if you want to run a business, or if you want to make games. Act accordingly.

Empower yourself to do whatever you want to do, rather than what you have to do. I've tweeted about this, and the most common feedback I get is, "Not everyone can afford to hire a CEO." But somehow people come into this thinking the only way to do this is to hire a CEO with a huge salary.

You're hiring a bunch of other people, and you're paying them with hopes, dreams, and the semi-loose promise that one day you guys will be a very successful studio. Especially on the business side, they understand what the benefits are of coming in with equity or ownership.

It's easier to find that CEO that will work for zero than finding a programmer that will work for zero. This is a huge misconception. Whenever I tweet about this people say, "It's very hard to afford those kinds of salaries."

It's very telling of the complete underestimation of the importance of business in our industry. I work on the business side, but I don't have a business background. I have an engineering background, and a design background, and English and film. You don't need an MBA. It helps, but it's not a requirement. When you're starting out, look for someone that can help manage some aspects of the business. Those people are out there and ready to learn and grow with your studio. I came into the industry and what I realized very quickly is money is everything. Unless you can get the business to go round, there's no point in doing this.

You've got to set yourself up to be able to work long term. Nobody is planning on making one game and then retire. It's a marathon. It's not a sprint. So, how do you enable yourself to be able to make a tenth game, not the first game? I think that having somebody coming in, handling the finances, and being a business person, so you can do what you are good at is the most important thing.



HOPE FOR THE BEST, BUT MAKE PREPARATIONS FOR THE WORST

Josh Fairhurst, co-founder, Limited Run Games and Mighty Rabbit Studios

More often than not, your first game is going to be a failure. You need to be prepared for that. Too many people look at successes like *Undertale* and *Stardew Valley* and think that because those games were massively successful, their game will be, too. Those were the exceptions, the one out of a thousand that broke through to be a massive hit.

What about those other 999 games? Did those developers survive? Most of them didn't, because they didn't prepare to fail. They prepared to be one of those successes. Be cautiously optimistic. Think that you'll succeed. But if you prepare for failure, you'll be able to survive if your game does fail.

REMEMBER THE GOLDEN RULE

Chelsea Stark, managing editor, Polygon

The games industry is small, and you should be nice to everyone you meet. Everyone. You should never dismiss anyone based on any preconceived notions you have about their skills in playing video games and their interest level in playing video games the first time you meet them.

You never know where someone's going to be in two years, five years. The most important thing you can do is make a good first impression. Have good follow-up impressions. Continue to build relationships, because these people will care about you if you put in the effort to care about them. That's one of the most important things about the game industry. Form relationships because it'll make you a better person. And never be an asshole.

TO THINE OWN SELF BE TRUE

Tom Eastman, co-founder, Trinket Studios

Make something that has a hook. Every one of your games has to have a succinct, beautiful one liner that gets people interested. Don't clone other games. It's about making something unique and not a half-baked version of a best-seller.

It's not worth your time and it's certainly not going to pay off to make something that's standard or expected and it's so scary at PAX to see a lot of those games. There are clear periods when standing out in a genre is nearly impossible. Pixel art indie platformers, for instance, are easy to make but unlikely to garner a second glance. .

I think it's been really interesting with *Battle Chef Brigade*, where it's this genre-bender but we don't have to describe it as (and it's really not like) some other game. We don't say, "Oh, it's like this but with this."

It took us a really long time as well to brainstorm an idea for *Battle Chef Brigade*, and same with our mobile games, because we felt like we needed them to be special. It needs to be worth throwing away a good career for, and making no money for many years.

I think the reason we were able to see having a hook to the game as an important issue, was that we'd been making games for years—both during school and at Wideload. We'd gone through the "I made a thing that's passable" phase, which a lot of indie developers start off on. They're working on something without any polish, but struggle to recognize that. They see creation as the hurdle and not "I need to be able to market this." And if you're not thinking about marketing from the beginning, it's rather difficult to tack it on at the end.

CHANGE ISN'T COMFORTABLE, BUT IT'S NECESSARY

Mel Kirk, vice president of publishing, Zen Studios

Change can be uncomfortable and this industry is always changing. You are always gonna be uncomfortable. If you're gonna be successful, you better get used to feeling uncomfortable.



REMEMBER THE AUDIENCE

Steve Gee, business development, Adult Swim

Put yourself in the place of the average gamer out there. Because we all are. If you're making games, you obviously love them, I would hope. If not I don't know why you're doing this. I tell people don't look at me as a publisher look at me as your average gamer, working adult, busy guy, new dad.

I have an average of one or two hours of free time per week. And when you're pitching a game, or you're creating a game, or your conceptualizing a game, you're not just competing with other games in that genre. You're not even competing with other games.

You're competing with the average gamer's free time. So, what do I do with the extra two hours a week? Do I catch up on *Game of Thrones*? Or do I go on the Steam store, scroll through all those games that come out every week, find your game, and if I happen to land on your game page, can you make a compelling case for me to drop money for your game?

Through your marketing assets, your screenshots, your trailers, are you concise enough with your messaging through your marketing? Why is your game unique and worth my time and money? If not, go back and rethink what you're making and why you're making it.

DON'T DISCOUNT LUCK

Ron Gilbert, creator of Monkey Island and co-creator of Thimbleweed Park

I think that there is a huge amount of what you do that is purely luck. You look at indies that have super successful projects, right? You look at *Stardew Valley* or any of these things that have sold millions of copies. That is luck. It's all it really is. It's just being at the right place at the right time.

You also have to be good. It's not to say that skill and talent and all these things have no place in what you're doing, but it's just... at some point: it's luck. It's like, you are rolling the dice and skill and talent just gives you a couple more dice to roll. You're still just rolling the dice.

I think when you're planning stuff out, don't underestimate just how much luck plays in everything that you're doing. If you release a game and it bombs and you're feeling dejected and shitty about yourself, just understand there's a lot of luck in the way that happened. This is my huge pet peeve about a lot of GDC talks. People give a talk about, 'Oh, we're gonna talk about this game we did that did incredibly well. We're gonna tell you how we did it.' It was all luck. There were things that you did that are very interesting, but nobody else is gonna be able to follow your model and to be able to make a successful product because it's all about luck at some level.

I just think indies need to realize just how important luck is in all of this. If you make more games, you have more chances of getting lucky. It's like spinning the roulette wheel. The more times you spin the wheel, the more chance you might have of actually getting lucky and building something.

DAY FOLLOWS NIGHT

Davey Wreden, creator of The Stanley Parable and The Beginner's Guide

It gets better. It sucks. It sucks a lot. For a long time, it just sucks in a lot of ways. I'm probably seven years into a successful career and only just now starting to figure out what I actually really enjoy doing. I think I got to that place remarkably faster than most people do. I don't think there's any workaround to that. I don't think there's any shortcut. I don't think there's a piece of advice that you can give to someone to get them through it. It just has to suck for, sometimes, a long fucking time. But it does get better.

A TRIO OF ATTORNEYS DROP THE GAVEL

Ryan Morrison, Michael Lee, and Ma'idah Lashani of Morrison & Lee

You're making a game because you're creative and because you're talented. Be creative and be talented. Make your own thing. Go make the next Harry Potter or Star Wars, instead of trying to steal Harry Potter and Star Wars. IP law aside, just go create something new and awesome that my kids will want to play with. - *Ryan Morrison*

If you are doing this as a business, if you're taking it seriously, make sure you get the right legal advice and protections put in place. That means contracts. It's the most important thing that I see daily. Just have everything worked out before. - *Michael Lee*

Make your own art. - *Ma'idah Lashani*

DON'T FAIL FAST, INVEST IN PLANNING TIME

Trent Kusters, co-founder, League of Geeks

Everyone talks about fail fast. "Just go ahead and fail fast." I don't believe in that. Use the wisdom of your peers.

If you're going to do something in game development, it's very likely that someone's done it before or attempted it or done something very similar. Find those people and speak to them. Or find those companies, or find those communities.

For indies, as well. If you get into the Indie Megabooth, there's an Indie Megabooth alumni thread, and there's online communities for Unity, and there's forums, everything. There are your local chapters where you hang out. Networking and becoming friends with all these people where you can just sit down.

I've built up a network where I can now just say, "Hey, Obsidian, we're going to do a Kickstarter. Have a look at our page. What do you think?" That's the sort of position you want to be in. To summarize, lean on the experience of everyone around you. Don't try and fail fast. Try to do things right the first time. It's out there. Don't just walk off into the breach blindly.

JUST KEEP MAKING

Jordan Weisman, co-founder, Harebrained Schemes

Just constantly make, Most of what you make is going to suck. That's just reality. So you just keep making more. The only way you learn is to make more.

I stole this from Nolan Bushnell. I don't know where he stole it from. I don't know if it's even true, because I just saw it in a talk he did, which was about this pottery class at this university where the professor said to half the class, "Your grade is based upon a single pot. Present to me the best pot you've ever made." And the other half of the class, "Your grade is based on tonnage. How many pots can you make? I don't care how good they are. Just how many can you make."

And at the end of the class, you know who had the best pots? The ones that were based on volume because the guys who were focused on the one pot that they were going to make, were completely creatively locked up. It has to be this one great pot. Oh, my God. You couldn't go anywhere.

The other guys were like, "I'm just going to throw pots all day." They kept getting better, and better, and better because they were throwing pots all day long.

You have to make stuff and constantly make stuff. One of the disadvantages of today's democratization of tools is that when you come to get a job at a studio, there's no excuse for you having not made everything you want to show me. Everything you want to make, you already had the ability to make. Why haven't you?

It used to be those tools were out of your reach, so I would have to judge hiring you based upon your talent, based upon your passion, and what little you could show me in your sketchbooks or your written design. That's not true now. When you show up at our offices, or anybody's offices, all that's been pushed down to where you've got to show us a lot of cool shit.

If you have the passion you're telling us you have, then you would have already made a lot of stuff already. It won't be great, but it will be made. So just make tons of stuff. Think small.

STARTING IS THE HARDEST PART

Amir Rao, studio director, Supergiant Games

Start. That's the advice. It's true if you are starting out for the first time and you're wondering, "Can I do this? Can I do this?" You should just start and see. So many people want to make a game or want to make a studio and there's enough tools and stuff out there that you can begin. The problems you're going to run into initially, they will compel you in some way that will get you through them, or you may find that it's not exactly what you wanted. That's for early things and it's the same thing later.

Eight years in at Supergiant, if there's a hard problem, it's a lot easier for someone to start on it and work on it than to get into a room and theoretically design a solution.

Also, a lot of people start companies of any type in order to exorcise the demon inside them that wonders if they can do it themselves. When you're evaluating early decisions you make, you really want to come out of that experience having the answer to that question usually be yes.

You want to be able to say, "I succeeded or failed on my own terms," or, "I had to strike this partnership, but it was necessary to achieve whatever thing I was trying to set out to do." You don't come out of it having just substituted your last job for a new job. You don't know if you got a chance to see if you can do it. Always be careful about trading away your independence and make sure you're doing it for reasons that will fit with the reasons you start in the first place.



WORK YOUR ASS OFF

Jeremy Ables, CEO, Uber Entertainment

I was a painter for a living before this. Gallery art, down in Texas. I had a decision to either keep doing that, which I loved painting but I hated the art world, and move to Virginia to go to grad school and then New York, or move to Seattle and try to make video games with no experience and a painting and feminism degree. So I was like, “You know what? I’m going to try games.” I moved up here and randomly met some folks, ended up at Gas Powered Games, and they had no art openings whatsoever.

I ended up helping out with production and QA. What made this work—from that point of not knowing what I was doing to helping run studios and driving hundred-person teams—is that I worked my ass off. Just work as hard as you possibly can, and be as driven as you possibly can. Take all of the excitement you actually have for games and use that for game development, which is different. And never ever burn a bridge.

I was living in Hamburg and got a random phone call from Seattle from guys I worked with 10 years ago asking me if I wanted to come back and take over production. That’s a 10-year break. And that’s just because when we worked together, it was great back then. My wife, same thing. She runs into people constantly that she worked with in Boston or California, and you just don’t burn those bridges and those people are going to help you later in your career. You start off knowing no one, you leave a 20 person studio, those 20 people go to different studios, who meet people who go to different studios, and eventually you know someone who knows someone and you get a job in a different state.



DON'T GIVE UP YOUR ABILITY TO STAY FLEXIBLE

Jamie Cheng, founder, Klei Entertainment

I think as an independent developer, what you have over a bigger company is your flexibility and your options. I would say to be very careful about limiting your options. Every deal you sign starts to narrow that. As an example, if you sign an exclusive deal you're limiting your options in a very significant way.

Developers need to keep their options open because you never know what's going to happen, and you want to be able to be able to react to change. And things will definitely change: businesses will go bankrupt, people you trust will leave, and entire business models will become ineffective under your feet.

NEVER STOP LEARNING

Chandana "Eka" Ekanayake, former art director, Uber Entertainment

Don't stop learning. Talk to people that you admire, if you can. I know it's harder for people that are starting out to, I don't know, go talk to Sid Meier or whatever.

But there's plenty of people, plenty of knowledge that will be beneficial to you. I don't want to say "do networking." Rather, "being friendly is always good," is probably a better way of saying it.

Question, and never stop learning. The positive side of networking is doing it not just because you need something, but because you want to learn something. I think shows like GDC have been really good to meet people face to face. Staying hungry, I think, has been really good too.



GRAB EVERY OPPORTUNITY

Chris Rogers, art director, Harebrained Schemes

If you're trying to get started in a studio, if you see a rope that no one's pulling on, you should grab that rope and pull on it. Look for opportunities to do something else. An opportunity came up to do some concepting at Smith and Tinker for *Nanovor* and I worked all weekend.

And the concepts I came up with are not good. I was imagining that every other artist that heard that call was also going to come. And their concepts were going to be so much better than mine. I almost shamefully handed them my concepts in, and I was the only one that had done it.

So, take those opportunities every chance that you get to level up and to show that you're thinking about the game and the products, and the experience of the user, the player, is going to have. Just always be trying to think about the whole game, the whole experience, rather than just staying focused on, "Well I did my nine to five."



BE HONEST, BE KIND, BE UNIQUE

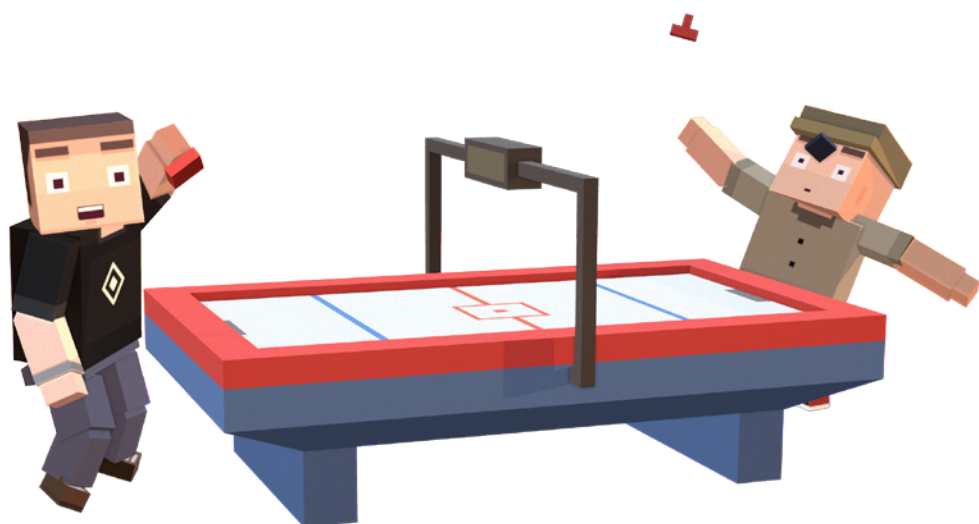
Phil Tibitoski, co-founder and president, Young Horses

Be kind to everyone you meet. Never speak ill of anyone, no matter what you might think. Never assume anything about anyone, even if other people have told you so. It's always good to have that first hand account and be able to make your own decisions from there.

Be honest with yourself about the value of your work and where you stand within the industry. We know what our competition is and we know who we're not competing with because we can't and we know who we're not competing with because we don't need to. We pay a lot of attention to what other people are doing, not because we want to copy them, but because we don't want to do what they're doing.

We want to be able to stand out. When we're making games, we purposely say we're not making any of these things, because (for example) it's the art style it seems like everyone is heading towards and it's going to be the most popular in like two or three years. We're going to not do that. We're going to make sure that we're making a game with these themes. We're going to make sure we're making a game that anyone else would feel stupid trying to make, not necessarily always because of the scope, but because of how weird or ridiculous or whatever.

I guess *my* advice would be to take any advice you read or hear from anyone and then make sure you are adaptable. You're contextualizing within your own situation, your own game, and your own company, and where you sit compared to whomever is giving you that advice in *their* own context.



Thank you for reading. Go forth and make good games (and great business decisions).

INDEX

SYMBOLS

4J Studios 125
20th Century Fox 149
505 Games 117–118

A

Ables, Jeremy 83, 257
Abstraction Games 127–128
accountant 19, 24, 26–27, 29, 38, 44, 122, 245
accounting software 24
Activision 42, 121, 125
adaptation 150
administrative expense 38, 50
Adult Swim Games 132–134, 252
affirmative defense 158
agency 65
agile development 98–100, 109
Alan Wake 117
alpha 105–106, 118
Amazon 41
Amplitude Studios 192
anchor offer 138
Another Metroid 2 Remake 155
Antoniades, Tameem 33
Antonick, Robin 64
apology 221–223
Apple 149
App Store 149
Argonaut Games 33
Armello 173–174, 177–180, 185–186, 192, 195–197
Assassin's Creed 149
Assassin's Creed Syndicate 161
Assassin's Creed Unity 162
Asylum Playing Cards 186
attorney 27–29, 53–54, 68, 122, 148–149, 151, 245
audit 27

B

- backer rewards 172, 187
- backer tiers 176–179
- bad faith 142–143, 145
- balance 20
- Ball, Mike 33
- bank account 15, 22, 33, 53–54, 56
- bankruptcy 54
- Banner Saga, The* 174
- Bantam 154
- Bastion* 84, 89, 126, 131–132
- Batman:Arkham Asylum* 100–101
- Battle Chef Brigade* 132–134, 251
- BattleTech* 79, 114, 164, 172, 178
- Beginner's Guide, The* 87–88, 253
- benefits 58–61
- best alternative to a negotiated agreement (BATNA) 140–141, 145
- beta 105–106, 118
- Bithell Games 98, 126, 159
- Bithell, Mike 10, 12, 98
- BlitWorks 131–132
- Blizzard 97
- Bloodstained: Ritual of the Night* 178
- boilerplate 151
- boilerplate agreement 67
- Borderlands 2* 125
- box office 205
- branded updates 195
- broadcast 150
- Broken Age* 178, 180
- budget 15, 18–19, 24, 31–51, 116, 120, 147, 174–176
- Burger King 163
- burnout 240–241
- Burnout 3* 104
- burn rate 18, 43, 47, 50, 175, 237
- business manager 38, 76–79, 88, 249
- business partner 78–79, 93
- business structures 25, 28, 31, 44, 53–55
- buyer's remorse 144

C

- Capcom 207
- Captain America: Civil War* 205
- Capy. *See* Capybara Games
- Capybara Games 40, 72–74, 83–84, 164–167, 210–211, 245
- cash flow 16, 24, 42–46, 51, 71, 105, 121, 123, 138
- Center for American Progress 239
- cert. *See* certification
- Certain Affinity 125
- certification 41, 47, 106–107, 109, 119, 128
- charitable giving 62
- Check Point 239–240
- Cheng, Jamie 165–167, 258
- Choose Your Own Adventure 154–155
- Cluckin' Bell 163
- Coca-Cola 149
- co-development 131
- Color Sheep* 133
- communication plan 109
- community management 188, 192, 197–201, 201–203
- company handbook 64–65
- compensation 32–33, 58, 60–61, 67, 70–71
- Confetti 131
- ConFlu 39
- content rating 108
- continuing education 60
- contractors 34–35, 38, 43, 45, 47, 53, 56–58, 66–70, 75, 77, 83, 139, 151, 162
- contracts 28, 38, 63–64, 66–69, 72, 75, 117–119, 254
- copyright 68, 150, 155–159, 211
- corporation 25, 53–56
- cost center 147
- cost of employment 61
- cost of goods sold 50–51
- coverage pitch 216–218, 224–227, 229
- Creative Commons 163
- credit card 20–22, 43, 56
- credit rating 20
- crisis plan 109, 222–223
- Criterion 104
- Critter Crunch* 73

Crooks, Dave 124
 Croteam 154
 crowdfunding 127, 170–187, 202, 254
 crunch 230–241
Crusader Kings 113
 Crytek 234
 Curve Studios 126

I

Danger Zone 104
Darkest Dungeon 40, 179
 Davies, Gareth 10
Deadpool 208
 debit card 22–23, 56
 debt 20, 43, 54
Defense Grid 2 179
 delay 46–48
 deliverable 57–58, 67
 Dennaton 214–215
 Department of Labor 58
 DePaul University 86
 Design, Innovate, Communicate, Entertain (D.I.C.E.) Summit 142
 dev-hours 17–18
 dev-months 18
 Devolver Digital 112, 120–121, 123–124, 244
Diablo III 97–98
Diablo III: Reaper of Souls 97–98
 digital supplements 19
 disability insurance 60–61
 disbursement 118
distribute() 214
 distribution 50, 53, 112, 120, 139
 Dodge Roll 124
Don't Starve 40, 164–167
Don't Starve: Shipwrecked 165–167
Doom That Came to Atlantic City, The 186
Double Fine Adventure 178. *See also* *Broken Age*
 Double Fine Productions 171, 174, 179, 181
 Downwell 123, 215–216

E

early access 188–203
Earthbound 154
 EA Spouse 232–234, 236
 Eastman, Tom 132–134, 251
 eBay 41
 Ekanayake, Chandana “Eka” 83, 258
 Electronic Arts (EA) 64, 121, 149, 153, 232–234
 Electronic Entertainment Expo (E3) 38, 105, 115, 124, 218, 220, 224
Elite Dangerous 178
 embargo 218–220, 229
 employee handbook 160
 employees 34, 43, 45, 53, 56–57, 59–60, 62, 64, 67–69, 71, 75, 77, 83, 139, 151, 162
 employer identification number (EIN) 56
 employment agreement 52, 63–65, 151. *See also* contract
Endless Legend 192
Endless Space 192
 end user license agreement 150
 Entertainment Software Rating Board (ESRB) 108, 165, 208
Enter the Gungeon 124
 equity 79–80, 86–87
 expenses 16, 19, 24, 31, 38, 41–43, 45, 48–51

F

fair dealing 158
 Fairhurst, Josh 47, 250
 fair use 155–158
Fallout 4 104
 fan games 155–158, 169, 211
Fantastic Beasts and Where to Find Them 205
Fate of the Furious, The 205
 Federal Insurance Contributions Act (FICA) 54–55, 62, 71
 Federal Unemployment Tax Act (FUTA) 62
 feedback 244
 fire-and-forget 127
 first-party 47, 107, 119, 121, 139. *See also* platform holder
 fiscal year 41–42, 61
 Fitzwilliam, Stephanie Tinsley 214–216, 222–224, 247
 fixed costs 50
Flame in the Flood, The 179

fonts 163
 founder 77, 80
 founder's syndrome 80–82, 93
 Fox 207
 FQA. *See* certification
 freelancer. *See* contractor
 FrieNDA 66
 Fumoto, Ojiro 215–216
 funding 112, 118, 138

G

Galaxy in Turmoil 155
Gamasutra 97–98, 238–239
 game cloning 104–105, 124
 game design document 95–98, 109
 Game Developers Conference (GDC) 38–40, 86, 105, 115, 142, 159, 240, 253
 GameMaker 128, 201
 Game Outcomes Project, The 238–239
 game pillars 97–98
 gameplay loop 103, 105, 115
 Gamescom 38, 220, 224
GamesIndustry.biz 234
 Gas Powered Games 257
 Gearbox 125
 Gee, Steve 133–134, 252
 Gesellschaft mit beschränkter Haftung (GmbH) 55
 Gilbert, Ron 48–49, 235–236, 240, 253
God of War 69
 GOG 32, 189
 GoNNER 117
 Google Hangouts 217
 Grand Theft Auto 149, 163
Gunman Taco Truck 105

H

Halo 5: Guardians 149
 harassment policy 65–66
 Harebrained Schemes 79, 84, 91–92, 114, 164, 168, 172–173, 182, 255, 259
 Harry Potter 254

Hazel, Jennifer 239–240
 health insurance 58–62
Heavenly Sword 33
 High Moon Studios 208
 hiring 52, 70, 82–85, 89
 Hoffman, Erin 232–234, 236
Hotline Miami 112–113, 123, 214–215
 Huang, Eric 133–134
 Huffman, Brandon 60, 63, 65–67, 143, 152, 158, 248
 human resources 41

I

income 16
 independent contractor test 57–58, 68
 independent worker. *See* contractor
 Indiegogo 172
 Indie Megabooth 39–40, 254
 Indie Minibooth 40
 Indie MIX 40
 Infinity Ward 125
 inflection point 89
 infringement 155–159, 163
Injustice 2 101
 intellectual property 28, 64–65, 67, 86–87, 118, 139, 146–169
 interest 20
 Internal Revenue Service (IRS) 56, 58
 International Age Rating Coalition 108
 interview 227–229
 interviewing 85
 invention assignment 64
 investors 18
 iOS 73
 Iron Galaxy 125
 Ismail, Rami 9, 104, 127–128, 130, 191–197, 201–202, 214, 247. *See also* Vlambeer

J

Jagged Alliance 2 79, 104
John Madden Football 64
 Jorjani, Shams 113–114, 249
 Just Add Monsters 33

K

Kickstarter 114, 170–187, 192, 196, 202
 Kicktraq 185
Kingdom 117
 Kirk, Mel 206–209, 251
 Klei Entertainment 40, 164–167, 258
 Korb, Darren 70
 Kristensen, Nina 33, 36, 46, 100, 245
 Kusters, Trent 173–180, 185–186, 192, 195–197, 254

L

Lashani, Ma'idah 152, 156, 163, 254
 lawyer. *See* attorney
 leadership 76, 80–82, 93
 League of Geeks 173–180, 185–186, 192, 195–197, 254
 leaks 69, 105, 160–162, 220
 Lee, Michael 68, 254
 LEGO 149, 208
 liability 55–56, 61
 licensing 150
 licensing agreement 204
 licensor 72
 life insurance 60
 limited company 55
 limited liability company (LLC) 53–56
 Limited Run Games 47, 250
 LinkedIn 162
 litigation 154
 loan 23
 localization 108, 112, 119, 139
 logos 149, 163
Long Dark, The 179
 lot check. *See* certification
 Lowrie, Nigel 112–114, 116, 120, 123–124, 244
Luftrausers 127–128

M

man-hours. *See* dev-hours
 manufacturing 47, 50

Mario 157
 marketing 50, 112, 118, 235, 252
 marketplace. *See* storefront
 Martinez, David 117, 246
 Marvel 207
 McDonald's 149–150
 media 38–39, 108, 130, 160–161, 179–180, 194–197, 212–229
 mental health 230–241
 merchandising 139
Michael Jackson: The Experience 154
 Microsoft 121, 128, 131
Middle-earth: Shadow of Mordor 113
Mighty No. 9 178
 Mighty Rabbit Studios 250
 Mild Rumpus 40
 milestone 45, 67, 105, 118–119, 139
Minecraft 189–191
 minimum guarantee 206
 Mint 16
 Mojang 125, 189–191
Monkey Island 48, 235, 253
 moral rights 153
 Morrison & Lee 53, 57, 63, 68, 150–152, 156–158, 162, 254
 Morrison, Ryan 53, 57, 63, 150–151, 156–158, 162, 254
 Mortal Kombat 149
 multiple teams 91–93

N

Nanovor 259
 NCAA 153
Necropolis 91–92
 negotiation 86–87, 136–145
 NeoGAF 184
 NetherRealm Studios 101
 networking 139, 142, 254
 Nijman, JW 104
Ninja Gaiden 208
 Ninja Theory 32–33, 36, 46, 100, 245
 Nintendo 121, 128, 154
 non-disclosure agreement (NDA) 218
Nuclear Throne 127, 191, 193–197, 201–202

O

Obsidian 174, 235, 254
Octodad: Dadliest Catch 86–87
 Oculus 235
 Odin Law and Media 60, 63, 65–67, 143, 152, 248
OK K.O.! Let's Be Heroes 211
 Olson, Jeff 134
 open development 192, 197–201, 203
 opportunity cost 37, 51, 78, 93
 organizational management 77–93
 originality 254
 Osaakeyhtiö (oyj) 55
 overdraft 23–24
 overhead 50, 55

P

paired leadership 79
 paired programming 79
 Pan European Game Information (PEGI) 108, 165
 Papers, Please 40
 Paradox Interactive 113–114, 249
 parody 156–157
 partnership 110–135, 164–167, 248
 patent 150
 patronage 171
 PAX 38–40, 105, 133–134, 185, 218, 224, 251
 payroll service 71
 Perez, Ben 133–134
 perpetuity 41
 personal days 60
 personal finance 15–29
 personal projects 64
 Persson, Markus 190–191
Pillars of Eternity 178
 piracy 148, 150, 153–154
 pitching 112–114, 123, 135, 150
 planning 254
 platform fee 120–121
 platform holder 50, 107–108, 121, 207
 player feedback 192–193, 203
 PlayStation 33, 107, 120, 128, 196

PlayStation 3 73
 PlayStation 4 131, 196
 PlayStation Experience 195
 PlayStation Vita 127
 Pokémon 149
Pokémon Uranium 155
Polygon 225–227, 250
 Pope, Lucas 40
 portfolio 68
 portfolio license 162
 porting 125–127, 129–132, 135
 post-launch support 127–128, 130
 pre-production 101–102
 press. *See* media
presskit() 214
 press release 109
 previews 194–197
 pricing 190–191, 203
 production 95–109
 professional development 60
 “Project 7” 118
 project costs 50
 project management 95–109
Promoter 214
 prototype 98, 100–102, 112–113, 115–117
 publicity rights 153
 public performance 150
 public relations (PR) 46, 65, 112, 198–201, 212–229, 235
 publishers 18–19, 41, 49, 53, 110–124, 135, 167
 publishing agreement 117–119, 167
 Purewal and Partners 55, 57, 152–153
 Purewal, Jas 55, 57, 152–153

Q

quality assurance 112, 119, 139
Quickbooks 42
Quicken 16

R

Ragtag Studios 133
 Rao, Amir 70, 89, 126–127, 129, 131–132, 256

Raw Fury Games 117, 246
Ray's the Dead 133
 receipts 19
 reconciliation 24
 recoup 118–123, 135, 139
 Reddit 165, 184
 Red Hook Studios 40
 release candidate 107
 relocation 60
 Remedy Games 117–118
 reorganization 54
 requests for proposals (RFP) 72
 retainer 28
 retirement savings plan 60
 revenue 16, 31, 42, 42–43, 45, 47, 49–50, 69, 72, 112, 119–123. *See also* turnover
 revenue share 41, 118, 122, 135, 139
 review codes 109
 Reynolds, Ryan 208
Ridiculous Fishing 104, 201–202
 right of use 118
 risks and challenges 183–184, 187
 Rocksteady Studios 100
 Rogers, Chris 259
 Romero, Brenda 79, 85, 97, 104, 105, 236–237, 248
 Romero Games 79, 85, 97, 104–105, 236–237, 248
 royalties 49–50, 87, 138–139, 206–207
 Rubin, Jason 235
 rumors and speculation 220
Ryse: Son of Rome 234

S

salary 32–33, 62
 Schafer, Tim 171, 180
 self-care 185–186
Serious Sam 3 154
 Shadowrun 164
Shadowrun Returns 79, 172, 182
Shadow Warrior 112
 shareholders 87
Shenmue 3 178

Shovel Knight 179
 sick days 60–61, 65
 slacker backer campaign 175–176
 Sliwinski, Alexander 10, 12
 Smith and Tinker 259
 social media 109, 130, 202, 218–219, 221, 226
 social media policy 65
 societ e anonyme (s.a.) 55
 S oderstrom, Jonatan 214–215
 sole proprietor 25–26, 31, 44, 54, 56
 Sony 69, 120–121, 124
 Sperry, Fiona 104
 sprint 99
Stanley Parable, The 69, 87–88, 253
 Starbucks 163
Star Command 181–182
Stardew Valley 253
 Stark, Chelsea 225–227, 250
 Star Wars 156–157, 207, 254
Star Wars Battlefront 155
Star Wars Episode VII: The Force Awakens 205, 209
Star Wars: Rogue One 209
 Steam 32, 108, 111, 120, 189, 252
 Steam Early Access 188–203
Stellaris 113
 stock 55. *See also* equity
 storefront 107–109, 119–121
Street Fighter II 207
 stretch goals 174–176
 substance abuse policy 65
 Summer of Arcade 131
 Supergiant Games 70, 84, 89, 126–127, 129, 131–132, 256
Superhot 179
Super Time Force 40, 165
 swag 176–177. *See also* tchotchkes
 Synty Studios 10
 system design document 98

T

Taco Bell 163
 Take This 234, 238
Talos Principle, The 154
 tax credits 27
 tax deduction 44
 taxes 17, 25–26, 43–44, 50, 54–56, 61–62, 71
 tax incentives 24
 tchotchkes 172, 180. *See also* swag
 Tecmo 208
 Telltale Games 100
 termination 63
Thimbleweed Park 48, 235, 253
 third-party 121
Thomas Was Alone 126
 Three Fields Entertainment 104
 Tibitoski, Phil 86–87, 260
 tie-in games 72
 Tinsley PR 214–216, 247
Tormentor X Punisher 117
Torment: Tides of Numenera 178
 Tozour, Paul 238–239
 trademark 38, 149, 163, 211
 trade secrets 151–152
Transistor 70, 126, 131–132
 translation 150
 Trinket Studios 132–134, 251
 true cost of hiring 61
 tuition assistance 60
 turnover 16
 Twitch 194

U

Uber Entertainment 83, 257–258
 Ubisoft 121, 149, 154, 161–162
 unemployment 60–61
 Unity 254
 Urquhart, Feargus 235

V

vacation days 60–61, 65

Valve 189

variable costs 50

Vella, Nathan 72–74, 83–84, 165–167, 210–211, 245

vertical slice 102–103

Vlambeer 104, 127–128, 191–197, 201–202, 247

W

Warballoon 181–182

Ward, Alex 104

Warner Bros. 207

Wasteland 2 178

Watch Dogs 2 104

waterfall development 98–100, 109

Wedin, Dennis 214–215

We Happy Few 179

Weisman, Jordan 79, 84, 91–92, 164, 168, 172–173, 182, 255

whistleblower policy 65

Wideload Games 251

Wilson, Jay 97–98

wishful thinking 48

withholding 25

Wizardry 8 79, 104

worker 58

work for hire 68, 72–74

World Intellectual Property Organization 147

Wreden, Davey 69–70, 87–88, 253

X

Xbox 107

Xbox 360 149

Xbox Game Preview 189

Xbox One 131, 234

XCOM 2 104

Xero 42

Y

Yooka-Laylee 178

You Need a Budget 16

Young Horses 86–87, 260

YouTube 194

YoYo Games 128

Z

Zecher, Andreas 214

Zen Pinball FX 207

Zen Pinball FX 2 208–209

Zen Studios 206–209, 251